

Global Outlook

Reluctantly optimistic

The headlines have been relentlessly negative in recent months. But a massive investment cycle, strong corporate earnings, and a resilient US consumer mean equities should outperform bonds yet again.

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The headlines have turned more ominous, but the underlying drivers of growth remain intact. As long as AI-related investment, US corporate profitability, and consumer spending continue to beat expectations, the economy and markets seem capable of absorbing tighter central banks and higher rates.

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⁽ⁱ⁾ This author is a debt research analyst in the Fixed Income, Currencies and Commodities Research department and is neither an equity research analyst nor subject to all of the independence and disclosure standards applicable to analysts who produce debt research reports under U.S. FINRA Rule 2242.

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 Listen

Three months ago, we titled the Global Outlook "[Solid fundamentals, fewer bargains](#)." Since then, the hurdles to growth have steadily risen. Oil is back above \$100. The US-Iran standoff, which we assumed would de-escalate, has flared up again. Central banks across the developed world have shifted from holding to hiking. And of course, bond yields are sharply higher, despite the best efforts of debt management offices around the world.

On the face of it, this is not a kind environment for risk assets.

And yet. Equity markets have not pulled back over the past three months. At the time of writing, the global equity index is up slightly for the quarter, as is the S&P500. The Nasdaq is down slightly, but stocks are hanging in there (unlike bonds). The headlines have been relentlessly negative, but the underlying corporate reality has been anything but. We have just had another quarter of strong earnings growth in the United States. The big US banks reported conditions that Jamie Dimon — not a man given to unbridled optimism — described as "[as good as it gets](#)." And the AI capital expenditure cycle, which bears have been trying to call the top on since early 2025, continues to accelerate.

That last point deserves emphasis. Hyperscaler after hyperscaler continues to report that demand for compute from their enterprise clients is outstripping supply. One major cloud provider disclosed that it would have to rent third-party capacity in the current quarter because its own — already enormous — infrastructure couldn't keep up with demand.¹ Forget the individual company. As a macro indicator for the durability of this investment cycle, it doesn't get much more bullish than that.

And the investment cycle is not just a story about semiconductor firms in East Asia. When the United States builds 74 data centres in 2026 — some of them the size of downtown Manhattan — it employs masses of roofers, plumbers, building contractors, telecom engineers, and energy firms. Layer on defence spending and the broader energy buildout, and this is shaping up to be

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¹ See Alphabet Inc.: Unpacking TPU-As-A-Service, 24 July 2026.

an impressive domestic investment cycle. The capex boom is a tech story, yes. But it is also a construction story, an energy story, and increasingly a labour market story. Look closely and you will find that the US labor market may actually be tightening at the margin: the underemployment rate has fallen a full percentage point over the past 12 months.

What about higher rates? Won't they eventually bite? Perhaps. But the US economy's sensitivity to interest rates is lower than it used to be. Housing — historically the main transmission mechanism — has been in the dumps for several years. There is limited scope for higher rates to damage a sector that has already adjusted. Meanwhile, the US consumer remains supported by positive wealth effects and continues to spend. And if the hyperscalers didn't blink on spending when HBM (high bandwidth memory) tripled in the last few years, they are not likely to pull back because the 10y has gone from 4.25% to 5%.

There have been kerfuffles along the way, of course. The release of China's Kimi K3 model raised questions about whether plummeting token costs in China could undermine the logic of massive US hyperscaler spending. But the subsequent earnings season answered it emphatically, at least for now: demand for compute in the US is real, growing, and nowhere near satiated. And — if the Huawei example is indicative — the chances of the US government allowing wide access to Chinese open source models are extremely low.

Outside the United States, the picture is quieter. Europe has been remarkably resilient, with equities holding up well this year. But this remains fundamentally a 1% economy. Perhaps the most interesting European story lies ahead rather than behind us: France's worsening fiscal position makes a far-left versus far-right presidential runoff next year a genuine risk for bond markets, even from current elevated yields.

China continues to muddle through. Our bottom-up activity indicators point to weak growth, but we see little appetite in Beijing for another major stimulus round. The bright spots in Chinese high-tech innovation are real, but they are not large enough to offset the drag from the old economy.

The region to watch most closely is East Asia. South Korea and Taiwan sit at the tip of the AI spear — if the capex cycle turns, it will show up first in Korea's memory companies and Taiwan's foundries. So far, there are no such signs. ASML is adding capacity. TSMC is building new fabs. Broadcom is investing. The supply chain is behaving as though this cycle has years to run, not months.

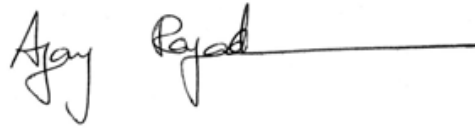
And then there is the matter of the yen. Secretary Bessent declared that he is "the House," that traders can take him on, and that he has asymmetric information — these are historically the kinds of assertions that have often prompted markets to test such claims. Particularly when they rest in part on the monetary policy of a *different* country. It is worth remembering that the Bank of Japan has its own domestic pressures and a popular prime minister who wants easy monetary policy. The US Treasury's conviction may prove well-founded. Joint interventions by the US and Japan are a powerful signal, rapid depreciation in the JPY is unpopular locally, and Japan's Ministry of Finance has immense firepower. But when a policymaker tells the market not to test him, the market at least reaches for its chips.

So where does this leave us? In the same place we were three months ago — even more reluctantly. The risks are real. The headlines are negative. Oil above \$100 is not helpful. Central banks hiking is not a tailwind. The global bond sell-off could be a problem. But earnings are strong — arguably stronger than people worried about three months ago. The AI investment cycle shows no signs of turning. The US economy is proving less rate-sensitive than feared. And the US consumer is still spending.

Someday, if those pillars crack, the world will need another big source of growth in a hurry. But for the duration of this outlook, we find ourselves — with eyes wide open — still overweight global equities over global fixed income.

Not because the world is calm. It plainly is not. But because the forces driving earnings and economic resilience remain, stubbornly, intact.

Reluctantly optimistic. Again.

A handwritten signature in black ink, appearing to read "Ajay Rajad", followed by a long horizontal line.

Macro Outlook

Cautiously constructive

The headlines have turned more ominous, but the underlying drivers of growth remain intact. As long as AI-related investment, US corporate profitability, and consumer spending continue to beat expectations, the economy and markets seem capable of absorbing tighter central banks and higher rates.

- Bond yields are higher, central banks have resumed tightening, and energy prices remain elevated, but the underlying growth story remains intact thanks to three enduring supports: the AI investment cycle, strong US corporate earnings, and a resilient US consumer.
- Growth is proving more resilient than expected. The Fed, ECB, and BoJ have all shifted toward tighter policy, yet global growth has held up. The US economy continues to expand at a solid pace, Europe has surprised on the upside, and while China remains weak, its slowdown appears manageable rather than at crisis levels.
- The US remains the engine of the global economy. Consumer spending continues to exceed expectations, labor market conditions remain firm, and corporate America is delivering exceptional earnings growth, with AI-driven gains and operating leverage increasingly visible across sectors.
- The AI capex boom remains a key structural theme: despite concerns around Chinese competition, regulation, slowing scaling laws, power constraints, and US politics, investment by hyperscalers continues to accelerate. We see no compelling reason for the AI infrastructure build-out to lose steam for several more quarters.
- Deteriorating fiscal profiles across the West are a rising concern, but we believe policymakers have enough tools to stave off a bond crisis for the foreseeable future. The US midterms will attract significant investor interest, but are unlikely to change the macro trajectory very much.

The headline environment has deteriorated since our last quarterly: bond yields are materially higher, central banks have moved to tightening, and oil prices remain elevated with the US-Iran standoff unresolved. But beneath the surface, three forces continue to operate with remarkable consistency – the AI capex cycle, US corporate earnings, and a resilient American consumer. We believe that the surface deterioration masks a fundamental picture that still argues for remaining cautiously constructive.

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24 September 2026

Central banks: The pivot to tightening

Perhaps the most visible shift in the macro landscape since our last quarterly is the move by major central banks from easing, or holding, to outright tightening. The Federal Reserve hiked 25bp at its September meeting. Both the statement and the press conference were indisputably hawkish. The statement characterized inflation as elevated, domestic spending as resilient, productivity as strong, and capital investment as robust. There were no dissents, including from Governor Waller, who had sounded very dovish going into the meeting.

The Summary of Economic Projections (SEP) showed upward revisions to GDP for 2026 and 2027. The Fed pushed down its unemployment rate forecast, revised higher its PCE inflation for 2026 and 2028, and said it didn't expect inflation to hit 2% before 2029. The dot plot showed broad support for rate hikes, with 12 participants supporting two hikes by the end of the year, and four pushing for three. History supports the view that this cycle has further to run: since 1990, the Fed started a tightening cycle on six occasions, and on only one – the hike in March 1997, which was quickly overtaken by the Asian financial crisis – did it stop after *one* move. We expect a further 25bp hike in December.

The Bank of Japan hiked its policy rate to 1.25% at its September meeting, in a 7-2 decision, with Asada and Sato dissenting. The dissents were notable, given Secretary Bessent's push for more aggressive BoJ hikes and with the market pricing in an almost 100% chance of a move. In addition, we believe the Takaichi administration will replace the two most hawkish BoJ members in July 2027 (Takata and Tamura) with dovish members – bringing the number of clearly dovish members to four out of nine. Meanwhile, Governor Ueda's press conference kept all options open. He was clearly not hawkish enough for the currency markets; the JPY weakened after the MPM. We think expectations of an October hike are far-fetched; the next hike is still likely to be in January.

The ECB unanimously hiked a week ago – a move President Lagarde described as a no-brainer. The inflation outlook has deteriorated, with commodity prices sharply higher since the ECB's projection cut-off date. We forecast headline inflation averaging 3.1% in 2026 and 2.8% in 2027, with core inflation at 2.4% and 2.6%, respectively. A third 25bp hike in December looks increasingly likely. Euro area growth, however, has surprised to the upside: Q2 came in at 0.6% quarter-on-quarter, well above the 0.4% consensus and the strongest quarterly outturn in four years, driven largely by exports. The Bank of England, notably, is the only major central bank not hiking this month. But we expect the BoE to fall in with the crowd soon enough, hiking 25bp in November, and (absent a Middle East resolution) 25bp in Feb 2027.

Across the Western world, central banks have moved in unison to tighter policy. And they aren't done yet.

Global growth: Holding up where it matters

A large part of why central banks *can* afford to tighten is that the global growth picture is, in aggregate, still stable. That is impressive given the backdrop of higher yields and energy costs. In the US, activity has stayed resilient. Q3 GDP is tracking above 2%, underpinned by household spending that has once again beaten expectations. The labour market is healthy; we do not agree with the notion that the collapse in LFPR masks considerable slack in the jobs market (as we discuss in [Water from a stone: The view of labor supply from CPS microdata](#)). And while headline payroll growth has moderated, the broad underemployment measure, the U-6 rate, has declined markedly over the past year. Housing is the conspicuous exception, but the sector has been depressed for so long that its capacity to drag the wider economy lower is limited.

China remains a source of concern – but not crisis. Credit growth moderated to 7.2% year-over-year in August and the credit impulse eased further. The soft credit data is broadly consistent

with a range of other indicators pointing in the same direction: subdued core and services CPI, contractionary NBS PMI readings across manufacturing, services, and construction, double-digit declines in auto sales volumes, and weakening property sales. Household demand remains the principal source of weakness: both short- and long-term household loan demand contracted for a second consecutive month.

On the corporate side, sentiment remains cautious despite a rebound in long-term lending; borrowing demand is held back by poor domestic prospects, overcapacity, and the continuing property market downturn. Government bond issuance remains elevated but we see no signs of a game-changing stimulus. The critical point for the macro outlook is that China's problem is not the cost of credit – it is the demand for credit. Corporates are not borrowing because their domestic prospects are weak, not because rates are too high. That distinction matters because it means the PBOC has limited ability to help. Cheaper money does not solve a demand problem.

The euro area has been the quarter's quiet overachiever. GDP expanded 0.6% q/q in Q2 – the strongest reading in four years. The headline revision was driven overwhelmingly by Ireland, which is a familiar caveat for anyone who has spent time with euro area data. But even stripping Ireland out, the region continues to run at a respectable 0.3% q/q – noteworthy for an economy contending with rising rates and sharply higher energy costs. The expenditure breakdown shows private consumption growing solidly across most major economies, with Germany the exception. Investment presents a more subdued picture, though growth is broad-based with positive contributions across sectors. Manufacturing activity in particular appears to be supported by an unusual confluence of forces: stockpiling ahead of anticipated supply disruptions and price increases, higher defence spending, and spillovers from the global AI cycle that are benefiting a number of manufacturing subsectors in ways that were not visible a year ago.

Add it all up and the world economy is expanding at almost the same pace in 2026 as it did in 2025. Bond yields are much higher. Central banks have resumed tightening. Energy prices have surged with the US-Iran standoff far from resolved. And yet growth has held up.

The US consumer: Reports of exhaustion are premature

A persistent source of anxiety among global investors is whether the almighty US consumer is on borrowed time. Many concerns center on the US personal saving rate, which seems extremely low. The saving rate has become one of those data points that generates more heat than light, and the case for treating it as a reliable warning signal is weaker than it appears.

Start with the data itself. The Bureau of Economic Analysis has twice in the last four years found reason to sharply revise the saving rate higher – once in its September 2023 comprehensive update, and again in September 2024. In 2024, the personal saving rate was restated from 3.3% to 5.2%, a revision large enough to materially alter the narrative about consumer health. In both cases, the initial estimates underestimated transfers from the financial sector to households – dividends, capital gains, interest payments, and other income streams that are difficult to capture in real time but show up in the revised national accounts. We suspect the same pattern will eventually apply to the 2026 estimates. A saving rate that looks uncomfortably low today may look perfectly adequate eighteen months from now when the BEA has had time to count properly.

There is also a revealed-preference argument that deserves more weight. In April 2025, the equity market pulled back more than 20% – a sharper drawdown than anything experienced so far in 2026. If there was ever a moment when the US consumer should have retrenched and rebuilt savings, it was the summer of 2025. It did not happen. Consumption held up, spending patterns barely shifted, and the feared pullback in discretionary demand never materialised.

Beyond the test case, the structural backdrop for consumption is resilient. Wealth effects remain positive; US household wealth has risen by many tens of trillions of dollars in the last four years. In addition, the labor market looks like it is tightening at the margin (partly because of the collapse in labor supply), and we have already lived through a period in which consumption remained robust despite mediocre real income growth. If the labor market is on a mild but sustainable upswing, the one plausible drag on consumption fades further.

The August retail sales report confirmed our bias. Headline sales jumped 1.2% m/m, far exceeding expectations. The control group – the measure that feeds directly into GDP – rose 1.4%, also very strong. General merchandise, electronics, and health and personal care all posted solid gains. Sales at restaurants and bars registered another strong reading, undermining the narrative that earlier strength in food services was primarily a function of World Cup-related demand. Some of August's upswing may have been exaggerated by revisions to seasonal adjustment factors, and we would not extrapolate a 1.4% control group print as the new run rate. But the underlying message is unambiguous: this is a consumer who is still spending, still confident, and still the engine of the US (and global) economy.

The earnings cycle: Operating leverage on a historic scale

And then there is the US profit cycle. It is – in a word – stellar. The Q2 earnings season delivered results that were remarkable, even by the standards of a cycle that has consistently surprised to the upside. S&P 500 blended earnings growth came in at 29% y/y – the second consecutive quarter above 20% – on revenue growth of over 13%, the fastest top-line expansion since 2022. We have raised our full-year 2026 S&P 500 EPS estimate to \$365, up from \$337 previously, and now expect \$414 in 2027. To appreciate the scale of what is happening: if \$365 is correct, the S&P 500 will deliver earnings growth of over 30%. And from a healthy, non-recessionary base year. That would be among the strongest non-recovery earnings expansions in modern market history. The headlines may not show it but ... corporate America is making enormous amounts of money.

The technology sector is the engine, but the outperformance is no longer limited to the usual suspects. Big Tech delivered 35% earnings growth in Q2, up from 30% the prior quarter – formidable, but at this point almost expected. The genuinely striking development is what is happening beneath the mega-caps. The rest of the technology sector posted earnings growth of 88% y/y. Tech operating margins overall have expanded to 35%, from 28% a year ago – a 700bp expansion in twelve months (though that number is admittedly flattered somewhat by tariff refunds). That is not multiple expansion nor financial engineering. It is operating leverage on a scale that only makes sense if AI-driven gains are flowing through to the income statement. Companies are generating more revenue per employee, automating administrative and operational functions, and in many cases replacing external software vendors with proprietary AI tools. Revenue growth of 10-12% is being amplified into earnings growth of over twice that rate. For investors who have been waiting for AI to show up in the numbers rather than the narrative, this is an excellent sign.

The earnings story extends beyond technology. The energy sector recorded the largest upward revision to quarterly estimates of any sector, benefiting directly from an oil price that averaged over \$90 in the second quarter – more than 45% above the year-ago level. Integrated oil and gas companies saw earnings more than double; exploration and production firms were not far behind. Financials were the second-largest contributor to index-level earnings growth, with the major banks reporting trading revenues, advisory fees, and net interest income that led Jamie Dimon to describe conditions as the best he has seen. Eight of ten S&P 500 sectors reported positive earnings growth – a breadth that is unusual in a cycle this mature and that argues against the thesis that the S&P 500's earnings strength is a narrow, tech-only phenomenon.

The picture that emerges is one of an earnings cycle that is not merely intact but accelerating – driven by a combination of AI-powered operating leverage, a commodities windfall, and a domestic investment boom that is generating demand across sectors and market capitalisations. Revenue growth of 13% would be impressive in any year. Converting that into 25-30% earnings growth through genuine margin expansion, rather than share buybacks or accounting, is the kind of development that is hard for equity bears to explain away.

What could derail the AI capex cycle?

One of the most discussed drivers of US growth has been the AI capex cycle – and the enormous amounts of money that the hyperscalers are spending. No investment cycle is without its sceptics, and the AI capex trade has accumulated an especially healthy roster. It is worth taking the bear cases seriously – and then explaining why, in our view, none of them is sufficient to derail the cycle.

The most frequently cited risk is that Chinese open-source models will drive down the cost of AI tokens so dramatically that the hyperscalers' plans to sell compute and digital services on the back of hundreds of billions of dollars of investment will look like a pipe dream. The release of Kimi K3 earlier this year gave this argument its sharpest edge yet – here was a Chinese model (supposedly) beating cutting-edge Western models at a fraction of the cost. But the argument (even if the performance and token cost claims are accurate) runs headlong into geopolitical reality. The notion that Western enterprises (let alone Western governments) will build their AI infrastructure on Chinese-developed models does not withstand scrutiny.

We have seen this movie before. Huawei was, by many measures, ahead of its Western competitors in 5G technology. It did not matter. The West squeezed the firm out of its supply chains, its networks, and its markets. The geopolitical architecture that produced the Huawei ban, the CHIPS Act, and the ongoing export restrictions on advanced semiconductors to China is not about to reverse course and welcome Chinese AI models into the heart of Western computing. Token costs should eventually fall – that is the natural trajectory of any technology. But the competitive moat for US hyperscalers rests on trust, integration, and the regulatory envelope – as much as on raw model performance.

A more recent concern is the call by Dario Amodei (echoed by Elon Musk and Sam Altman) to slow the pace of frontier model development until the world has a better handle on AI risks. The sentiment is understandable. But the practical implications for the capex cycle are, in our view, minimal. The fundamental obstacle is a prisoner's dilemma that has no obvious solution. Who slows down first? How do you verify that your competitors (including Chinese firms operating with far less transparency) have slowed down with you? The history of arms control, from nuclear to biological, is that verification is the hard part, and voluntary restraint without verification does not hold.

And there is a more technical point: the capex cycle is increasingly driven by demand for inference compute (the deployment of existing models at scale) and not solely by the race to train the next frontier model. Even a pause in frontier development would leave the infrastructure build-out largely intact, because the demand from enterprises deploying current-generation AI is what is filling those data centers today. And finally, Amodei and others are not proposing, even in an ideal case, to pull back on model development; they are proposing a moratorium on new model *releases* until safeguards are in place. The spending around model development will continue, no matter what.

Two further objections are worth noting. The first is that scaling laws are hitting diminishing returns – that each additional dollar of compute is yielding less capability. This was a credible concern a year ago. It is less so now. The axis of improvement has shifted from raw training scale

to inference-time techniques (chain-of-thought reasoning, agentic workflows, multi-step problem solving) that are compute-intensive in a different way and are driving new demand. The second is that energy and power constraints will physically bottleneck the build-out. This is the most grounded of the bear cases: permitting timelines for grid connections are real, and the power requirements of hyperscale data centers are enormous. But the constraint slows the pace of investment rather than reversing its direction – and arguably extends the duration of the cycle by spreading the build-out over more years. Neither objection changes the fundamental picture: the AI capex cycle has structural demand behind it, prisoner's-dilemma competitive dynamics sustaining it, and no single point of failure that would cause it to reverse.

The US midterms: Lots of noise, little signal

Not even politics. We are frequently asked by clients whether the US midterm elections in November pose a material risk to the AI cycle, or to the overall macro outlook. We struggle to see how.

The polls are reasonably clear. The Democrats are overwhelming favorites to retake the House and have a credible path to the Senate, though the map remains challenging. But even the most decisive Democratic sweep produces the same macro outcome: divided government, with a Republican president and a Democratic Congress. In the American system, that is a recipe for legislative gridlock. It is not a recipe for sweeping policy change. No major fiscal legislation – no tax overhaul, no significant spending package, no structural reform – is likely to pass in 2027. Markets may find that prospect dull. They will also find it reassuring.

The question we hear most often from (especially international) clients is whether a Democratic Congress could impede the AI cycle – whether, for instance, proposals to restrict data center construction or impose new environmental requirements could gain traction. The answer, in our view, is no. For a simple constitutional reason: in the US, you need both Congress and the president to make law. The president has been vocal in his support for AI investment and will presumably veto any legislation that threatened it. State-level restrictions, such as New York's proposed moratorium on new data center permits, are unlikely to alter the trajectory. The vast majority of data centers are being built where land, water, and electricity are abundant and cheap – overwhelmingly in interior and southern states that are actively competing for the investment, not restricting it. Northern Virginia remains one of the world's largest data center markets, but even there, political appetite for constraining a sector that generates billions in tax revenue and thousands of construction jobs is limited. If anything, we expect the politics regarding data centers to improve after the midterms as proponents in both parties make an increasingly explicit case for the employment and investment benefits.

In short: the midterms will make for lively cable television. As a driver of the macro environment or a risk to the investment cycle, we do not think they are significant.

Three pillars in a noisy world

There are challenges ahead, of course. Rising levels of government debt is the most visible one. A number of Western economies – including Japan, the US, the UK and France – have large outstanding debt loads, no political will for fiscal reform, and fiscal profiles that are still worsening. The US is the largest bond market, but not the worst offender; last year, France's nominal deficit grew at over twice nominal GDP. In [Anatomy of fiscal repricing](#), we argue that poor fiscal profiles don't have to translate into an inevitable bond crisis. For the foreseeable future, we feel there is enough 'slack' in the system – through governments issuing less long-term debt, the hyperscalers (perhaps) shifting some issuance into shorter rates if the curve steepens too much, etc. But yes, the medium-term path for the bond market does point to higher term premia, especially with political catalysts. One such catalyst looms next year in the

form of the French elections. If the second round run-off ends up being contested between the far-left and the far-right (both sides currently favor more fiscal largesse), then the French government bond market could well rebel, as we argue in [Not just another French election](#).

In our baseline though, the analytical case for being cautiously constructive rests on three pillars.

The first is the *AI capital expenditure cycle*, which continues to surprise to the upside, despite repeated attempts to call its peak. The demand signals from the hyperscalers are unambiguous. The semiconductor supply chain is expanding its own capacity. The bear cases (Chinese open-source competition, voluntary slowdowns, scaling limits, power constraints) are real in theory but have been systematically contradicted by corporate behavior and earnings data. Until the companies building this infrastructure begin to signal caution, the cycle should be taken at face value.

The second is the *US corporate earnings cycle*, which has delivered results that surprised even us. Earnings growth at 30% in the second quarter, on double-digit revenue growth, reflects operating leverage that is historically unusual and likely attributable to AI-driven gains. The breadth of the earnings recovery – extending from mega-cap technology to energy producers to financial institutions – argues against the thesis that this is a narrow, fragile story built on a handful of stocks. The third is the *US consumer*, whose resilience has survived every test thrown at it – a sharp equity drawdown in 2025, a saving rate that looks low but has been serially underestimated by the national accounts, and an energy price spike that would ordinarily be expected to dent spending. The retail data continues to deliver upside surprises. The labor market, far from deteriorating, appears to be quietly tightening.

It is hard to escape the observation that all three pillars are American. Global macro, at this juncture, is being driven overwhelmingly by US corporate profitability, US consumer spending, and a US-led technology investment cycle. That is not a permanent state of affairs, and it carries its own risks – a world that depends so heavily on one economy for its growth impulse is a world that is vulnerable to anything that disrupts that economy. But it is the world as it exists today, and the evidence we have examined in this document suggests that the US engine remains in good working order.

The risks are real and we do not dismiss them. Central banks are tightening into an environment where energy prices are already elevated. The standoff over USD-JPY is an invitation the market may yet accept. Worsening debt levels is a slow burning problem that will eventually come to a head. And any investment cycle, no matter how durable, can be disrupted by events that are by definition unforeseeable.

But the balance of evidence – earnings, consumption, investment, labor markets – points toward an economy and a market that can absorb these headwinds without breaking. The reluctance we expressed in the [Foreword](#) is genuine. But so is the optimism behind it.

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Despite higher yields and elevated energy prices, resilient growth and the broadening AI investment cycle still argue for staying invested in risk assets. We favor selective exposure to those strengths while expressing macro views through relative value rather than broad directional positions.

Readers of this quarter's macro outlook will notice a tension that runs through every section. The headline environment is hostile to risk assets – bond yields sharply higher, central banks in tightening mode, oil above \$100 with no resolution to the US-Iran standoff in sight. If you stopped at the headlines, the obvious call would be to de-risk, and wait for clarity. We are not doing that. The reason is straightforward; the three forces that matter most for asset returns – US corporate earnings, the AI investment cycle, and the US consumer – are not just intact but, in some cases, stronger than they were three months ago. Earnings growth of 30% in the latest quarter, on double-digit revenue growth, is not the kind of backdrop that rewards hiding in cash. It is the sort of environment that rewards staying invested – selectively, and with eyes open. That selectivity matters more than usual. The macro picture is driven overwhelmingly by US-centric factors: American profitability, American consumer resilience, and a technology investment cycle that is American-led even when its supply chain runs through East Asia.

That creates a world where the right investment themes are not about broad geographic diversification for its own sake, but about identifying the specific places – sectors, geographies, parts of the capital structure – where the underlying drivers of earnings and growth are strongest, and where the market has not yet fully priced them in. The risks are real and very present as well. Duration has become a very difficult place to hide. The US standoff with the yen is a source of potential volatility that could spill across currency and rates markets. France's fiscal trajectory is a slow-burning tail risk for European fixed income. And any investment cycle, no matter how durable, can be disrupted by the unforeseeable. We are not dismissing any of this. But the balance of evidence argues for leaning into the cycle rather than away from it – and for doing so through a set of themes that are anchored in the specific macro forces we have identified rather than in a generic risk-on posture. What follows are the investment themes we think are best positioned for the months ahead.

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Theme 1: Own the AI investment cycle through equities beyond the technology sector

The AI boom is now turning into a broader investment cycle. The spillover effects into power generation, transmission, infrastructure and financing are now apparent. Geopolitics is also driving higher defense and energy investment, and the result is that domestic demand extends well beyond the technology sector. Our Equity analysts expect capex by the major hyperscalers to rise to more than \$1.1trn in 2027 and almost \$1.5trn in 2028. External financing is expected to account for 20% of industry AI capex in 2027, up from 6% in 2026. Therefore, slower year-over-year capex growth would still leave nominal spending materially higher even relative to an already elevated base, while the economic effects should extend beyond hyperscalers. There are already signs that corporate earnings are being boosted by this effect.

In the second quarter, Energy, Materials, Financials, Utilities and Industrials all delivered earnings growth above their respective 20-year medians. Every major sector apart from Healthcare reported higher margins than a year earlier. We think tech will remain central to the AI story and expect 25% earnings growth in 2027, compute demand to exceed supply, and higher memory pricing to extend into next year. But greater scrutiny of capex discipline, power availability and eventual monetization should produce more dispersion within the AI complex. We think investors should retain direct exposure to the compute and semiconductor cycle while adding industrials, power and electrical infrastructure. These sectors provide exposure to the physical construction and financing of the capex boom while reducing dependence on multiple expansion among the largest technology companies.

Theme 2: Even with further tightening from DM central banks, curves may get steeper

A flattening of yield curves has been a dominant theme across many developed markets this year. The Fed, ECB and BoJ have already raised policy rates, and we expect the BoE to follow. The synchronized nature of the shift has led to a repricing of rates at the front end, but it is no longer clear that curves should continue to flatten. The pricing of policy rates in the US, Europe and UK, for example already incorporates substantial additional tightening, while longer maturities remain exposed to higher equilibrium rates and less favorable supply/demand dynamics in key markets, including Japan.

Continued flattening requires that policy rates be restrictive enough to weaken activity. As Fed Chair Warsh suggested at the FOMC, one motivation for central banks to tighten rates is that growth has proven more resilient than expected. Moreover, the US curve already embeds some overshoot in the tightening cycle. The 1y-forward 2s10s SOFR curve is around -3bp, pricing something close to inversion. But historically, inversion has been associated with aggressive tightening episodes such as 1994, 2000 and 2022, rather than a limited recalibration around neutral. On one hand, if inflation falls short of the Fed's relatively high projections, investors should remove some of the hikes embedded at the front end. On the other hand, if growth remains strong, the market should revise longer-run neutral-rate expectations higher, with the fiscal backdrop remaining a headline risk in the background. Both these outcomes favor a steeper curve.

There is a similar (though not identical) asymmetry in Japan. The market has priced the policy rate at 1.9% by July 2027 through hikes at every second or third meeting. We forecast a more gradual path to 1.75%. The BoJ has tightened, and will probably tighten again, but the 7-2 September vote, Governor Ueda's decision to preserve optionality and the expected change toward a more dovish board composition make it difficult to justify rapid, automatic hikes. There are concerns that the BoJ could fall behind the curve, and vulnerable supply/demand conditions around the belly – outstanding 5-10y JGBs will increase by JPY21trn during FY26, adding JPY13bn of DV01. That could steepen the curve in Japan. Given these dynamics, we maintain our *1y-forward US 2s10s SOFR steepener* and *JPY 2s10s swap steepener* recommendations.

Theme 3: The pricing of tightening scenarios is quite extreme in the tails, but not in the baseline

Extending the same theme, while further moves from the Fed, ECB and BoE are likely, the scale of tightening embedded in the tails of the distributions now looks extreme. In the US, the Fed's median projection reaches 4.1% at end-2026 and remains there through 2027. The market's median path for policy tightening is already closer to three additional hikes, well above Fed and economist forecasts. But the market is also priced for a nearly 20% chance that the fed funds rate will rise 140bp above the current level, taking it higher than the 2023 highs, which were a response to inflation above 7%.

In Europe, similar scenarios involve policy rates above 4.37% in EUR and 5.80% in GBP, approximately 190bp and 205bp, respectively, above current policy rates. Those outcomes would require more than resilient growth. They would probably require renewed acceleration in underlying inflation, continued labor-market tightening and evidence that inflation expectations were becoming less anchored all at the same time. While there is a small risk of this occurring, we do not believe it to be as likely as markets are pricing. Recent price action has also suggested that markets are increasingly dislocated. We like trade expressions that *monetize the high-strike tails of rates distributions* – structures such as our *USD 6m1y ratio payer spread* recommendation, which retains exposure to further policy tightening, but fades extreme scenarios that are well beyond the central bank's projected path.

Theme 4: Fade medium-term inflation pricing, but not the energy shock

Near-term inflation risk remains elevated. Energy prices are high, disinflation has stalled across much of the developed world, and there is little spare capacity in energy markets. But the market may be extrapolating the immediate effect of energy prices on headline inflation too much into medium-term inflation, especially as central banks embark on a hiking cycle. Inflation breadth has already moved well below its 2022 extreme.

In August, 53% of CPI components were rising by more than 3% y/y, compared with 83% at the inflation peak. On a six-month annualized basis, the share was lower still, at 44%. At the same time, the Fed has tightened unanimously, and the policy curve has repriced materially, with December 2027 SOFR futures above 4.7%. These are not conditions in which medium-term inflation compensation needs to rise, in our view. We would be inclined to fade medium-term breakevens, while hedging against spillover effects from energy (given that a more fragmented energy system also raises the probability of episodic upside commodity price shocks). With this combination in mind, we maintain our *energy-hedged short in US 5y breakevens*.

Theme 5: Credit remains a carry asset, but AI is key and exposure should be selective

Credit fundamentals remain healthy. Higher all-in yields should sustain demand, while elevated financing costs may reduce opportunistic M&A and associated issuance. Most corporate balance sheets remain capable of absorbing a higher interest burden. The backdrop, therefore, remains compatible with credit carry even as policy rates rise. The difficulty is valuation. BBB-versus-A compensation is close to its most compressed level since the global financial crisis, particularly beyond the 7y. BB spreads reached their post-2000 tights in late August and remain highly compressed. The case for credit rests on carry, structure and security selection, rather than another large move tighter in market-wide spreads.

AI issuance is now the swing factor for spreads. The marginal dollar of supply is tied to the AI build-out, and that is where the dispersion is coming from. Issuance growth explains a meaningful share of sector excess returns this year. Hyperscalers have underperformed the index since the middle of last year, with the weakness concentrated in the long end. Hyperscalers now contribute more index risk than the Big 6 banks, on roughly half the market value weight. Unsecured supply also understates the burden. Data center bonds, chip facilities, private credit and SPV structures fund the same capex cycle and often the same ultimate payer.

That is where the relative value is. Long-end hyperscaler paper trades near BB spreads on AA/A fundamentals. The compensation is there for a reason: a heavy forward pipeline, rising issuer concentration, and a widening menu of adjacent structures competing for the same money. Adjacent paper pays for what it carries. Data center bonds trade well wide of their tenants' senior spreads, reflecting construction and operating risk. We would add on supply-driven weakness, rather than chase, and own the adjacent structures only where collateral and tenant quality justify the pickup.

Elsewhere, structure beats beta. Corporate hybrids offer spreads comparable to single-B debt but have historically displayed less beta during macro sell-offs because their issuers' senior debt is generally of higher quality. Loans yield more than bonds after adjusting for the forward curve. That relative value remains after excluding software, where weakening valuations and the approaching maturity wall create more concentrated refinancing risk. Within matched capital structures, the compression of the unsecured-secured basis leaves little compensation for moving down in seniority.

We therefore prefer corporate hybrids to generic BB debt, non-software single-B loans to HY bonds, and secured to unsecured bonds. Within investment grade, where premiums have largely disappeared, we favor issuer and sector selection rather than a generic BBB-over-A compression view. In Europe, we favor *Energy and Utilities* despite supply headwinds, with a preference for shorter-dated and lower-rated securities within investment grade.

Theme 6: Energy is an enabler of the investment cycle, and an important constraint

Global demand for energy is likely to continue to increase sharply over the coming years. While renewables are expanding, the consumption of oil, gas and electricity is likely to continue increasing. In [Energy in the age of fragmentation](#), we made the case that total energy use is likely to grow at a 1.9% annual rate between 2025 and 2050. Annual investment across energy supply, power systems and end-use infrastructure is expected to reach approximately \$3.6trn in 2027. That is more than three times the capital currently required for the planned AI infrastructure build-out.

The oil-market arithmetic is particularly daunting even assuming that geopolitical conflicts in the Middle East and Eastern Europe are resolved. We forecast global oil demand will increase by

approximately 1.1mb/d annually between 2027 and 2030, reaching 110.6mb/d by 2030. At the same time, productive capacity is becoming harder to replace. The US proved-reserves-to-production ratio declined to 9.5 years in 2024, from 11 years in 2022 and 14 years in 2012. Reserves relative to production have also declined across non-OPEC producers outside the US and within OPEC. The forward oil curve does not fully reflect this deterioration, with long-term forwards at approximately \$70/bbl, compared with our equilibrium forecast of \$85/bbl.

Above-ground inventories are already around multi-year lows, refined-product inventories are tighter still, and Strategic Petroleum Reserve releases have depleted buffers against shocks. The supply cushion available to absorb another disruption is, therefore, smaller than headline commercial stocks imply. Amid resilient economic growth globally that supports oil consumption, but constrained supply and geopolitical fragmentation, we think that the market is underestimating the upside tail risk in oil, especially in calls.

Theme 7: Good inflation vs. bad inflation: USD, AUD and MXN to outperform vs EUR, JPY and NZD

The synchronized repricing of policy rates has so far left less scope for a large directional move in the dollar. But with many hikes priced in across global central banks, there is space for differentiation between “good” and “bad” inflation stories. The September FOMC reduced the uncertainty of the Fed’s reaction function amid strong data, which, in light of a dollar risk premium, should support the greenback. The [AUD also looks cheap](#); Australian activity has remained resilient, the RBA has scope to validate the tightening priced by the market, and Australia benefits from the commodity and infrastructure demand associated with the AI and energy investment cycles. And the MXN remains one of the most beneficiaries of AI. On the other hand, New Zealand has a negative output gap and weaker domestic momentum, making the restrictive policy path previously priced there more difficult to justify and the currency likely to underperform. We are less persuaded by the case for sustained yen appreciation. The BoJ will likely continue to raise rates, but the market had already priced a faster cycle than our economists expect. Unless the BoJ validates that path, policy normalization alone is unlikely to deliver a durable JPY rally. And the EUR should also be affected by lofty ECB expectations and risk from the upcoming French elections.

Summary of Asset Allocation Themes

Equities

Key Forecasts

- *Europe:* A catalyst-heavy autumn is likely to bring some volatility. 1) September seasonality is notoriously negative, particularly with US mid-terms introducing incremental headwinds, even if equities typically quickly rebound post-election. High positioning limits the cushion, but is not extreme, so not an impediment to a further grind higher into Q4. 2) Rates are in the driving seat as the global tightening cycle has resumed, with the Fed, ECB and BoJ all hiking this month. 3) Oil remains a wild card for the growth and inflation outlook and for the broadening trade, as the US-Iran stand-off is unresolved. If oil does not stabilise, rates will not, either. 4) The AI trade is entering a more mature phase, with increased dispersion between winners and losers amid concerns over capex sustainability, rising equity/debt issuance and weaker FCF generation. Diversification beyond Tech remains wise, in our view.
- Big picture, however, we see these hiccups as manageable, as the key pillars supporting equities have stayed firmly in place. Global economic activity continues to prove resilient, supported by manufacturing strength, AI-driven investment and exports, although consumer spend is set to moderate. Fiscal support remains significant across major economies, while credit demand is showing tentative signs of improvement in Europe/Germany. Earnings anchors remain firmly in place, as AI-related investment and stickier inflation have lifted nominal growth, providing a tailwind to EPS. We forecast 16% EPS growth in 2026 for MSCI Europe. Valuations remain constrained by higher rates and we do not see much room for expansion, despite significant year-to-date de-rating. We stick to our SXXP year-end target of 670 and remain MW EU vs. the US.
- *US:* Post-2Q26 earnings, we raised our 2026 S&P 500 EPS estimate to \$365 from \$337 and our PT to 7950 from 7800. We also raised our 2027 EPS estimate to \$414 from \$389. Broad-based earnings momentum remains intact, supported by a continued Tech beat-and-raise, durable AI demand, and a firm industrial backdrop. While a potentially higher-rate environment and softer consumer spending present incremental challenges, we believe earnings resilience remains sufficient to offset macro crosswinds. Hyperscaler capex and S&P 500 earnings are essentially moving in lockstep, and the 2026-27 cadence for both could be described as "y/y growth may decelerate, but nominal numbers still to increase meaningfully from an already elevated base" as compute demand continues to outstrip supply. Diversification in financing lengthens the AI investment runway, while guidance from downstream memory buyers suggests that higher pricing, a significant driver of 2026 earnings growth, could last into 2027. Beyond AI capex, 2Q26 EPS growth exceeded long-term averages across most major non-Tech sectors. Many are also seeing the breadth of positive FY27 EPS revisions track well above historical averages, signaling that earnings momentum may have a broader base than many assume.

Key Recommendations

- *Europe:* With AI no longer a one-way trade, we think Europe is not in a bad spot as the earnings and valuation gap narrows vs. the US. The oil price is off the highs, and higher rates continue to favour Value/Banks. But rising energy prices are unhelpful for the broadening trade, leaving us MW EU vs. US, with a preference for Germany over France. We stay constructive on capex-heavy Industrials, Tech & Mining and are UW Consumer and low growth/high duration Healthcare, Staples and Real Estate. But we have added to lower-beta Telecoms and Insurance, turning our sector allocation more barbell.

- *US:* In terms of sectors, we remain positive on TMT and Industrials, given their direct exposure to AI and infrastructure spending. We expect the majority of earnings upside within the S&P 500 to be generated here, at valuations that are materially cheaper YTD. We are negative on the Consumer complex, as we believe that a deceleration in consumption in the back half of 2026 amid higher cost pressure is the key risk on the macro front. That said, an environment of persistently high intra-sector dispersion could make the case that sectors are not the best way to capture dominant market themes. On factors, we recently upgraded Value to Positive, given the tendency for cheaper, economically sensitive stocks to outperform in an environment of higher rates, resilient growth, and persistent inflation. We remain positive on Large-over-Small with respect to recent small-cap valuation expansion into a tightening Fed, which has historically favored large-caps. Finally, we highlight “resiliency to disruption” as a preferred theme: we developed a standardized, cross-industry framework to determine which company characteristics historically differentiated resilient incumbents during periods of disruptive innovation, which drove the creation of our “Resilient Software” basket.

Bonds

Key Forecasts

- *Europe:* Since June, EUR front-end yields have risen sharply, in tandem with moves in energy prices: the market is now pricing a terminal rate of 3.25%, versus our economists' base case of a 2.75% terminal rate. ECB communication has tilted to the hawkish side, with Lagarde playing down the relevance of the neutral rate at September's press conference and highlighting the resilience of euro area growth. Front-end pricing appears somewhat stretched relative to our economists' base case (though a near-term move higher in front-end yields cannot be ruled out, if energy prices climb further). In terms of yield forecasts, we project Bund yields drifting lower and stabilising at 3.3% over the next four quarters. This could be underpinned by an easing of the energy shock or a cooling of euro area growth momentum as high energy prices feed through the economy.
- *US:* The YTD move in 10y yields toward 5% reflected a reassessment of the expected path of Fed policy, while the term premium was broadly consistent with pre-GFC norms. The September FOMC meeting outcome points to a modest recalibration of the policy stance to a more resilient economy, rather than a hawkish shift in the reaction function.

Key Recommendations

- *Europe:* We hold ERZ7Z8 flatteners, with the market pricing only c.10bp of ECB cuts in 2028. We think a more significant reversal of hikes could be priced if terminal rate pricing rises further or if euro area growth momentum deteriorates. In EGBs, we are long 30y Netherlands vs. Germany, given relative fiscal/issuance dynamics (with German budget deficits and net supply ramping up sharply to fund infrastructure and defence spending).
- *US:* We view bonds as not yet cheap and that catalysts for a meaningful rally remain absent. We recommend 1yf 2s10s SOFR curve steepeners, which can benefit from either an inflation miss or the economy's shrugging off hikes.

Commodities

Key Forecasts

- Oil prices have largely converged with our forecasts of late, but with the Middle East situation still in flux and growing risks to continued progress in resolving the supply bottleneck, as highlighted by the disruption of the East-West pipeline in Saudi Arabia, risks to our price forecasts are skewed higher.
- Based on the scale of the current disruption and the observed price elasticity of demand this year, we think oil prices have a long way to go and could potentially rise another 50% from current levels before markets reach an organic balance if the current situation persists.

Inflation

Key Forecasts

- *US*: Inflation markets are navigating the combination of an energy price shock due to the Iran war and a near-term inflation impulse from the AI capex boom, with medium-term disinflation risk from AI. Our tracking of market-implied core CPI inflation continues to run above levels traditionally consistent with the Fed's 2% PCE target, creating a narrative tension with the market-implied rate path. Demand remains robust in the front end of the TIPS curve, as evidenced by ongoing strong inflows into front-end TIPS funds, a modest positive inflation risk premium, and tight iotas.
- *EUR*: The HICPx and RPI inflation markets have continued to reflect energy inflation risk, not only in crude terms but also increasingly due to widening crack spreads driving distillates and retail prices. Wage dynamics and growth considerations remain in focus. Recent data have provided mixed signals for core services and goods inflation. Medium-term inflation risk continues to embed a modest, but consistent positive inflation risk premium versus target-consistent levels, and 5y5y HICPx swaps have largely remained between 2.1-2.2% since the beginning of March. 5y5y RPI swaps, by contrast, have richened in recent months, reaching 3.1% in mid-September, a multi-month high.

Key Recommendations

- *US*: We recommend short 5y breakevens, energy-hedged, after the hawkish September FOMC, and 5y iota wideners due to an asymmetric risk profile, given current levels.

Credit

Key Forecasts

- *US*: We expect spreads to stay range-bound near the tights. Yield-driven demand is strong and fundamentals are solid, and the Fed's hike does little to change that: higher all-in yields should support demand and taper supply. The latter is the risk. IG issuance has already passed full-year 2025, with AI infrastructure the key driver. Demand has absorbed it so far, but at 75bp in IG and 267bp in HY, there is little cushion. The IG index is quite compressed, but in HY, CCCs continue to widen and investors are being selective between names in the AI ecosystem.
- *Europe*: We expect a modest spread drift wider, due to elevated macro volatility and supply headwinds. But resilient growth, attractive yields and strong demand should limit the amount of spread widening and continue to support carry-focused positioning.

Key Recommendations

- *US:* In IG, we prefer the belly of the curve for excess return investors, where carry+roll-down is most attractive. 10s30s spread curves have flattened to very tight levels, and the case for the long end now rests on all-in yield, rather than the curve. In leveraged finance, we prefer a defensive stance: overweight secureds over unsecureds, and loans over bonds for the curve-adjusted pickup in *pari passu*, ratings-matched loans. Flows agree, with loans taking inflows in six of the past seven weeks against IG and HY outflows. In HY more broadly, we would avoid reaching down in quality and focus on issuer selection in AI and data centers.
- *Europe:* With only a modest widening expected in our base case, we focus on optimizing carry and roll while managing downside risks. Across IG and HY, we favour down-in-rating vs. out-the-curve. This is due to valuations vs. history, relative sensitivities to performance from any widening in spreads, continued rate volatility but resilient growth, and the footprint of supply and demand. We continue to favour corporate hybrids and see value in tactical CDS hedges.

Emerging Markets

Key Recommendations

- *EM credit:* Positive fundamental trends, and the (yield) carry on offer, continue to motivate a number of our OWs in EM HY sovereigns, including Pakistan, Sri Lanka, Nigeria, Ghana and Cote d'Ivoire. The ongoing impasse in the Middle East and high oil prices create headwinds for Egypt (downgraded recently to MW), Turkey and Bolivia (both UW). El Niño and fiscal risks offset oil price tailwinds for Ecuador (downgraded recently to MW). Bottom-up trajectories remain more challenging for EM IG sovereigns compared with HY. Our two OWs in this space are Mexico and Hungary. We recently upgraded Indonesia and Peru to MW, but think that persistent rating risks continue to justify an UW rating on Romania. Likely elevated supply as a consequence of the Iran war could weigh on GCC IG spreads. Similar to EM sovereigns, we consider selectivity, rather than beta, as key for outperformance in EM corporates.
- *EM Local:* EM rates have largely followed oil higher, as it becomes harder to look through the persistence of the shock. Food inflation risks are also rising, as El Niño is expected to strengthen into Q4 and early 2027, marking a potential shift from the markedly low food inflation of the past few months. More synchronized inflation cycles, with inflation already running above target in many countries, suggest these global price shocks are hard to ignore. The Fed's lift-off also plays a role in EM's premium, which may not be high enough, with ex-ante real rates priced to stay around neutral at a time when inflation risks are rising; we see still upside in EM rates. LatAm FX could hold up in countries where growth is in decent shape (eg, the MXN), while CEE and the ZAR are likely to prove more vulnerable. Currencies managed for inflation in EM Asia could even strengthen.

Foreign Exchange

Key Forecasts

- We have maintained an expectation of a partial dollar risk premium unwind and expect EURUSD to trade at 1.12 in 9-12 months. The Fed's unanimous hawkish hike is in tune with continued US economic outperformance and a demonstration of institutional independence. At the same time, the EUR may begin to price in its own political premia ahead of the French presidential election in April 2027.
- Central bank response to global reflation is likely to drive FX differentiation. Countries with underlying demand resilience can deliver tighter policy and FX outperformance (eg, the AUD, NOK, BRL, COP). Lagging funders in places where a hawkish pivot may be imminent could

also stabilise/rebound (eg, the CHF and SEK), and Asian economies using FX as a lever against reflation can outperform (eg, the CNY, SGD). By contrast, overly hawkish monetary policy expectations point to lasting downside pressures for the JPY, NZD and CEEMEA FX.

Key Recommendations

- The EUR and JPY look like the weaker links, with policy rates repricing higher globally and the scope for differentiation across central banks increasing. We therefore recommend long USD and AUD positions versus the EUR and JPY, with the September FOMC reducing uncertainty about the Fed's reaction function, while resilient activity in Australia, further RBA tightening and commodity demand should support the AUD.

For important disclosures and further information, follow the links to the relevant reports: Equities views published in [Autumn hiccups – September Chart Pack](#), 3 September 2026, and [Is current earnings growth sustainable?](#) 17 September 2026. Bond views published in [Not enough to break](#), 17 September 2026. Commodities views published in [Energy Sigma: Long way to go](#), 21 September 2026. Inflation views published in [Relieving the market tension](#), 17 September 2026. Credit views published in [Determining the dosage](#), 18 September 2026, and [Carry still compelling, but mind the downside](#), 4 September 2026. Emerging Market views published in [Coping with tension](#), 23 September 2026. Foreign Exchange views published in [The FX effect of global reflation](#), 22 September 2026.

Global Rates Strategy

Anatomy of fiscal repricing

Fiscal repricing is not determined by debt alone. Across the US, the euro area, the UK and Japan, market outcomes depend on institutions, investor bases, political credibility and market structure. Fiscal risks matter, but the way they are transmitted differs sharply across sovereign bond markets.

Overview

- Fiscal repricing is not determined by debt levels alone. Sovereign borrowing costs depend on fiscal and monetary policy credibility, the composition of investor demand, and the market structure through which fiscal risks are transmitted.
- The United States is a unique sovereign borrower. Reserve-currency status and the role of Treasuries as the world's premier risk-free asset provide greater fiscal flexibility and make direct comparisons with other sovereign bond markets difficult.
- In the euro area, a rise in political uncertainty could prove to be the sufficient condition for the market to challenge a sovereign bond market with weak fiscal fundamentals.
- The UK's 2022 gilt crisis demonstrates that fiscal shocks become most disruptive when they interact with leverage, liquidity pressures and structural market vulnerabilities, rather than debt or deficits alone.
- Japan shows that debt sustainability depends on more than headline debt ratios. Domestic savings, investor composition, external balances and policy institutions can materially influence market outcomes.

Government bond yields have risen sharply across the developed world in recent years. While stronger growth, persistent inflation and higher policy rates have been important drivers, investors are increasingly questioning whether fiscal concerns are becoming a more important determinant of sovereign borrowing costs. The debate has intensified as debt levels remain elevated, budget deficits remain large, and central banks have stepped back from bond markets.

There is no single definition of a fiscal repricing. Similar debt and deficit profiles can produce very different market outcomes because fiscal risks are filtered through institutions, investor bases, debt-management strategies, monetary frameworks and positions within the global

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financial system. As a result, sovereign bond markets rarely respond to fiscal developments in a uniform manner.

The United States occupies a unique position within the global sovereign bond market. Treasuries serve as the world's premier risk-free asset and collateral instrument, while the dollar remains the dominant reserve currency. These characteristics provide the US with greater fiscal flexibility than most countries and make direct comparisons with other sovereign debt markets difficult. Consequently, fiscal repricing in the US is more likely to emerge through a gradual erosion of convenience yield, ie, the premium Treasuries enjoy for a given set of fiscal and monetary policy outlooks. That distinction is important because, despite growing concerns over deficits and debt sustainability, recent increases in Treasury yields have largely reflected macroeconomic repricing.

The euro area illustrates a different transmission channel for fiscal repricing. Sovereign spreads are often driven by the interaction between fiscal vulnerabilities and political risk. Countries can sustain elevated debt burdens and higher refinancing costs for extended periods when political uncertainty remains contained. However, when fiscal concerns coincide with political instability, spread widening can accelerate rapidly, as in Italy in 2018 and France after the 2024 parliamentary election. The key lesson is that weak fiscal fundamentals are often a necessary condition for , but political shocks are frequently the catalyst that turns gradual deterioration into a more disorderly market repricing.

The United Kingdom highlights a different channel through which fiscal concerns can affect markets. The 2022 gilt crisis demonstrated how fiscal announcements can have outsized consequences when they interact with leverage, liquidity constraints and market structure vulnerabilities. The episode was not simply a story about debt levels or deficits. Rather, it illustrated how policy credibility, investor confidence and financial-system fragilities can reinforce one another and amplify market stress. The experience serves as a reminder that fiscal shocks often matter most when they expose pre-existing vulnerabilities in the financial system.

Japan offers another perspective. Despite debt levels that are substantially higher than those of most advanced economies, recent increases in government bond yields have reflected changing monetary policy expectations, evolving supply-demand dynamics and a gradual reassessment of long-term fiscal risks. At the same time, Japan's large domestic savings base, substantial external assets and domestically anchored investor base have provided policymakers with considerably more room to manage fiscal challenges than headline debt metrics alone would suggest.

Taken together, these experiences suggest that fiscal outcomes cannot be assessed through debt ratios alone. Across countries, fiscal repricing emerges through different channels: convenience yield in the US, political fragmentation in Europe, financial-system vulnerabilities in the UK and domestic-versus-external balance sheet constraints in Japan.

US: Not your typical borrower

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- The rise in Treasury yields this year has primarily reflected stronger growth, persistent inflation and a higher expected path of policy rates rather than a fiscal repricing. Fiscal concerns have nevertheless become a more prominent part of the market discussion.
- The United States is a unique sovereign borrower. It borrows in its own currency, issues the world's premier risk-free asset and operates the deepest and most liquid sovereign bond market, supported by a broad and diverse investor base.
- A fiscal repricing would likely therefore entail only a gradual erosion in the convenience yield of USTs, which could manifest as Treasuries cheapening to other safe havens and potentially a change in traditional safe-haven relationships between Treasuries, risk assets and the dollar.

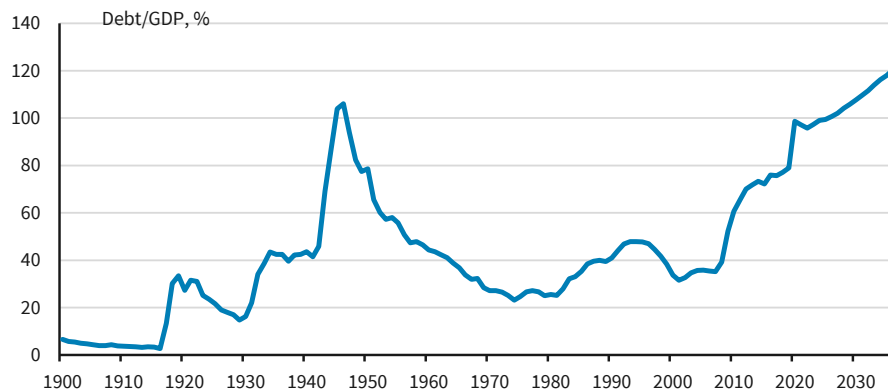
Why the fiscal discussion is gaining momentum

The rise in long-term Treasury yields has renewed debate about the US fiscal outlook. Deficits remain large, debt continues to increase relative to GDP and interest expense is consuming a growing share of federal spending. Yet the recent increase in yields has been driven primarily by stronger growth, persistent inflation and a higher expected path of policy rates. Fiscal policy may have contributed to that backdrop by supporting aggregate demand, but that is different from investors demanding a specific fiscal premium to hold Treasury securities (see [here](#)).

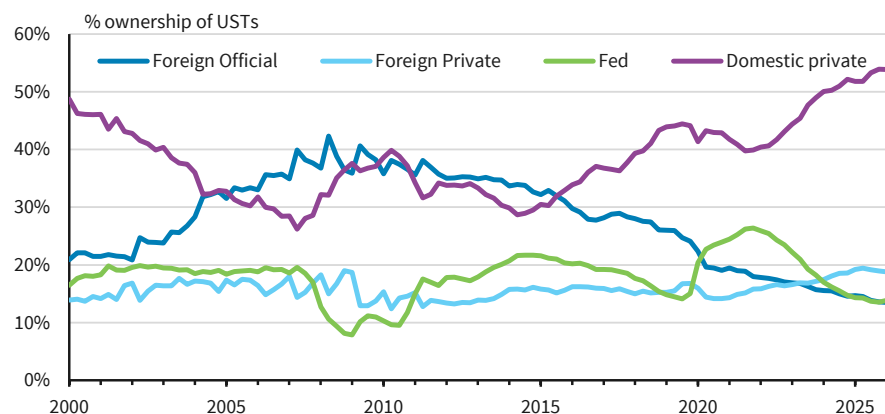
This distinction matters because the same yield level can reflect very different forces. Higher yields may be driven by a stronger economy and a higher expected policy path or by investors requiring greater compensation to absorb government debt. Yield levels alone do not tell us which mechanism is at work. At the same time, rising deficits and borrowing needs have led investors to focus more closely on the potential consequences of fiscal policy for bond valuations.

Several developments can help explain why fiscal concerns have become more relevant. The starting debt burden is significantly large at 100% of GDP, while deficits are projected to remain elevated for years to come, pushing debt/GDP ratios even higher ([Figure 1](#)). Interest costs are also rising as older low-coupon debt is refinanced at higher rates. Meanwhile, the investor base has evolved. The Federal Reserve and foreign official institutions account for a smaller share of Treasury ownership than during previous periods of heavy issuance, leaving private price-sensitive investors to absorb a greater share of incremental supply (see [here](#)) ([Figure 2](#)).

The role of Treasuries within a broader portfolio has also become less dependable. During much of the post-financial-crisis period, bonds provided a powerful hedge against equity-market weakness, allowing investors to accept lower yields. More recently, inflation uncertainty has weakened those diversification benefits. None of these developments implies that a fiscal repricing is underway. They do, however, help explain why fiscal developments have become a greater focus for investors.

FIGURE 1. Debt is projected to rise well beyond previous highs under current law

Source: CBO, Barclays Research

FIGURE 2. Treasury buyer base has become more price sensitive

Source: Federal Reserve, Barclays Research

Why the US is different

If fiscal concerns were to grow more important to global investors, the US experience would likely greatly differ from that of most sovereign borrowers. The US borrows in the reserve currency of the world-its own (Figure 3), issues the world's premier risk-free asset and operates the deepest and most liquid sovereign bond market. Treasury securities sit at the center of global funding, collateral, reserve-management and risk-transfer markets. No other sovereign market performs all of these functions simultaneously.

The breadth of the investor base is equally important. Treasury demand comes from commercial banks, pension funds, insurance companies, and mutual funds from not just within the US, but also the rest of the world. The liquidity, safety and collateral value Treasuries provide allow them to command a convenience yield, with investors willing to accept lower returns in exchange for these benefits (see [here](#)).

The structure of the market itself further distinguishes the US from most sovereign borrowers. Primary dealers are required to participate in Treasury auctions and are expected to bid on a pro rata basis at reasonably competitive prices.²

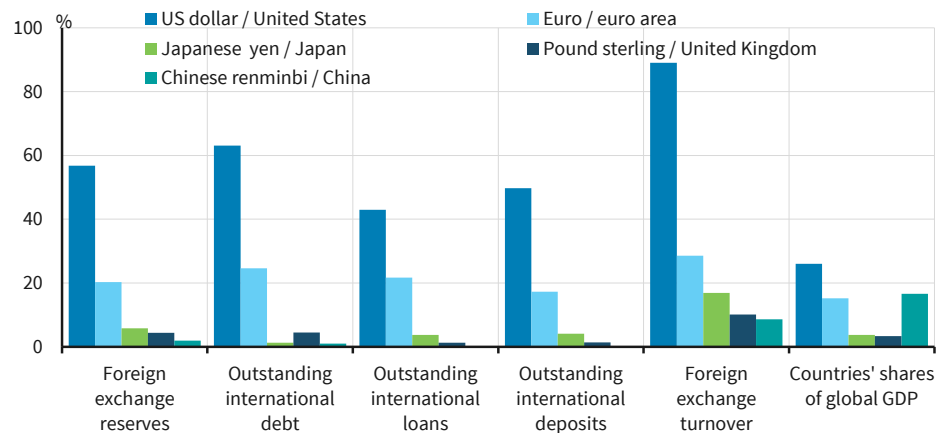
² <https://www.newyorkfed.org/markets/primarydealers>

These characteristics do not make debt and deficits irrelevant. Rather, they influence how fiscal pressures are likely to manifest themselves. In the US, fiscal concerns are likely to be reflected as the compensation investors require to absorb an expanding supply of Treasury securities.

The historical evidence is broadly consistent with this view. A substantial literature has sought to isolate the effect of fiscal policy from the business cycle and monetary policy (Figure 4). Studies generally find that a 1 percentage point increase in projected debt-to-GDP raises long-term rates by roughly 2-4bp, while a sustained 1 percentage point increase in the deficit-to-GDP ratio raises rates by approximately 15-30bp. Deficits tend to have a larger effect because they imply a continuing flow of future borrowing and a much larger cumulative addition to the debt levels.

Hence, debt and deficits do affect rates, but the magnitude of those effects on Treasury yields has historically been modest relative to the scale of changes in fiscal fundamentals, consistent with the special role Treasury securities play in the global financial system.

FIGURE 3. USD is the world's reserve currency by far



Note: Since transactions in foreign exchange markets always involve two currencies, foreign exchange turnover shares add up to 200%.

Source: ECB, Barclays Research

FIGURE 4. Sensitivity of interest rates to debt and deficits

Authors	Rates response	Approach
Response of rates to a 1% increase in projected debt/GDP ratio		
Engen and Hubbard (2004)	3bp	5y10y Treasury yield and current 10y real rates regressed on 5y-out projected debt/GDP. Rate responses using current debt/GDP as debt variable are statistically insignificant.
Traum and Yang (2015)	2.7bp	10y real rates regressed on debt/GDP and controls. Method: DSGE
Laubach (2009)	2.1bp	Estimate based on Cobb-Douglas production function.
Neveu & Schafer / CBO (2024)	2bp	10y Treasury regressed on 5y-out projected debt/GDP, sample extended through 2023. Recursive regressions show the coefficient has been stable over recent history.
Plante, Richter & Zubairy / Dallas Fed-NBER (2025)	3bp (on 5y5y)	Changes in 5y5y on changes in fiscal variables (debt or deficit) and controls. About three-quarters of the increase in interest rates is driven by term premium.
Bhatt, Diercks, Eyal & Skaperdas / Federal Reserve Board (2026)	~3–4bp (1–2bp r^* + 2–3bp 10y TP)	Causal estimate using a natural experiment (2020 election outcome pricing in a debt-financed stimulus).
Response of rates to a 1% increase in projected deficit/GDP ratio		
Dai and Philippon (2004)	40-50bp	10y yield regressed on change in deficits/GDP for 3 years. Half of the effect is due to higher risk premia on long-term bonds, the remainder due to higher expected spot rates. Method: dynamic term structure model.
CBO (2019)	15-19bp and 10-20bp, respectively	5y10y real rates and 5y3m rates, respectively, regressed on 5y-out projected deficit/GDP. The effect remains statistically significant when including post-2007 period in the data sample, but only after controlling for Fed and foreign holdings of Treasuries.
Engen and Hubbard (2004)	18bp	5y10y yield and regressed on 5y-out projected deficit/GDP. Regressing on current 10y real yields or using current deficit/GDP as debt variable produces insignificant results.
Laubach (2009)	25bp	Regressing the 5y-ahead forward long-term rate on the 5y-out projected deficit/GDP ratio.
Furceri, Goncalves & Li / IMF (2025)	20-30bp	Extends Laubach (2009) by ~20 years (1976–2025) and extends the set of control variables. Key finding: the link between long-term rates and fiscal variables is not stable over time: near zero around the fiscal-prudence years ~2000, but has increased as fiscal positions deteriorate.

Source: Compilation of academic studies, CBO, Barclays Research

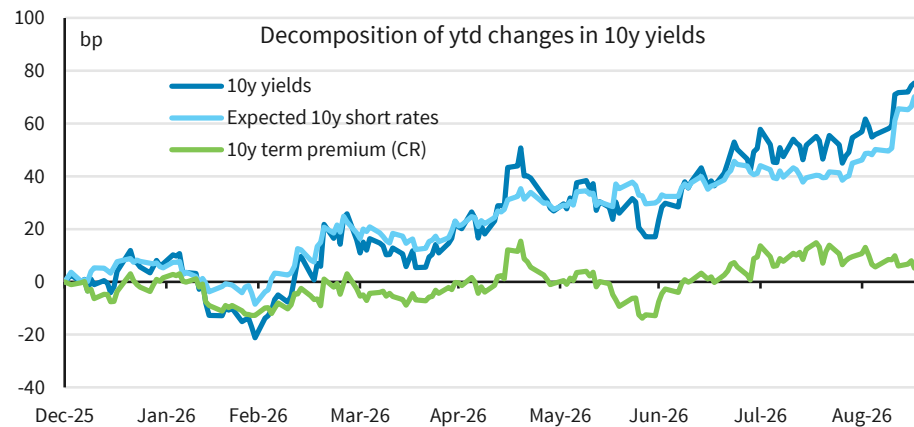
How would a fiscal repricing manifest itself?

A fiscal repricing is unlikely to be identified through a specific Treasury yield or the crossing of a particular debt threshold. Long-term yields respond to too many forces for the outright level to provide a clean read. The more useful distinction is between an economic repricing and a Treasury-specific repricing. In the former, yields rise because growth, inflation or the expected path of policy rates moves higher. In the latter, investors demand additional compensation to hold Treasury securities that cannot be explained by the macroeconomic outlook alone.

Expected rates versus term premium

The most useful starting point is the decomposition of long-term yields into expected short rates and term premium. If the economy is driving yields higher, the expected policy-rate path should move higher and expected rates should account for much of the increase in long-term yields.

A Treasury-specific fiscal repricing should be more visible in term premium. Longer maturities carry greater duration risk and greater exposure to the future supply of government debt. As a result, fiscal concerns should cause term-premium estimates to rise without a proportionate increase in the expected path of policy rates. The distinction is not perfect, since fiscal policy can affect growth and inflation while uncertainty around monetary policy can also raise the term premium. Nevertheless, the decomposition provides a useful first filter. So far this year, this has not happened (Figure 5).

FIGURE 5. The year-to-date rise in 10y yields has been driven by the expected path of short rates, not the term premium

Source: San Francisco Fed, Barclays Research

Relative valuations

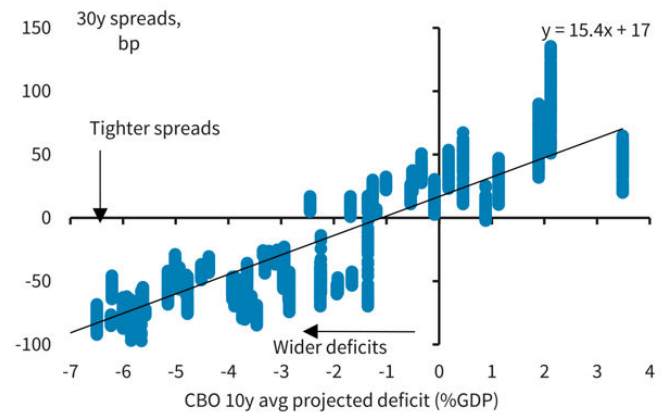
Swap spreads provide a direct measure of Treasury valuations relative to other fixed income instruments. Since both Treasury yields and swap rates reflect expectations for short-term rates, the difference between them can help isolate the valuation attached specifically to holding Treasury securities.

Historical experience illustrates the point. During the 1990s, long-dated Treasuries benefited from a scarcity premium as budget surpluses reduced the expected supply of government debt. As the fiscal outlook shifted toward persistent deficits, that premium diminished and Treasury yields rose relative to swaps. Our work finds that a 1pp increase in the projected average deficit-to-GDP ratio is associated with roughly 15bp of Treasury cheapening relative to swaps at the 30-year maturity (Figures 6 and 7).

Comparisons with other high-quality assets provide a similar lens. Narrowing spreads between AAA corporates and Treasuries, for example, may indicate a decline in Treasury convenience value. None of these measures is a pure fiscal-risk indicator, since quantitative tightening, regulation, balance-sheet constraints and the supply of other safe assets also matter. Nevertheless, they help distinguish a rise in yields driven by policy rates from a deterioration in the relative valuation of Treasury securities.

FIGURE 6. The fiscal outlook has manifested itself as tighter swap spreads

Source: CBO, Bloomberg, Barclays Research

FIGURE 7. A 1pp increase in sustained deficit projections leads to 15bp tighter swap spreads

Source: CBO, Bloomberg, Barclays Research

Volatility and safe-haven behavior

Fiscal concerns can also manifest themselves through higher rates volatility. Larger debt levels make government financing costs more sensitive to changes in interest rates, while greater uncertainty around future borrowing needs can create additional uncertainty around Treasury issuance and long-term rates. We find that periods of worsening debt dynamics have historically been associated with higher realized Treasury volatility, even after accounting for macroeconomic uncertainty (see [here](#)).

One signal to watch is a change in Treasuries' traditional safe-haven characteristics. Historically, a demand-driven growth slowdown has caused investors to move into duration, pushing long-term yields lower. A fiscal repricing would be more evident if long-end yields rise despite clear evidence of weakening demand and growth. Even during COVID, when budget deficits rose sharply, 30y yields fell to about 2%. A similar signal can be derived from the relationship between UST yields and the US dollar. Yields rising while the dollar weakens on a persistent basis could suggest that fiscal concerns are potentially at play.

A fiscal repricing would not simply mean higher yields. It would involve rising term premia, persistent long-end , Treasuries cheapening relative to other high-quality assets, elevated volatility and a deterioration in traditional safe-haven relationships.

Taken together, these indicators do not yet point to a fiscal repricing, as the rise in yields has primarily reflected stronger growth, persistent inflation and a higher path of policy rates.

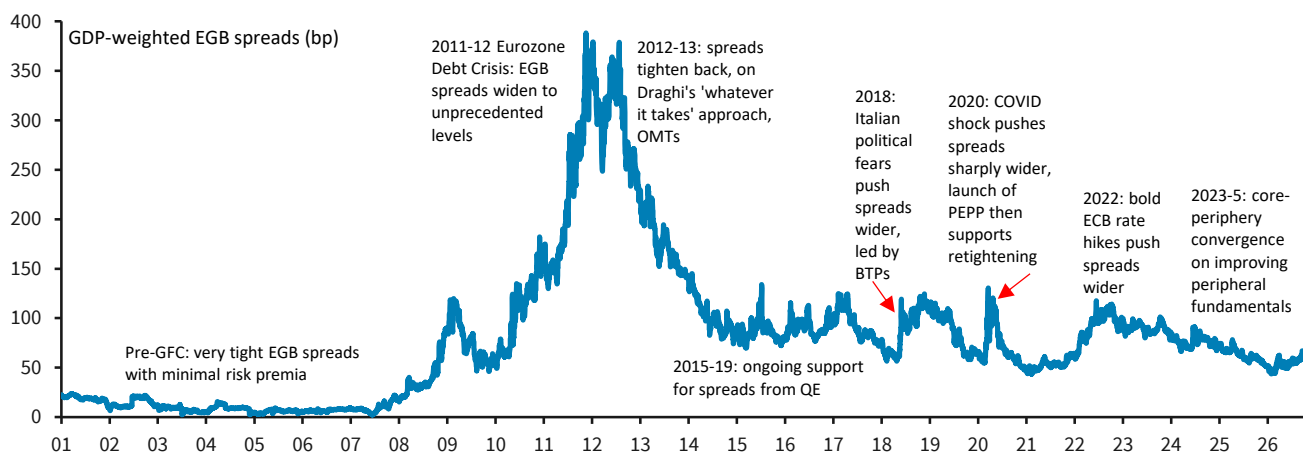
EUR: "It's the politics, stupid"

Max Kitson Barclays, UK | Rohan Khanna Barclays, UK | Pratham Hukmat Kingar Barclays, UK

- **Euro area government bond spreads are primarily political risk-premium instruments.** Weak fiscal fundamentals can produce gradual , but a political catalyst is generally required to trigger a sharp repricing, as illustrated by Italy in 2018 and France after the 2024 parliamentary election.
- **Higher yields are raising sovereign refinancing costs, but they do not automatically signal debt distress.** Many sovereigns are refinancing above the average cost of their existing debt, although resilient nominal growth and still-favourable interest-rate-minus-growth differentials can partially absorb the effect.
- **Political risk could become a more important source of spread volatility in 2027.** Elections in France, Italy, Spain, Greece and Finland, coupled with the rise of non-centrist parties, could generate country-specific volatility, with France particularly exposed, given its weak primary balance record and limited political capacity for fiscal adjustment.

Euro area government bond spreads versus Germany have had various regimes over the past two decades (Figure 8). While the pre-GFC era was characterised by very tight cross-country spreads following the inception of the common currency, the GFC followed by the euro area banking and debt crisis pushed these spreads to another extreme. Bond yields soared to such highs in this period that countries in the eye of the storm – Greece, Portugal, Ireland and Cyprus – were locked out of the bond market for many years, whereas Spain received a large bailout to recapitalise its banks, allowing it to retain bond market access, but at punitive rates. This period also created an alphabet soup of EU-level institutional changes, with the setting up of the European Stability Mechanism (ESM) and European Financial Stability Fund (EFSF), and forced the ECB to pull many rabbits out of its hat, including ex-ECB President Draghi's 'whatever-it-takes' commitment.

FIGURE 8. EGB spreads have gone through multiple regimes



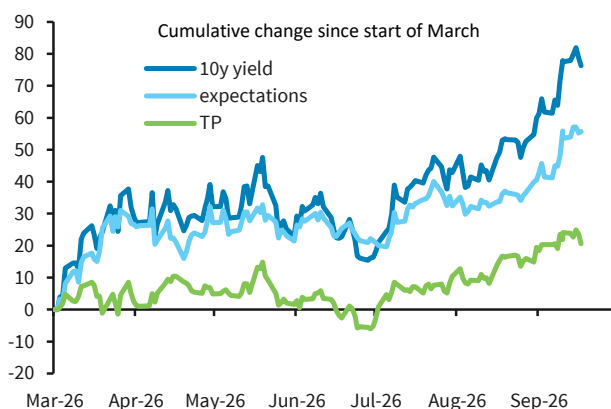
Note: Chart shows 10y GDP-weighted EGB spreads versus 10y Germany
Source: Bloomberg, Barclays Research

While much has changed since this existential moment, one that was characterised by eurozone break-up risks and significant bond market fragmentation, the fear of an encore still lingers. This is especially true since some euro area sovereigns face a particularly challenging mix of high bond yields, widening deficits and an already high and increasing debt-to-GDP, alongside a growth backdrop hamstrung by various factors, including political uncertainty. While

institutional changes such as the NGEU and the ECB's Transmission Protection Instrument (TPI) may provide a backstop, the latter has never been tested in earnest and is unlikely to be deployed without an unwarranted increase in fragmentation risks.

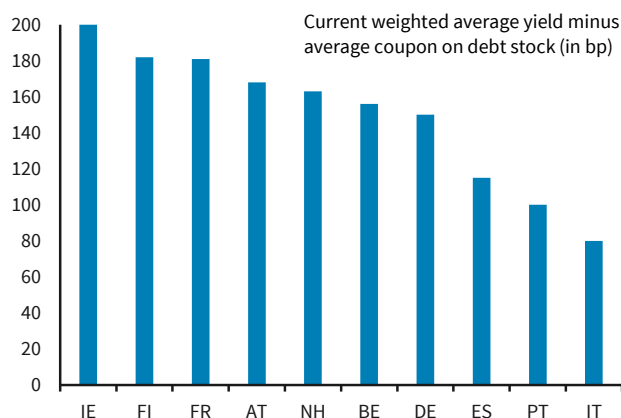
As discussed in the US section, higher bond yields in themselves are not a reflection of bond market stress. For example, a significant proportion of the increase in EGB yields since the Gulf conflict began are down to a repricing of the ECB's policy path (Figure 9) in the wake of the inflation shock, with growth staying resilient. Admittedly, this rate shock has increased financing costs for euro area sovereigns further. Figure 10 underscores that many euro area DMOs are refinancing at yields 80-150bp higher than the cost of their debt stock, with the metric rising to c.180bp for countries such as France. This directly raises the question, *at what yield levels does it become a problem for the sovereign?*

FIGURE 9. The repricing of rate expectations has been the primary driver of higher EGB yields since the conflict started



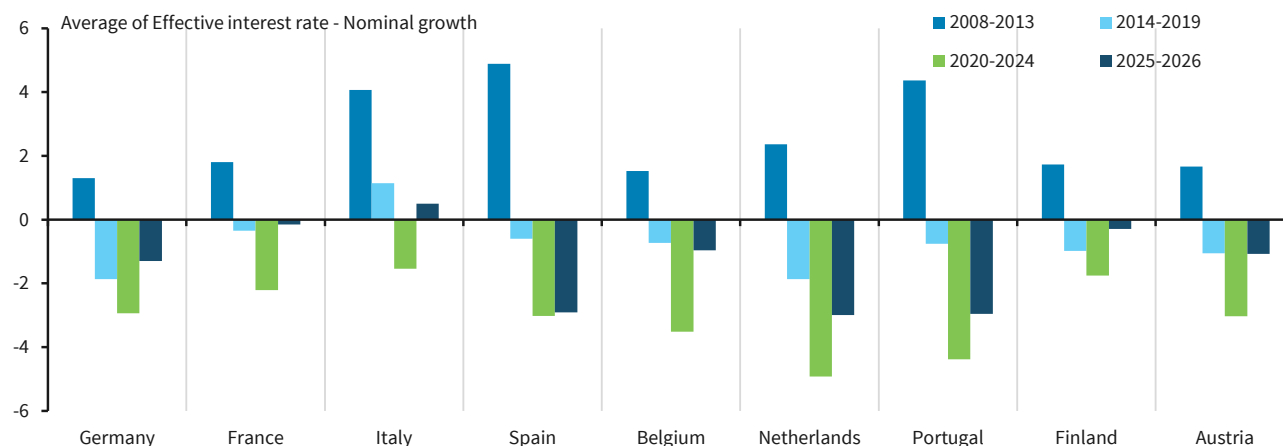
Source: Bloomberg, Barclays Research

FIGURE 10. All euro area sovereigns are refinancing their debt stock at yields well above the average cost of debt



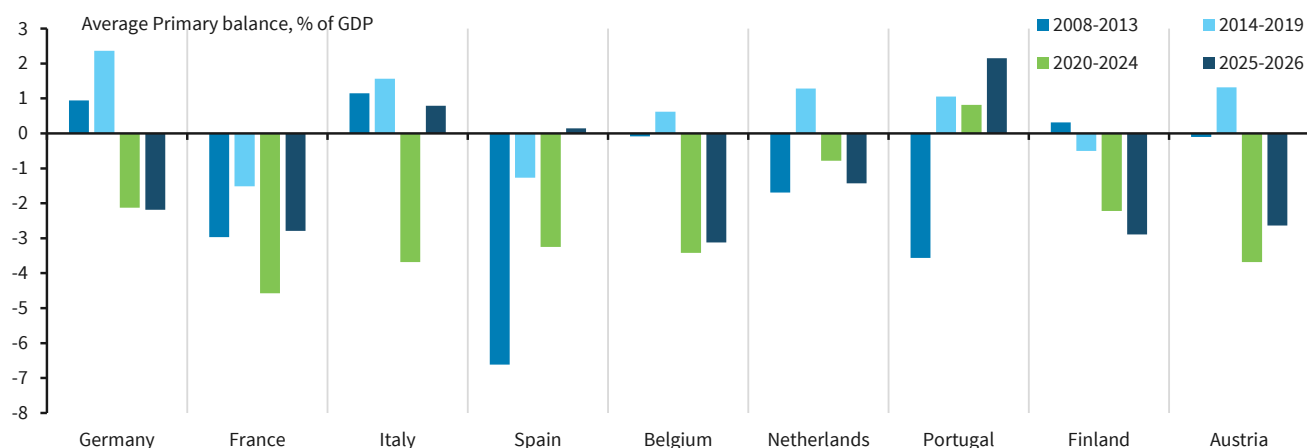
Source: Bloomberg, Barclays Research

Higher interest costs (R), though, are just one part of the equation. As in any debt sustainability analysis, nominal growth (G) also needs to be considered. Figure 11 captures the R-G difference for various euro area sovereigns over various sample periods. What is striking is that though $R-G > 0$ during the GFC and the debt crisis, almost all countries have had $R-G < 0$ since then. Clearly, the various ECB policy measures that helped reduce fragmentation risk also helped the R-G calculation. With the inflation shock that came following COVID, euro area economies enjoyed one of the strongest nominal GDP growth episodes, which helped keep R-G negative despite the surge in yields between 2022 and 2024. Over the past two years, this tailwind has been dwindling to some extent, but in the wake of another inflation shock in the making, alongside growth staying resilient, the interest rate shock can be offset to some degree.

FIGURE 11. Average effective interest rate minus nominal GDP growth over the years

Source: AMECO, Haver Analytics, Barclays Research

An unfavourable R-G calculation makes the fiscal effort needed to stabilise debt-to-GDP more demanding, especially if the starting point and track record of generating primary surpluses is poor (Figure 12). This is a key reason why France's fiscal math is very daunting, given its scant track record of generating a primary surplus.

FIGURE 12. Average primary balance as a % of GDP over the years

Source: Statistical Office of the European Communities, Haver Analytics, Barclays Research

However, a challenging fiscal backdrop by itself is not sufficient for a market event, and the turmoil in OATs since 2024 is a good example. To be clear, France's fiscal fundamentals did not deteriorate after the 2024 snap parliamentary election; they had been weak and under pressure for a prolonged time. As a reflection of this dynamic, OATs had been gradually underperforming other euro area sovereigns such as Spain that had much better fiscal dynamics. The political uncertainty provided the catalyst for the market to accelerate this , with increased spotlight on the daunting fiscal math and little political appetite or ability to address the issue at hand.

Another example that highlights this dimension of bond market turmoil is what happened in BTPs in 2018. With the new Five Star - Lega government taking office, certain key appointments, alongside a contentious budget-related stand-off with the EU, resulted in a c.200bp widening in 10y BTP versus Bunds. This was a period when the monetary policy backdrop was quite

supportive of tighter spreads, as policy rates were negative and the ECB was conducting asset purchases. Yet, an idiosyncratic political reset in Italy sent its bond yields soaring as investors stepped away. The bond market tumult lasted almost six months before the government softened its tone on its fiscal ambitions.

Thus, we see EGB spreads as political risk-premium products. Higher yields, wider deficits or high debt-to-GDP ratios in themselves cannot create a fiscal event for the market. As has been seen time and again, without a rise in political uncertainty, the in EGBs versus peers or on ASW is a slow-moving dynamic. That said, in 2027, five key euro area sovereigns will go to the polls: France, Italy, Spain, Greece and Finland. With the continued rise of non-centrist political parties, the political reset could be a source of persistent volatility for specific EGB markets, with France particularly in focus.

UK rates: 30y gilts remain a 'person of interest' in bond market sell-offs

Moyeen Islam Barclays, UK

- Despite more sympathetic debt metrics and significant early adjustments to debt management and issuance policy, the gilt market remains haunted by the events of 2022.
- The LDI crisis provides a road map to a 21st century bond market crisis. While the catalyst was an ill-judged fiscal expansion, the degree of leverage and market structure helped shape the crisis, which in essence was one of private sector financial fragility.
- A repeat of the 2022 experience seems unlikely, given the lessons have been well learned by policymakers. But leverage from discretionary macro investors remains an ongoing area of concern for policymakers.

In the most recent bout of bond market turbulence, the market has inevitably resurrected collective memories of the events of the 2022 gilt/LDI crisis. It is understandable that the shadow of the LDI crisis still looms over the gilt market and, as we are frequently reminded, "those who cannot remember the past are condemned to repeat it". But it would not be correct to think that UK institutions and policymakers have ignored the lessons from that experience – in fact quite the opposite. But as recency bias is a well-known phenomenon affecting many market participants, the long end of the gilt curve remains a 'person of interest' when thinking about potential bond market crises. That said, what can be gleaned from thinking about the vulnerabilities that led to the experience of 2022? Could they re-occur, and what are the warning signs from the UK in 2022 that other markets could heed?

Bond crisis: "I know it when I see it" – but might we see it again in gilts?

US Supreme Court Justice Potter Stewart's famous turn of phrase could easily be applied to bond market crises. A 21st century bond crisis is not characterized by uncovered auctions, spiraling yields and a triumph of the 'bond vigilantes'. Rather, if the experience of the UK in 2022 is anything to go by, it is a story about credibility, leverage and market structure. We have written extensively on the LDI crisis, both at the time and retrospectively, as well as on lessons from it for other sovereign issuers, the applicability of which will hinge on the identification of similar traits.

The innate nature of crises is that they frequently start slowly until a trigger acts as an accelerant on a transmission mechanism, requiring rapid corrective policy interventions. More broadly, that trigger can be a loss of confidence in fiscal policymaking and institutional processes. In 2022, the degree of leverage embedded in UK LDI strategies was the transmission

mechanism, which turned a sharp sell-off into a systemic liquidity event. This distinction is important because it suggests fiscal slippage alone can be viewed as a necessary but not sufficient condition for a bond market crisis. Rather, the credibility shock of weakening or unsustainable fiscal policy becomes dangerous when it interacts with existing financial system vulnerabilities. If we frame the LDI crisis in this way, the events of the September 2022 gilt crisis appear fundamentally to have been an idiosyncratic UK event driven by a combination of fiscal policy errors and structural vulnerabilities in the UK pension system. For policymakers, the key lesson is not that bond vigilantes are perennially poised to pounce but that institutional credibility, hidden leverage and financial sector vulnerabilities matter enormously.

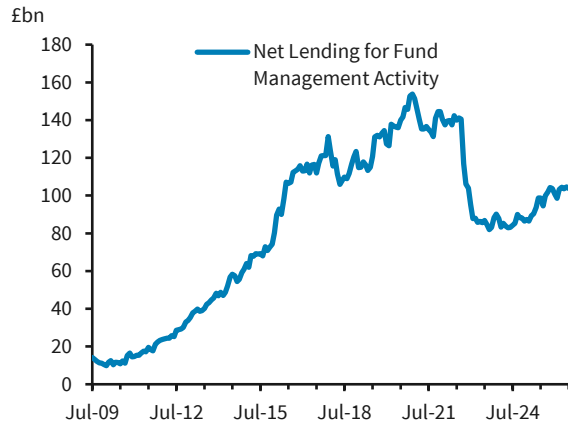
The crisis began with the Truss government's September 2022 mini-budget, which announced large unfunded tax cuts and extensive energy support without an accompanying assessment from the OBR that would have allowed the changes in fiscal policy to be placed within the context of a wider medium-term fiscal strategy. Markets interpreted this as a deterioration in fiscal discipline, causing a sharp rise in gilt yields, especially at the long end. The key problems were:

- A sudden shift towards aggressive fiscal expansion.
- No independent fiscal forecast to explain the sustainability of the plans.
- A large, unanticipated increase in gilt issuance with no attempt at management of future expectations.
- Concerns that fiscal policy was inflationary and thus working against the Bank of England's inflation remit.

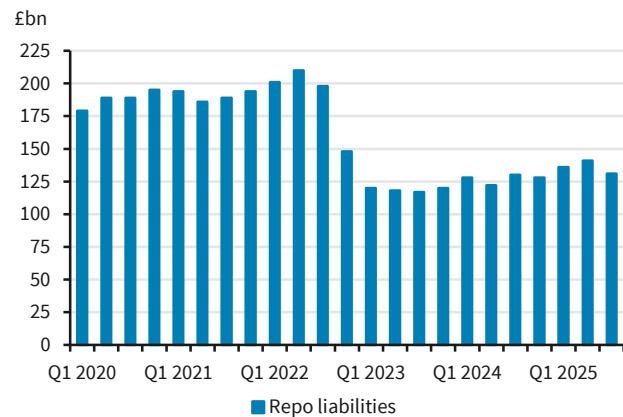
As the government loosened fiscal policy while annual inflation was already above 10%, investors assumed the BoE would have to tighten policy much more aggressively. The market briefly priced close to 370bp of additional tightening over five MPC meetings with Bank Rate peaking near 6% by mid-2023, with some risk of emergency inter-meeting hikes and multiple 75-100bp moves. The MPC was at risk of losing control of market expectations as interest rate pricing became a reaction to fiscal policy rather than central bank guidance.

Leverage can lie dormant but is awoken by volatility

The market move itself was not enough to create a crisis. What turned it into a systemic event was the large degree of repo leverage embedded in UK pension fund LDI strategies. As yields rose, pension funds faced margin calls and were forced to sell gilts to raise cash, creating a spiral of selling and cash calls. The leverage within the system had built up over many years and was largely hidden until volatility exposed it. As the BIS note in their latest [Quarterly Review](#), leverage is inherently pro-cyclical and amplifies volatile price action, triggering forced selling in stress periods. This is exactly what happened in the gilt market in 2022 as it eventually became a classic liquidity event, requiring central bank intervention in the form of its original role as a reliquifier of impaired collateral to restore market functioning. In the aftermath, the market has seen a material reduction in pension fund repo borrowing, the introduction of mandatory liquidity buffers and higher holdings of shorter-dated and more liquid assets. [Figure 13](#) shows that net lending to UK real money from banks still remains below its 2022 level, implying a lower degree of leverage in the pension fund sector. This is confirmed by the latest data on pension scheme repo liabilities ([Figure 14](#)).

FIGURE 13. Net lending to pension funds

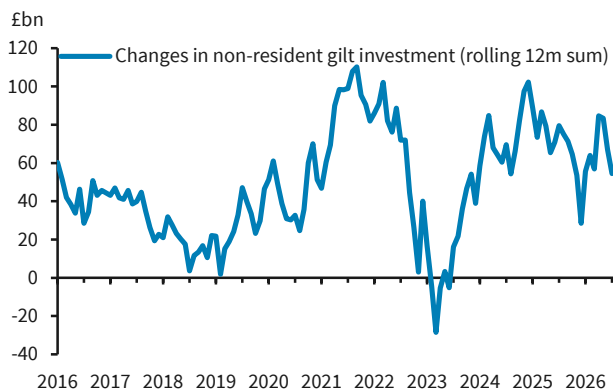
Source: Bank of England

FIGURE 14. Pension fund repo liabilities

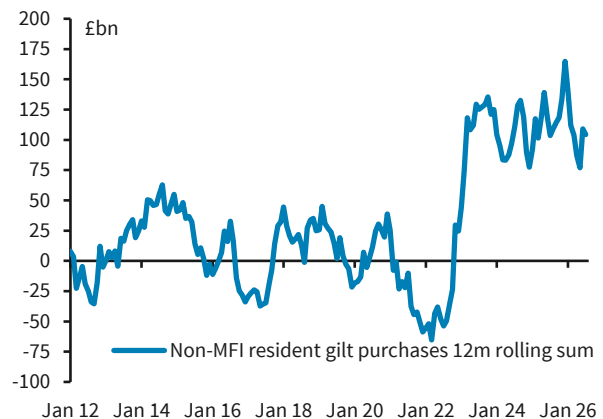
Source: National Statistics

Every crisis offers a teachable moment

So, to what extent can the events of September 2022 be seen as a blueprint for other markets, and what is the potential for a repeat performance in the UK? Our view is that many of the issues that were underlying drivers of the LDI crisis are not as prevalent domestically as they were and that the triggers of 2022 are no longer as significant. First and foremost, it would be a reach to think that the episode triggered a lasting rejection of UK government debt as discretionary appetite for gilts has remained solid (Figure 15 and Figure 16). But it did give rise to an impression of fiscal vulnerability that has proven nigh on impossible to shake off. Above all else, perhaps the most important lesson is the obvious one that once fiscal authorities lose market confidence, regaining it is difficult and often forces policymakers into more cautious behaviour later. It means that the policy path becomes intrinsically risk averse, leading to possible sub-optimal outcomes.

FIGURE 15. Overseas gilt purchases

Source: Bank of England

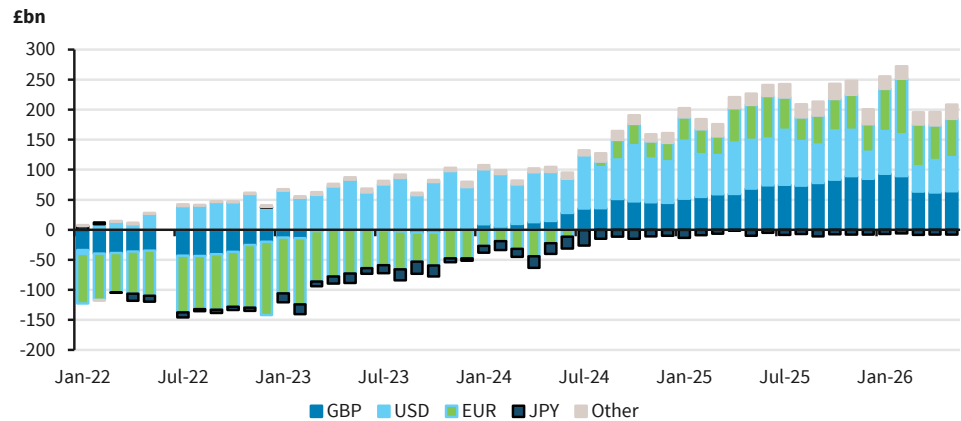
FIGURE 16. Domestic non-bank gilt purchases

Source: Bank of England

The identification of stress points remains crucial. The Bank's [SWES exercise](#) as part of its financial stability mandate helps identify and focus on systemic risk issues. Prior to the crisis, the Bank had identified pension scheme leverage risks in LDI and discussed these in financial stability publications, but it lacked a ready-made toolkit to address them quickly. This has now been rectified. The most important broader financial-stability lesson is that leverage can

accumulate quietly for years and become destabilising very quickly during periods of market stress. But leverage does not disappear – it moves to other parts of the financial system and so ideally will be subject to greater scrutiny and additional measures (eg, the imposition of greater bilateral haircuts on repo exposures). Figure 17 shows the banking sector's aggregate repo exposure via repo lending to hedge funds across sovereign bonds, which now sits at around £200bn.

FIGURE 17. UK bank net reverse repo lending vs govt bond collateral now sits at c£200bn



Positive values indicate net lending to hedge funds (ie, lending cash vs taking bonds as collateral)
Source: Bank of England FSR July 2026

The 2022 gilt crisis should be viewed primarily as a warning about credibility, leverage and market structure, rather than evidence that advanced economies are generally vulnerable to bond-market revolts. The fiscal shock created the initial loss of confidence, but the severity of the crisis was overwhelmingly amplified by the unique structure of the UK pension and gilt markets. For rates investors, the enduring lessons are that fiscal credibility remains valuable and can be lost quickly. To that end, large increases in government bond supply and an unchecked rise in general debt can matter when credibility is questioned. Hidden leverage is often the true source of financial instability, but for the UK, structural reforms after 2022 have reduced, but not eliminated, vulnerabilities in the UK long-end gilt market. For today's market, the implication is that investors should focus on three indicators that matter at least as much as the outright level of debt or deficits:

- **Fiscal credibility and issuance expectations:** markets can absorb large deficits, but unexpected fiscal shifts without a credible framework are much harder to digest.
- **Financial sector leverage:** the lesson from 2022 is that hidden leverage matters more than headline debt levels. The next crisis is unlikely to come from exactly the same place, but similar vulnerabilities could emerge elsewhere in the financial system.
- **Market functioning matters more than yield levels alone:** the Bank intervened because of impaired market liquidity, not because yields reached a particular threshold. Monitoring repo markets, collateral stress and liquidity conditions remains critical.

Japan: Fiscal sustainability and the long runway

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- The driver of the significant rise in JGB yields over the past few years has shifted between BoJ rate hike expectations and term premia. In the face of increasing funding pressures and lack of stable domestic institutional demand, the Japanese government has reduced superlong JGB issuance and is seeking JGB demand from various sources.
- Our analysis suggests any large increase in JGB term premia, fiscal expansion and/or growth slowdown could destabilize domestic equilibrium (Domar condition), resulting in a higher debt-to-GDP path. However, Japan's strong external position gives the country an unusually long runway over which to address its fiscal challenges.

JGBs faced significant pressures over the last few years, but not a crisis

The driver of the significant rise in JGB yields over the past few years has shifted between the BoJ rate hike expectations and term premia. Decomposing the changes in JGB yields since 2024, the main driver of higher yields was BoJ rate hike expectations in 2024, superlong term premia in 2025, and both renewed BoJ rate hike pricing and term premia in belly sectors in 2026 (Figure 18).

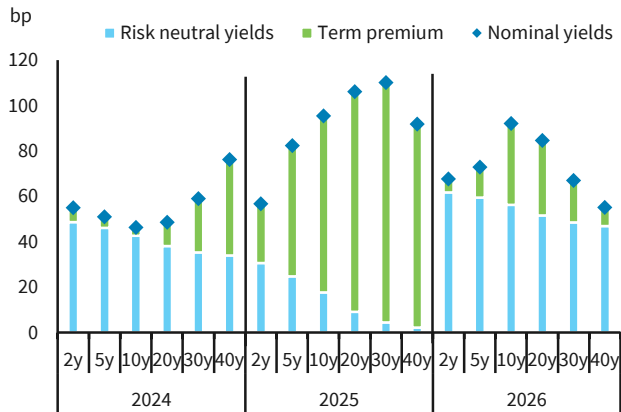
Term premia expansion reflected both “behind the curve” concerns regarding the BoJ and fiscal worries. The former has recently been unwound to an extent as markets have priced in a faster hiking path toward 2% (Figure 19), the midpoint of the BoJ's neutral rate estimate, likely driving a large portion of the 20bp decline in 30y term premia in early September.

However, fiscal worries remain undeterred as PM Takaichi's push for a significant fiscal expansion remains unwavering as she shifted the fiscal target from the primary balance surplus to lowering the debt-to-GDP ratio while utilizing “bridging” JGBs.³

We expect gross JGB issuance in FY27 to increase sharply – by JPY20trn, to JPY200trn (see [FY27 JGB issuance outlook](#)). While the JPY20trn increase at higher yields could arguably be absorbed by various investor bases, including households and overseas accounts, the risk of further fiscal expansion remains a concern. For example, Japan is reportedly considering raising defense spending to 3.5% of GDP to be in line with NATO and US allies (eg, Korea), suggesting further upside risks to fiscal outlays (Bloomberg, 15 Sep).

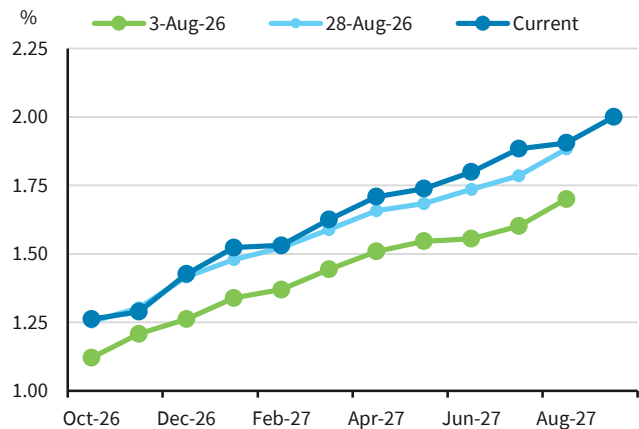
³ Issued under a Special Account that is envisaged to be newly established, with separate redemption resources (to be discussed later), and is technically outside the scope of fiscal targets.

FIGURE 18. Driver of rising yen rates



Source: Barclays Research

FIGURE 19. BoJ rate hike expectations



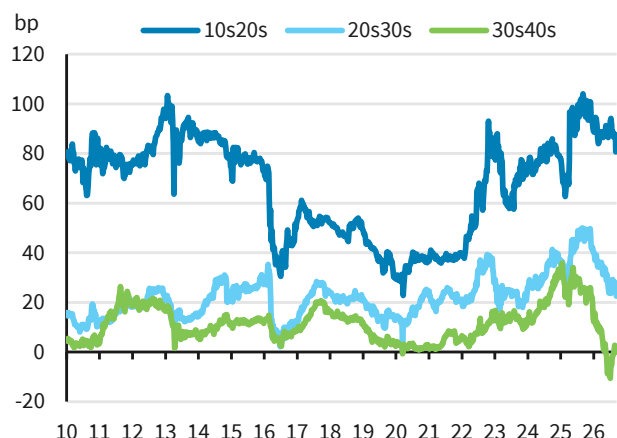
Source: Bloomberg, Barclays Research

In the face of increasing funding pressures and a lack of stable domestic institutional demand, the Japanese government has adjusted JGB issuance and is seeking to broaden demand. A lack of demand came into focus with the vulnerability of the superlong sector in early 2025 driven by the evaporation of demand from lifers due to regulatory and structural headwinds (see [Credit and Rates Research: Macro Implications of New Insurance Solvency Rules in Japan](#) and [FY25 life insurer results](#)). Demand from other investors was also receding in the face of rapidly rising rates, which incurred significant losses on their JGB portfolios. Additionally, Japanese investors tend to be volatility-averse, with the beta of their JGB net purchases turning negative when yields break above the recent range, causing negative-gamma-like investment behaviors (see [2022 gilt-style crisis for Japan?](#)).

Against such a backdrop, the government responded by reducing issuance in the superlong sectors and searching for new investor demand. First, MoF has shifted its issuance tenors from superlong sectors to 2y and bills since mid-2025, which has contributed to relative stability beyond the 20y sector. Second, the Takaichi administration has suggested the possibility of GPIF repatriation to domestic assets. Our analysis shows that a 5-10pp shift from foreign bonds to domestic bonds is plausible given higher JGB yields, and such flows could drive superlong bull-flattening by 10-20bp in the 10s30s curve (see [Rates and FX impact of GPIF allocation and retail JGB measures](#)). Additionally, higher yields, as well as calls for providing tax incentives (considered as part of the FY2027 tax reform requests) and increasing product offerings of retail JGBs, could attract greater household investment in JGBs (see [Scope for increasing retail JGB investment](#)).

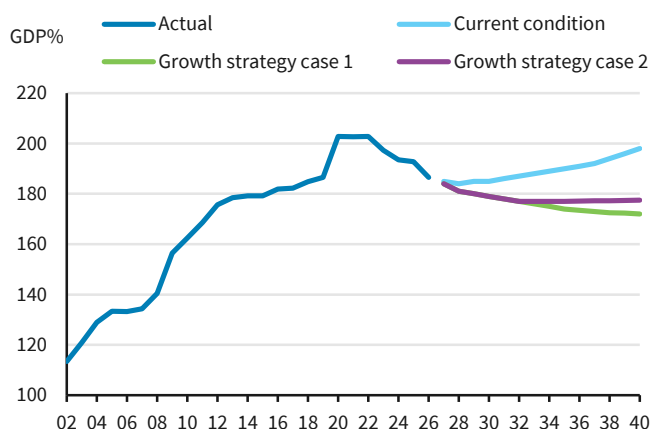
In sum, JGB markets have faced significant adjustment pressures in the recent years, but not a crisis. First, JGB issuance cuts since mid-2025 have stabilized supply/demand conditions in the superlong sector, reversing the abrupt steepening ([Figure 20](#)). Second, the 10y JGB yield at around 3% is not grossly out of sync with 2.6-2.7% nominal potential growth in Japan (2% inflation plus 0.4% or 0.7% real potential growth as per the cabinet office and BoJ, respectively). Third, Japan's fiscal dynamics currently look more favorable than those of the US and many of its European peers as its government debt-to-GDP ratio has declined by 10pp of GDP over the past five years due to higher inflation ([Figure 21](#)). Hence, JGB market volatility so far seems to have been more of a supply/demand deterioration rather than a reflection of a fiscal crisis.

FIGURE 20. Superlong curve



Source: MoF, Barclays Research

FIGURE 21. Japan's government debt-to-GDP ratio



Source: Cabinet Office, Barclays Research

Assessing the future risks

Our analysis suggests any large increase in JGB term premia, fiscal expansion and/or growth slowdown could destabilize domestic equilibrium (Domar condition), resulting in a higher debt-to-GDP path. However, Japan's strong external position gives the country an unusually long runway over which to address its fiscal challenges.

Domestic equilibrium: Domar condition

The Takaichi administration has set a steady decline in the debt-to-GDP ratio as its fiscal consolidation objective, but achieving this goal appears challenging from perspectives of both a nominal GDP growth and an interest expense perspective. The Domar condition offers a simple framework for evaluating the domestic equilibrium conditions underpinning fiscal sustainability. Figure 22 compares the effective interest rate with the level required to stabilize the debt-to-GDP ratio (y/y), based on government projections and the Domar condition. While the two remain in tandem until around FY34, the small gap implies little room for error on rates and on optimistic growth assumptions (2.7-3.4% with 2% inflation). By FY35, the effective interest rate is expected to exceed the stabilization threshold, exerting an outright upward pressure on the debt-to-GDP ratio. Meanwhile, the growth rate of nominal GDP required for debt stabilization by FY40 rises to 3.7% (+1.7% real GDP growth), or 0.3pp above the government projection, implying an even higher hurdle.

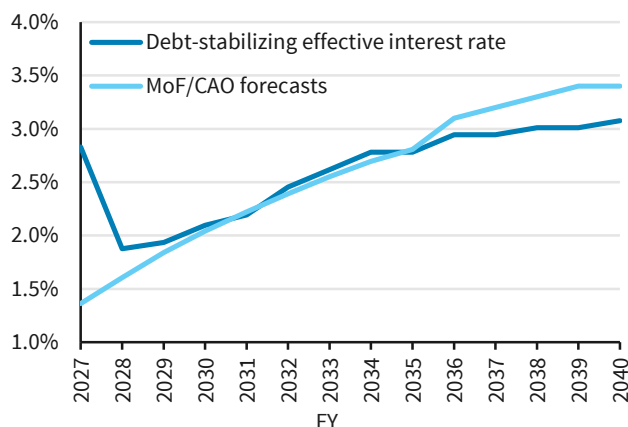
In this sense, it is important for the government to contain any substantial rise in JGB term premia. While long-end term premia are more vulnerable to fiscal risks and behind-the-curve concerns due to inflation risk premia, as discussed below, an increase in long-end term premia could also feed through to higher refinancing costs in the intermediate sector given their beta to the 10y yield (see [Rising risk-neutral yields and tug of war for term premia](#)).

Inflation risk premium as key driver of term premia

Amid weak demand for JGBs, JGB term premia may have adjusted through an increase in future inflation risk premium. In other words, for the increase in nominal debt from a deterioration in future primary balance projections on higher spending, its real value is adjusted through a rise in the future price level. For example, [Cochrane \(2023\)](#) describes such a mechanism as follows: "inflation can break out today if people see intractable future fiscal problems despite healthy debt and deficits today". A simple calculation also suggests that the rise in interest rates may reflect an increase in future inflation expectations stemming from fiscal concerns. In [JGB vulnerability re-exposed](#), we used a dynamic framework based on the

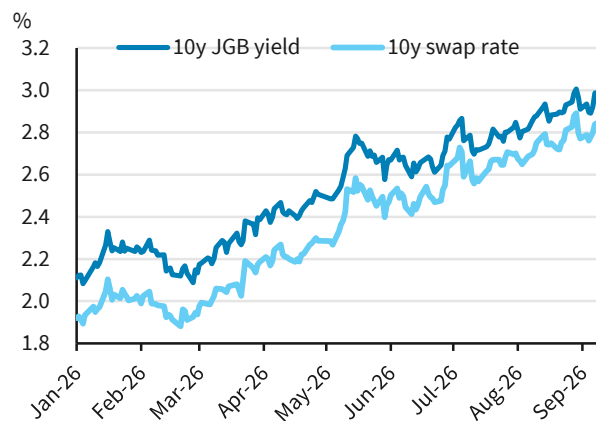
Domar condition to show that the change in future primary balance projections during January-July 2026⁴ implied a 60bp increase in average future inflation expectations over the next 10 years, which was consistent with 50-60bp rise in 10y JGB and swap rates over the same period (Figure 23).

FIGURE 22. Debt-stabilizing effective interest rate and government forecasts



Source: MoF, CAO, Barclays Research

FIGURE 23. 10y JGB yields and swap rates

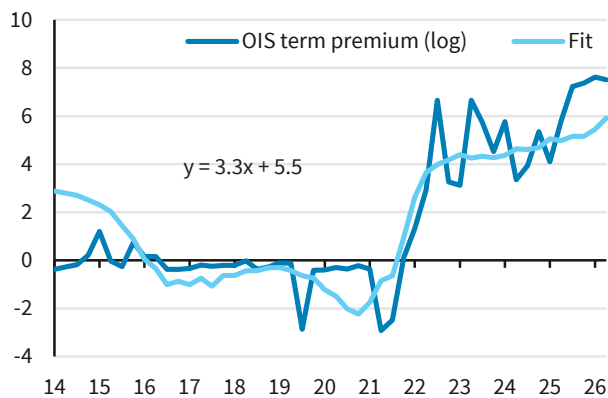


Source: Bloomberg, Barclays Research

Among the sub-components of JGB term premia, the OIS term premium (risk premium on future policy rates) has also risen sharply since October 2025, reflecting a rise in upside risks to inflation priced by the market. Indeed, even from the perspective of macroeconomic fundamentals, upside inflation risk (share of 5y inflation expectations exceeding 2% in Tankan) and the OIS term premium have moved together (Figure 24; see [Rising risk-neutral yields and tug of war for term premia](#)).

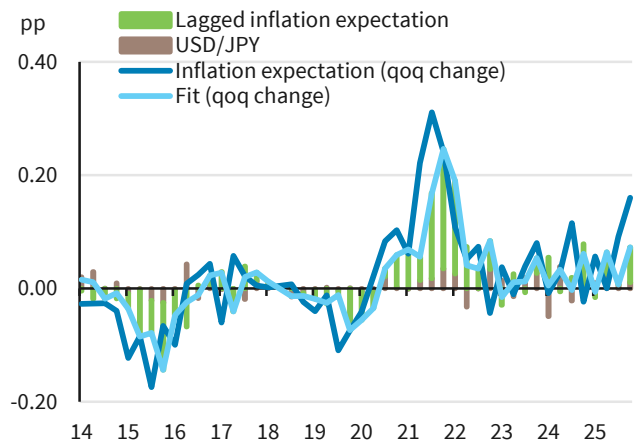
Therefore, the focus turns to the formation of inflation expectations. In Japan, inflation expectations formation is largely adaptive, whereby inflation expectations have been formed through historical inflation expectations, reflecting inertia from the past, and changes in USDJPY (Figure 25). On the other hand, since last autumn, upside deviations that cannot be explained by past realizations or contemporaneous FX factors alone have become increasingly evident, suggesting that perceptions of upside inflation risk have also been rising in the real economy.

⁴ "Medium- to Long-Term Economic and Fiscal Projections" by the Cabinet Office

FIGURE 24. Fit of cumulative changes in 10y OIS Term premia based on upside tail risks to inflation expectations

Note: Cointegration vectors are estimated to avoid spurious regression. All coefficients are significant at the 1% level. The explanatory variable is constructed as the log-odds ratio, $\log(z/(1-z))$, where z denotes the share of respondents expecting inflation to exceed the 2% target by more than 100bp.

Source: Haver, Barclays Research

FIGURE 25. Changes in firms' inflation expectations and model fit

Source: BoJ, Bloomberg, Barclays Research

External equilibrium: NIIP sustainability

While domestic equilibrium suggests a challenging fiscal outlook, Japan's strong external balance sheet leaves it less vulnerable to a UK-style 'Truss shock' than headline fiscal metrics might suggest. Its persistent current account surplus, large positive NIIP and strong domestic home bias limit its reliance on foreign funding and support the domestic absorption of JGB issuance.

Viewed through a consolidated national balance-sheet framework, Japan's fiscal position appears considerably stronger than gross debt metrics imply. While the public sector remains heavily indebted, the private sector is a large creditor both domestically and externally, supported by substantial holdings of financial assets and one of the world's largest positive NIIPs. The relevant question is therefore less one of sovereign solvency than of how claims and obligations are distributed across sectors and generations.

The Domar condition provides a useful framework for assessing fiscal sustainability from the perspective of domestic equilibrium. However, a more comprehensive assessment must also consider the external equilibrium, where the current account and NIIP are critical in gauging the domestic private sector's capacity to absorb government debt without becoming dependent on foreign capital, whose allocations may be less stable and more sensitive to changes in confidence, exchange rates and relative returns; hence, an over-dependence on foreign capital could raise fiscal vulnerability.

Takaichi's expansionary fiscal policy raises legitimate concerns that Japan could eventually face its own version of the UK's 2022 gilt market turmoil. Yet Japan begins from a fundamentally different position. It runs a sizable current account surplus and holds a positive NIIP of around USD3trn, among the largest in the world. Moreover, although foreign investors' share of JGB trading has risen to around one-quarter in recent years, they hold only about 8% of the outstanding stock, far below the roughly 30% foreign ownership share in the UK (see [2022 gilt-style crisis for Japan?](#)). Therefore, Japan's fiscal debt remains, to a large extent, a domestic distributional challenge rather than an external financing constraint.

The more important question is whether this external advantage can endure as Japan continues to age. Japan has maintained a sizable current account surplus despite being at the forefront of demographic aging, supported by a rising labor force participation rate (LFPR)

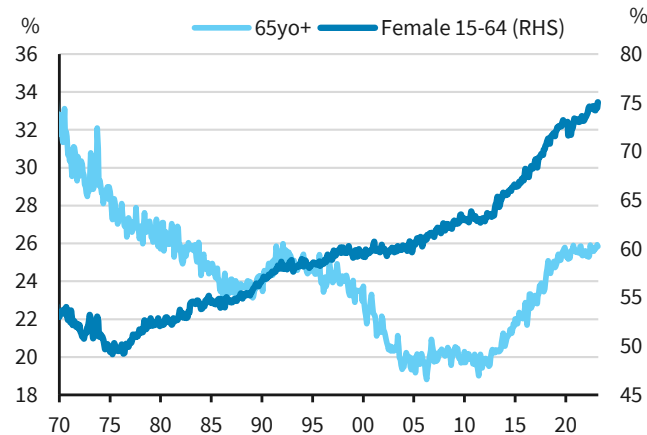
among working-age female and older workers, persistent corporate excess savings and a substantial primary income surplus generated by its large stock of foreign assets. However, some of these supports may be approaching their limits as the elderly LFPR seems to have already peaked while the female LFPR (78%) has exceeded the US (70%) and is gradually approaching Scandinavia (eg, 80% in Finland and 86% in Sweden), suggesting more limited scope for a further labor force expansion (Figure 26). Therefore, aging demographics could gradually weigh more heavily on national savings and the current account.

Nevertheless, a weaker current account need not imply a rapid erosion of Japan's external balance sheet. Its large stock of foreign assets generates returns that have historically exceeded the cost of its foreign liabilities, allowing Japan to continue accumulating net foreign wealth even if the current account turns to a moderate deficit. Our simulation illustrates the length of this runway. Even under a deliberately far-fetched assumption that Japan moves into a persistent current account deficit equal to 3.6% of GDP, comparable in scale to that of the US, its NIIP would continue to increase over the next 50 years, supported by its positive net return differential. Only under the much more extreme assumption of a sustained current account deficit of around 6% of GDP would its NIIP be exhausted by the end of that period (Figure 27).

The same conclusion holds when the stress is applied through funding costs rather than external flows. The average return Japan pays on its international liabilities would need to rise from around 2.5% to almost twice that level to exhaust its NIIP over the next 50 years (Figure 27). Such an increase appears unlikely to follow mechanically from higher domestic interest rates. Equity investments account for around 36% of Japan's external liabilities and carry no fixed-coupon obligation, while debt securities account for only around 18%. A rise in JGB yields would therefore affect only part of Japan's external liability structure, limiting the direct pass-through to its aggregate foreign funding cost.

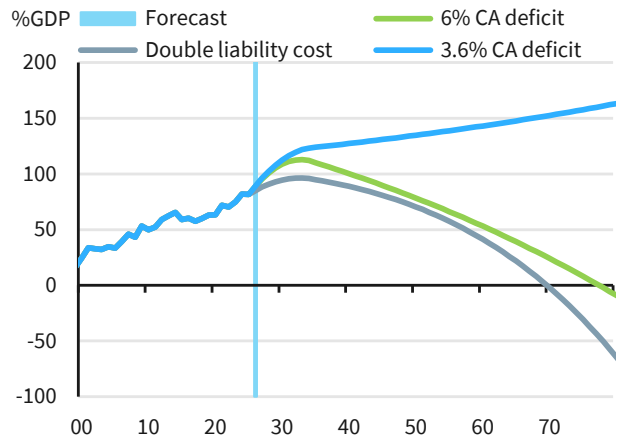
Japan's strong external position gives the country an unusually long runway over which to address its fiscal challenges. Its large positive NIIP, favorable net investment returns and domestically anchored government bond market leave Japan largely in control of its own fiscal destiny. Expansionary policy could still raise JGB term premia and generate substantial market volatility, particularly if it undermined confidence in the policy framework. But absent a policy error severe enough to destabilize the yen and domestic risk premia, the probability of a foreign-funding-driven fiscal crisis remains lower than bond bears fear, in our view.

FIGURE 26. Elderly and female LFPR in Japan



Source: MIAC, Barclays Research

FIGURE 27. NIIP outlook by different scenarios



Note: Key assumptions include 1) return on international assets and liabilities remain at the recent levels (3.9% and 2.5%, respectively), 2) current account surplus/liabilities are added to/subtracted from international assets side only, 3) CA adjustment takes 10 years, and 4) no valuation change (eg, FX).
Source: MoF, Barclays Research

US Employment

Water from a stone: The view of labor supply from CPS microdata

★ SIGNATURE

Our analysis reveals a much sharper deterioration in labor supply than is apparent in published labor-market aggregates. Drawing on CPS microdata, we develop new estimates using citizenship, immigration recency and information that is unavailable in the monthly release.

- **Using newly constructed estimates from CPS microdata, we identify a much sharper deterioration in labor supply than is apparent in published labor-market aggregates.** Our analysis incorporates information on citizenship, immigration recency and reasons for that is not reported in the monthly CPS release.
- **Labor supply has weakened materially since the January 2026 population-control update.** The deterioration is concentrated among noncitizens, but labor-force growth has weakened by more than population growth, indicating that participation is also falling.
- **Demographic and behavioral forces are contributing to the slowdown.** Population aging and the shrinking noncitizen population share are weighing on participation through composition effects, while retirements, home and family care, and other categories are increasingly depressing participation within demographic groups.
- **The pace of deterioration may moderate, but a sustained reversal seems unlikely.** Slower immigration, population aging and excess retirements are durable influences, while several behavioral headwinds show little sign of fading.
- **The implications for the labor market and Fed are significant.** If labor-force growth remains weaker than implied by our prior estimates, the pace of payroll growth consistent with stable unemployment could remain at or below zero for an extended period, allowing even modest job gains to sustain labor-market tightness and wage pressures.

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Into the depths of the CPS

Labor supply has become one of the central macroeconomic questions facing the US economy. Over the past several years, immigration provided an important source of labor-force growth, helping support employment gains while alleviating labor shortages. In [earlier work](#), we argued that the reversal of those immigration tailwinds, together with population aging, would substantially reduce labor-force growth and push the breakeven pace of payroll employment growth consistent with a stable unemployment rate toward zero.

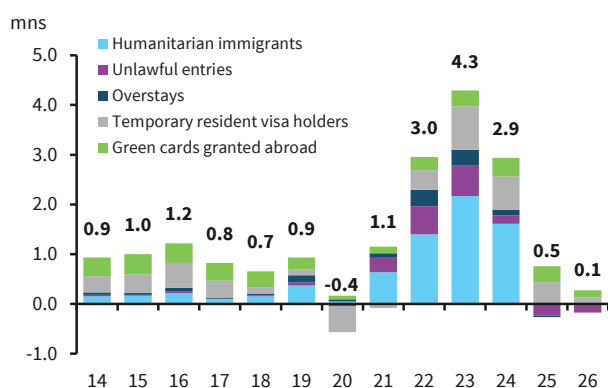
Recent developments suggest that this adjustment is well underway. Net immigration flows have slowed dramatically from the extraordinary levels reached during 2022-24 ([Figure 1](#)). Humanitarian immigration, which accounted for much of the post-pandemic surge, has effectively disappeared, while increased removals and reduced irregular entries have pushed some immigration categories into outright decline. By our estimates, immigration is now contributing only modestly to US population growth after having been the economy's most important source of new workers just a few years ago.

Our estimates, derived directly from CPS microdata and published data, suggest that this slowdown is considerably sharper than is apparent in the headline labor-market aggregates. Population growth and labor-force growth have weakened sharply since the latest population-control realignment in January 2026 ([Figure 2](#)). More importantly, gains in the labor force have deteriorated more substantially than population growth, with estimates from January-August 2026 showing average *declines* of nearly 100k/m.

The critical question is whether the deterioration reflects demographics or participation behavior. Demographic headwinds such as slower immigration and population aging are likely to persist, while participation-driven weakness could prove more cyclical. Distinguishing between the two is central to the labor-market outlook.

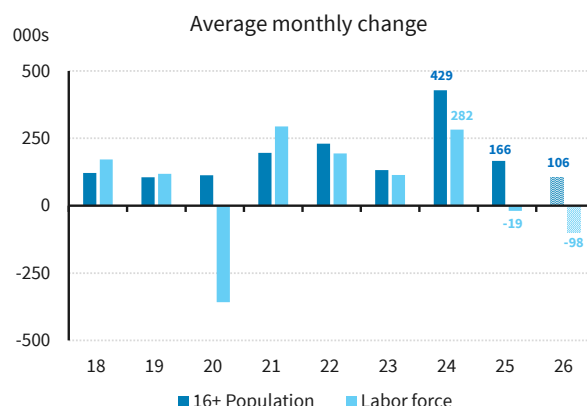
Labor supply determines the pace of job growth consistent with stable unemployment. In our recent report, [US Immigration: A mighty reset](#), we estimated that slower immigration flows and demographic aging had reduced the breakeven pace of payroll employment growth to roughly zero. The evidence presented here suggests that even this estimate may be too optimistic. If labor supply is contracting, even modest payroll gains could sustain labor-market tightness and wage pressures.

To investigate, we use microdata from the BLS's *Current Population Survey* to construct new measures of labor supply using information about citizenship, immigration recency and reasons for that are unavailable in the published monthly release. We then decompose participation into demographic and behavioral components to assess the sources of recent weakness and its likely persistence.

FIGURE 1. The sharp acceleration and subsequent deceleration in immigration flows...

Note: 2026 estimate is a partial-year estimate using available data through June 2026.

Source: US Department of Homeland Security, US Department of State, US Customs and Border Protection, US Social Security Administration, Congressional Budget Office, Barclays Research

FIGURE 2. ...has coincided with similar patterns in population growth and the labor force

Note: To smooth through adjustments to population controls, average monthly changes are measured from January to January. In 2026, the average change is from Jan-Aug.

Source: BLS CPS, Haver Analytics

What groups are withdrawing labor supply?

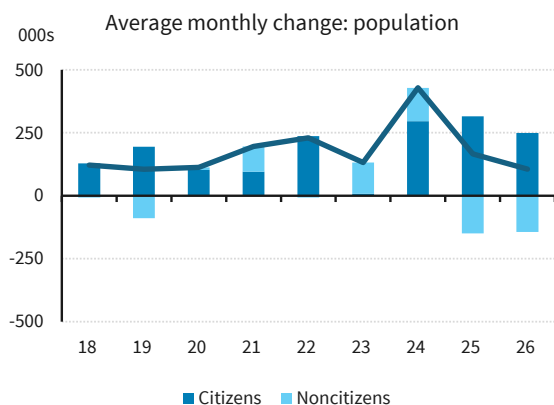
The aggregate slowdown in labor supply reflects developments across two distinct margins that operate within each group: population growth and changes in the participation rate.

Understanding which groups are driving these changes is essential for assessing whether the recent deterioration is likely to persist.

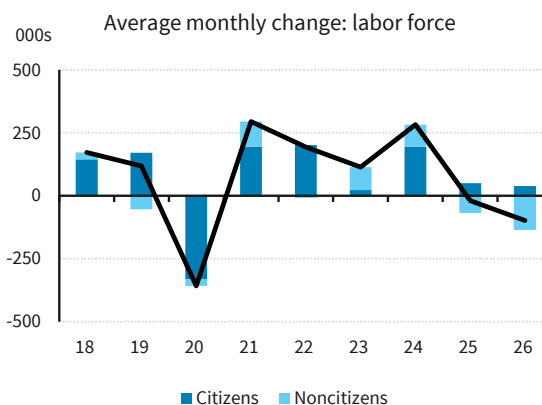
To begin, we focus on the broad distinction between citizens and noncitizens, which is not reported in the published monthly CPS estimates. To isolate underlying trends, we report average monthly changes over the intervals between annual population-control updates each January. This approach likely gives the cleanest read of developments, abstracting from the effects of population mismeasurement in months between benchmarks. For 2026, we report average monthly changes from January 2026 through August 2026, the latest month of available data. [Figure 3](#) shows average monthly changes in the 16y+ population, while [Figure 4](#) shows corresponding average monthly changes in the labor force.

As the two figures illustrate, the recent slowdown in population growth is overwhelmingly concentrated among noncitizens. From 2022 through 2024, noncitizens accounted for a [share of population growth](#). That influence has now reversed. Noncitizen population growth turned slightly negative, on average, in 2025 and has turned down more sharply in 2026, even as population growth among citizens has remained positive. Labor-force growth shows a similar pattern, with noncitizen labor-force gains falling sharply and becoming negative on average.

However, [Figure 4](#) also highlights an important distinction between population and labor-force dynamics. While population weakness is largely concentrated among noncitizens, the deterioration in labor-force growth has been broader. Citizen labor-force growth has also weakened relative to earlier years. In other words, slowing immigration and population growth explain only part of the aggregate labor-supply slowdown.

FIGURE 3. Noncitizens account for nearly all of the deceleration in population...

Note: Average monthly changes are measured from January to January. In 2026, the average change is from Jan-Aug.
Source: IPUMS CPS, Barclays Research

FIGURE 4. ...and the downturn in labor supply

Note: Average monthly changes are measured from January to January. In 2026, the average change is from Jan-Aug.
Source: IPUMS CPS, Barclays Research

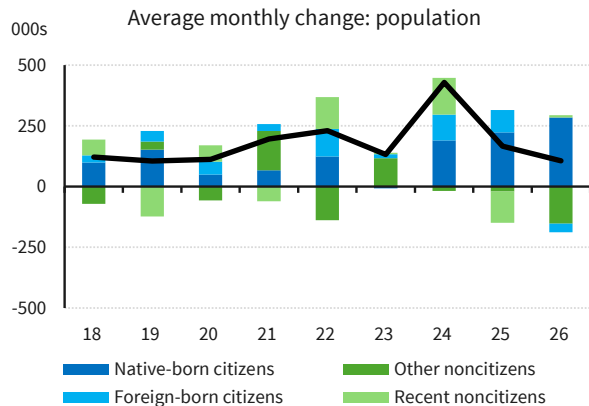
The citizen-noncitizen distinction masks important differences across noncitizen and citizen populations. To explore this possibility, we decompose population and labor-force growth into four underlying groups (Figure 5 and Figure 6): recent noncitizens, other noncitizens, foreign-born citizens, and native-born citizens. Working with constraints imposed by CPS response categories, we define recent noncitizens as individuals who entered the US within roughly the previous two to three years.

The detailed breakdown reveals that the slowdown is concentrated in the very groups that drove labor-supply growth during the post-pandemic period. Recent noncitizens account for most of the reversal in population growth, while other noncitizens also make increasingly negative contributions. Together, these two groups explain the bulk of the deterioration in overall population growth since 2024. Foreign-born citizens partly offset this weakness in 2025, although that support appears to have faded in 2026.

The labor-force data point in the same direction. Labor-force growth among recent noncitizens has declined sharply, while growth among other noncitizens has also weakened substantially. By contrast, labor-force gains among native-born citizens have remained comparatively steady, while growth among foreign-born citizens has slowed this year. Taken together, these results suggest that immigration and population dynamics remain the primary source of the labor-supply slowdown, broadly consistent with the framework developed in our earlier immigration research. Yet the fact that labor-force growth has weakened by more than population growth indicates that demographics are not the entire story. Changes in labor-force participation are also playing an important role.

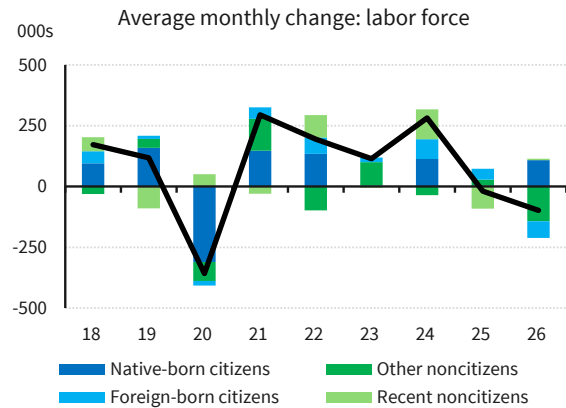
By decomposing changes in labor-force participation into demographic-composition effects and within-group participation effects, we show that the recent slowdown reflects not only fewer immigrants entering the population, but also a deterioration in participation rates among both citizen and noncitizen groups.

FIGURE 5. Noncitizen groups account for the slowing in population growth...



Average monthly changes are measured from January to January. In 2026, the average change is from Jan-Aug.
Source: IPUMS CPS, Barclays Research

FIGURE 6. ...and are the primary culprit for recent declines in the labor force



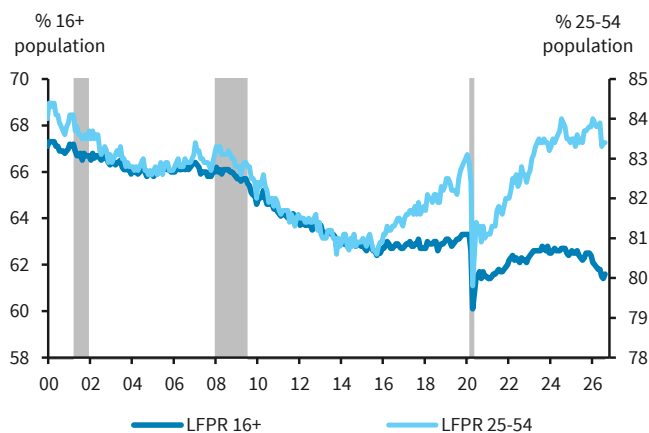
Average monthly changes are measured from January to January. In 2026, the average change is from Jan-Aug.
Source: IPUMS CPS, Barclays Research

No participation medals this year

The deterioration in labor supply reflects more than a slowdown in population growth. Labor-force participation rates have also weakened, adding to the drag from slower demographic growth.

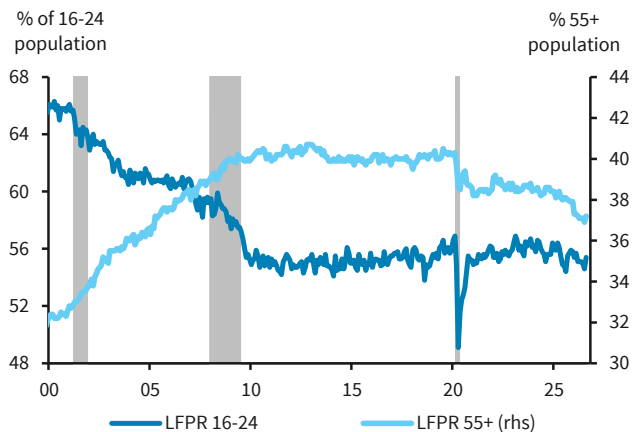
Figure 7 and Figure 8 show labor-force participation rates for the overall 16y+ population and for three broad age groups. The aggregate 16y+ participation rate has been drifting lower since mid-2024, including a roughly 0.5pp decline between January and August 2026. This is significant, with each 0.1pp decrement in the LFPR reducing the labor force by roughly 275k. Meanwhile, the prime-age (25-54y) participation rate has retreated noticeably this year after reaching a multi-decade high at the turn of the year. Participation among older workers has also weakened, with the combined rate for the 55-64y and 65y+ groups falling since the pandemic and declining more rapidly this year. Participation among 16-24-year-olds has been comparatively stable, though it too has softened recently.

FIGURE 7. Participation rates have retreated in most age groups...



Source: BLS CPS, Haver Analytics

FIGURE 8. ...following a post-pandemic rebound



Source: BLS CPS, Haver Analytics

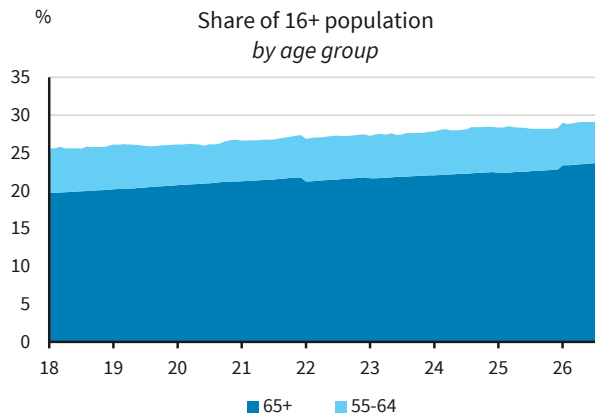
Demographics and participation: Thinking between and within

A useful way to think about aggregate participation is through two broad channels. The first is a between effect, which reflects shifts in population composition across groups with different participation rates. The second is a within effect, which reflects changes in participation behavior within groups.

This between component has been moving in an unfavorable direction for decades. An increasing share of the population is being concentrated in older age groups that historically exhibit lower participation rates (Figure 9). The combined share of the near-retirement and retirement-age population continued to rise, while the prime-age share has gradually declined. Even if participation rates within every age group remained unchanged, this compositional shift would place downward pressure on aggregate labor-force participation.

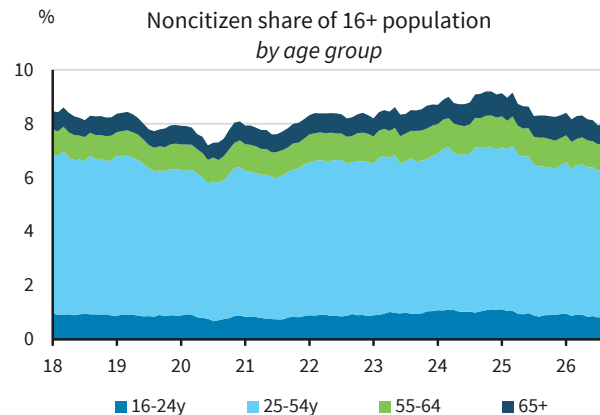
Recent immigration trends have reinforced that effect. Figure 10 shows that the noncitizen share of the population has begun to decline after rising rapidly during the post-pandemic period. Importantly, noncitizens are heavily concentrated in the prime-age population, where participation rates are highest. Consequently, slower noncitizen population growth not only reduces overall population growth, but also shifts population weight away from the age group with the strongest labor-force attachment.

FIGURE 9. Between effects are weighing on LFPR as a rising share of people approach retirement...



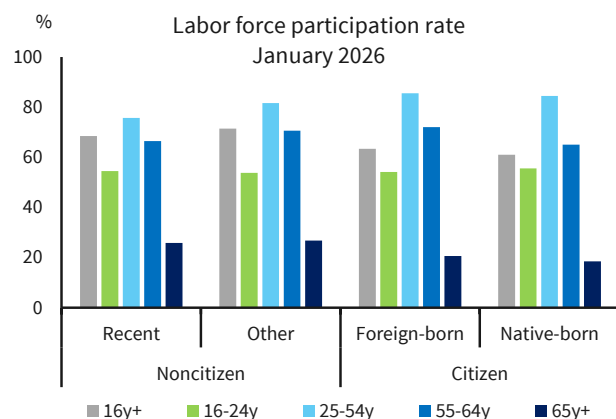
Source: IPUMS CPS, Barclays Research

FIGURE 10. ...and this effect is only accentuated by the declining population share of noncitizens

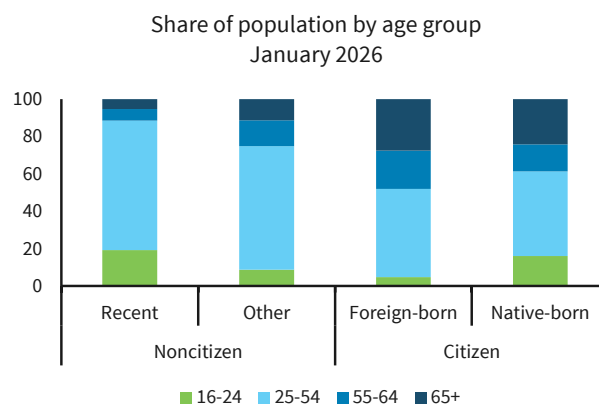


Source: IPUMS CPS, Barclays Research

The interaction between age and nativity is illustrated in Figure 11 and Figure 12. Noncitizens tend to have substantially higher participation rates than citizens because they are much more heavily concentrated in prime-working-age cohorts. This is particularly true of recent noncitizens, whose age distribution is overwhelmingly skewed toward the 25-54 population. By contrast, native-born citizens have a considerably older age profile, while foreign-born citizens are older still. These compositional differences imply that slower immigration and population aging are working in the same direction, both placing downward pressure on aggregate participation.

FIGURE 11. Overall participation rates are higher for noncitizen groups...

Source: IPUMS CPS, Barclays Research

FIGURE 12. ...mostly because much smaller shares of these groups are at or near retirement

Note: The CPS population adjusts discretely each January with the introduction of updated population benchmarks.

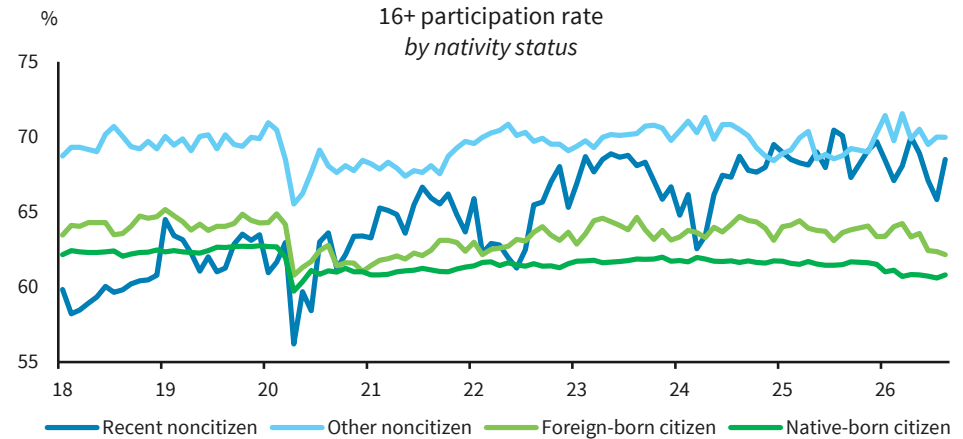
Source: IPUMS CPS, Barclays Research

Yet demographics are not the entire story.

Figure 13 shows participation rates for the four nativity groups that form the basis of our analysis. While participation among recent noncitizens has been volatile, participation among other noncitizens and foreign-born citizens has trended lower. Participation among native-born citizens has also softened modestly. The broad-based nature of these declines suggests that within-group behavioral effects are contributing to the deterioration in participation, alongside demographic forces.

This distinction is important because it bears directly on persistence. Demographic influences such as population aging and slower immigration tend to evolve gradually and are unlikely to reverse quickly. By contrast, participation can also be affected by behavioral influences, the persistence of which is less obvious. Understanding the relative importance of these channels is therefore critical for assessing the medium-term trajectory of labor supply.

In the next section we formally decompose recent changes in labor-force participation into between and within components. We show that the recent decline reflects both worsening demographics and weaker participation within demographic groups, and then use data from the CPS to identify the specific forces driving those within effects.

FIGURE 13. Participation rates have fallen this year for nearly all nativity groups, on net

Source: IPUMS CPS, Barclays Research

Separating demographics from behavior

The previous section established that labor supply has weakened because population growth has slowed and because participation rates have fallen. A natural next question is whether the decline in participation primarily reflects changing demographics or changing participation behavior.

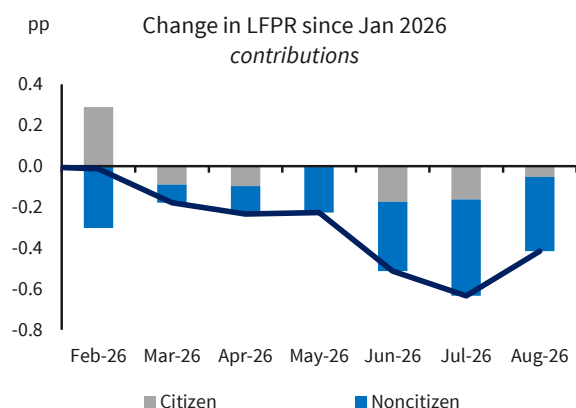
To address that question, we decompose changes in aggregate labor-force participation into between and within components. Noting that $LFPR_t = \sum_g s_{t,g} LFPR_{t,g}$ across all demographic groups g , we can express change in participation over a given time period as:

$$\Delta LFPR = \underbrace{\sum_g LFPR_{t,g} \Delta s_g}_{\text{Between effect}} + \underbrace{\sum_g s_{t,g} \Delta LFPR_g}_{\text{Within effect}}$$

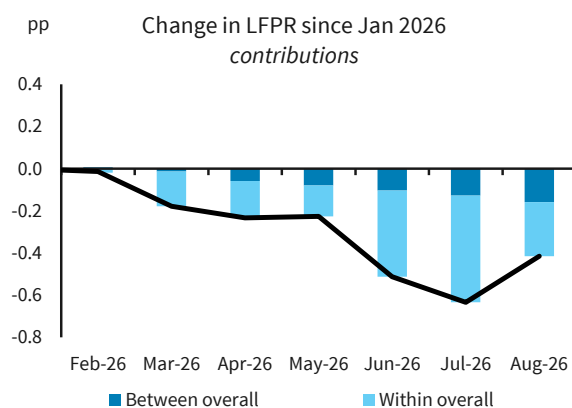
where $s_{t,g}$ denotes the population share of demographic group g . This amounts to a first-order approximation of the change, holding group participation rates fixed when calculating the between component and group population shares fixed when calculating the within component.

Figure 14 begins with the broadest decomposition, separating the cumulative decline in participation since January 2026 into contributions from citizen and noncitizen groups, with no attempt to distinguish between and within effects. Two features stand out. First, both groups are contributing to the decline in participation. Second, the effect is substantially larger for noncitizens, consistent with the demographic developments discussed in the previous section.

Figure 15 separates the same decline into *overall* within and between effects, summed across all groups. The decomposition suggests that demographics explain only part of the deterioration. The overall between effect is consistently negative, reflecting the combined influence of population aging and the declining share of noncitizens within the population. However, the within component is also negative and quantitatively more important, accounting for most of the cumulative decline in all periods.

FIGURE 14. Noncitizens account for the lion's share of this year's LFPR decline...

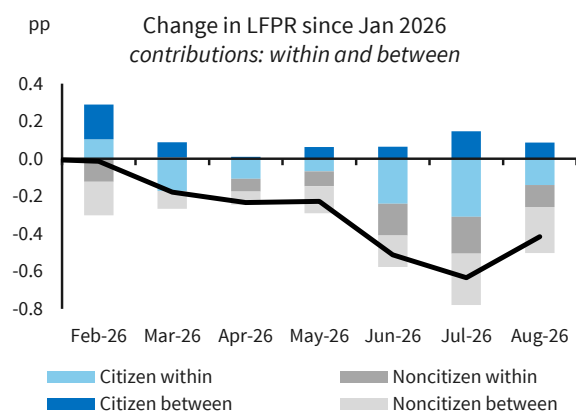
Source: IPUMS CPS, Barclays Research

FIGURE 15. ...with within and between effects both contributing to weakness

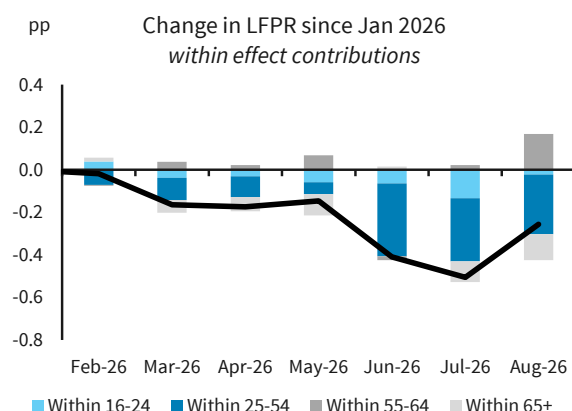
Source: IPUMS CPS, Barclays Research

Figure 16 takes the analysis one step further by unpacking the overall within and between components into contributions from citizens and noncitizens. As one can see, the negative overall between effect in the prior figure masks a large negative contribution from the noncitizen component, which is only partly offset by rising population shares among citizens. The more notable result is that citizens and noncitizens alike contribute negatively to the within margin. Participation rates have weakened for both groups, though the deterioration is more pronounced among noncitizens.

The concentration of within effects in the prime-age population is difficult to reconcile with a purely demographic explanation. Figure 17 shows that most of the within deterioration is concentrated in the 25-54-year-old population. Population aging can shift weight toward older groups with lower participation rates, but it has limited effects on participation within prime-age groups themselves. The fact that prime-age participation is contributing negatively to the within component therefore points to behavioral forces operating independently of demographic change.

FIGURE 16. For citizens, the two effects are offsetting, while for noncitizens they are reinforcing

Source: IPUMS CPS, Barclays Research

FIGURE 17. Looking across age groups, the biggest declines are traceable to the 25-54y group

Source: IPUMS CPS, Barclays Research

This distinction is important because it has a direct bearing on persistence. The negative between effects documented above are largely mechanical consequences of slower

immigration and population aging, and are therefore likely to evolve only gradually. The negative within effects are harder to gauge because they capture changes in participation that are more behavioral in nature. Understanding what is driving those within effects is therefore critical for assessing whether the recent deterioration in labor supply is likely to persist.

Diving deeper to assess behavioral effects

Although the broad forces driving the between effects from our analysis are fairly straightforward to identify, the influences driving the within effects are more opaque. To better understand those effects, we exploit detailed CPS responses that are not reported in published labor-market aggregates. This allows us to move beyond simply identifying within effects and instead attribute them to specific reasons for labor-force detachment.

In addition to questions about labor-force status, the CPS asks respondents not in the labor force why they have chosen not to work or seek work. Using these detailed responses, we classify nonparticipants into broad categories: retired, health-related, school, home and family care, and a catch-all "other" category that includes the lack of childcare and transportation.⁵ These responses provide a useful window into the sources of labor-force detachment and how these have evolved over time.

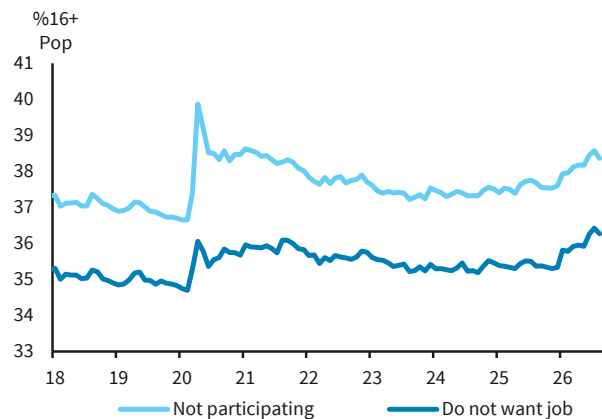
Shifting the lens to reasons for

At the outset, the recent decline in participation does not appear to reflect a growing number of individuals who would like to work but cannot find employment. Figure 18 shows that the rise in has come entirely from people who say they do not want a job; that is, the share of the population outside the labor force despite wanting a job (including discouraged workers) is little changed. This leans against conventional labor-market discouragement or an inability to find a suitable job as the principal explanation, and instead directs attention toward other reasons that people are deciding not to seek work.

We proceed to investigating what lies behind those decisions. We begin with retirement, both because it is the largest source of and because its steady rise provides an important backdrop for the more detailed behavioral decomposition that follows. Figure 19 shows that retirement-related has risen steadily since the pandemic and accelerated further in 2026. Retirement is naturally concentrated among those at or near retirement age, but the age-specific data provide additional information. Figure 20 shows that the retirement rate for the 65+ population shifted permanently higher around the pandemic and has edged up further over the past year, while the rate among 55-64-year-olds has been broadly flatter after a permanent jump in the wake of the pandemic.

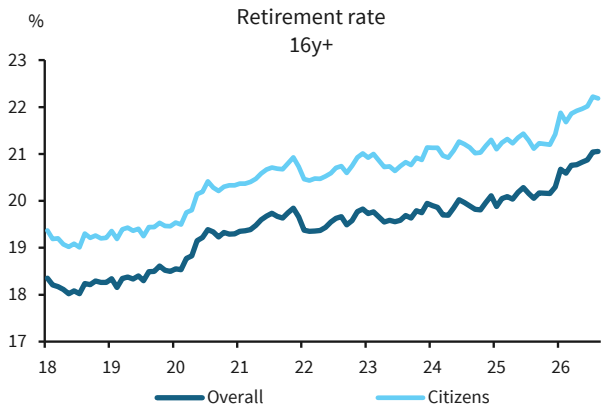
⁵ In addition to labor-force status, the CPS asks respondents who are not participating in the labor force why they are not working or seeking work. Using detailed labor-force-status and responses, we classify nonparticipants into six broad categories: retired, health-related, school, home and family care, other reasons, and cases where a specific reason is not reported. These responses provide a useful window into the sources of labor-force detachment and how those sources have evolved over time.

FIGURE 18. This year's run-up in **is from people who**



Source: IPUMS CPS, Barclays Research

FIGURE 19. The relentless ascent in the retirement share has **quickened this year**

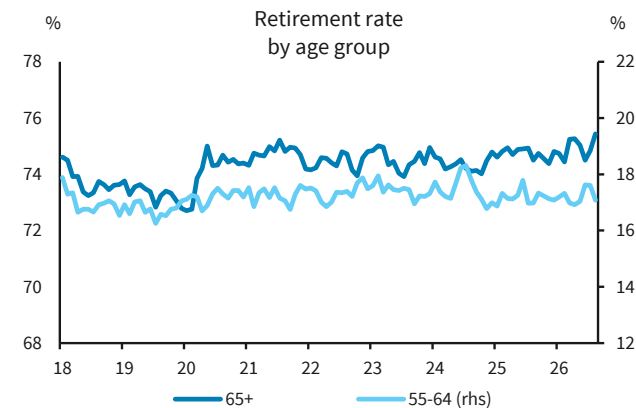


Source: IPUMS CPS, Barclays Research

Broader differences emerge when we extend the analysis across reasons and citizenship groups. [Figure 21](#) shows that citizens are substantially more likely than noncitizens to be outside the labor force because of retirement or health-related reasons, whereas noncitizens are considerably more likely to cite home and family care. Schooling and other reasons account for more similar shares across the two populations.

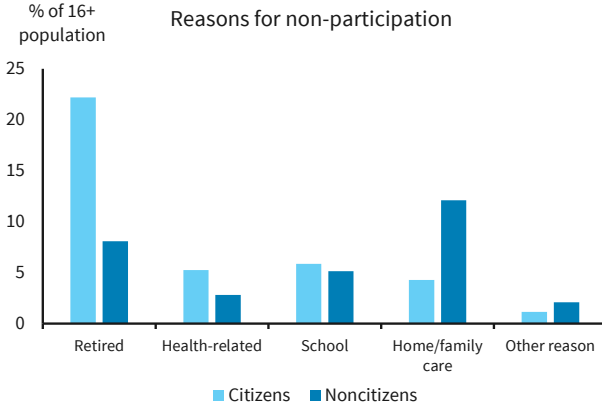
Developments since January reveal a shared rise in retirement-related , but otherwise divergent patterns ([Figure 22](#)). Health-related has risen sharply among citizens, but declined among noncitizens, while home and family care has increased materially among noncitizens, but has fallen among citizens. The share citing reasons within the catch-all "other" category has also increased, particularly among citizens.

FIGURE 20. The retirement rate for 65y+ has been permanently higher **since the pandemic**



Source: IPUMS CPS, Barclays Research

FIGURE 21. Reasons for **differ substantially for** **citizens and noncitizens**



Source: IPUMS CPS, Barclays Research

Reasons provide insights about within effects

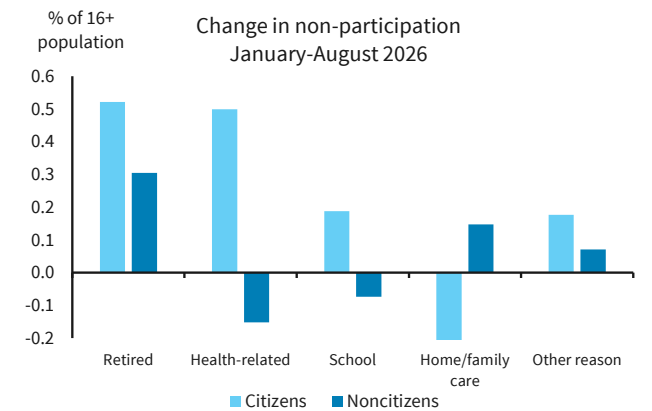
To help disentangle which of these reasons are behind this year's declines in participation, we combine the data with the within component of our shift-share decomposition.

Recall that the previous section separated changes in labor-force participation into demographic (between) and behavioral (within) components. The between component captures shifts in population composition, such as population aging or changes in immigration flows. By construction, those influences are stripped away from the within component.

This distinction is important for interpretation. To focus on how behavioral changes are contributing to the participation rate, we assess contributions of each of these reasons to the within effects shown earlier. So, for example, the within effect from retirement should be interpreted as an excess over and above what we would normally expect from population aging and immigrant composition. Likewise, increases in health-related , home and family care, or other categories reflect changes in labor-force attachment within demographic groups rather than changes in demographic weights.

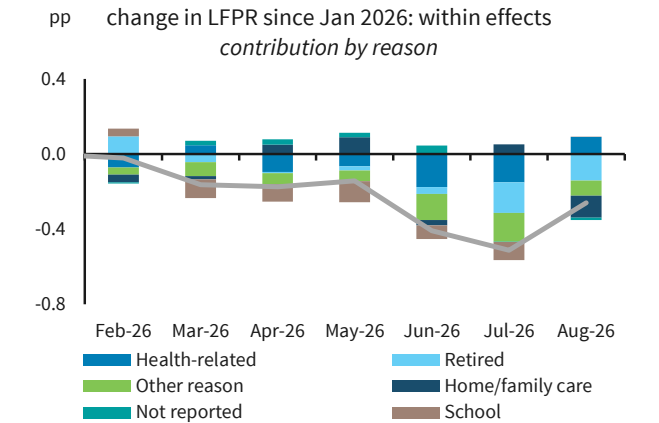
Figure 23 decomposes the cumulative within effect since January 2026 into contributions from the five reason categories. Several dominant influences emerge. First, excess retirements have become a more important source of weaker participation over the course of the year. Second, health-related was a significant drag for much of the year, before unwinding abruptly in August. Finally, the residual "other" category has become increasingly important, while schooling and health-related categories contribute less consistently to the overall decline.

FIGURE 22. Citizens and noncitizens cite quite different reasons so far this year



Source: IPUMS CPS, Barclays Research

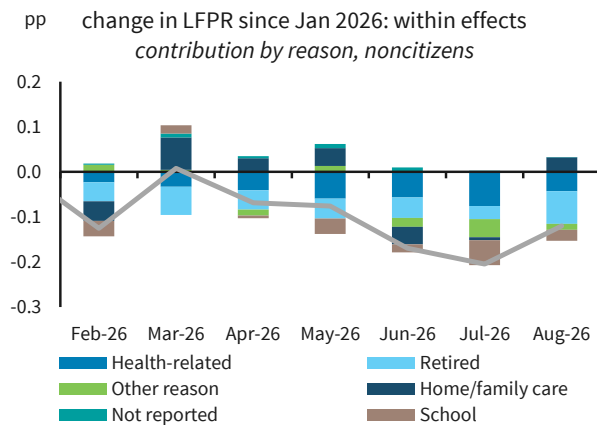
FIGURE 23. The biggest behavioral drivers come from retirements, health reasons, and "other"



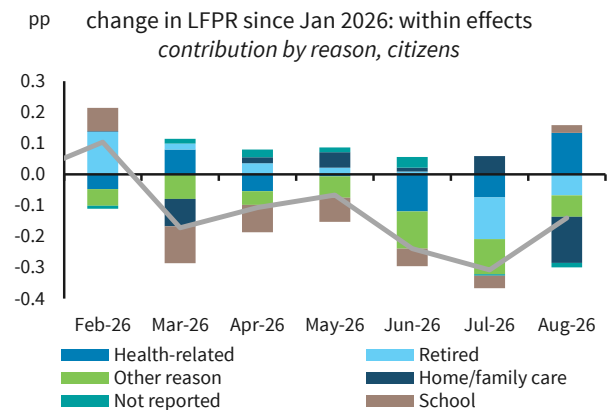
Source: IPUMS CPS, Barclays Research

The aggregated results mask important differences across demographic groups. Figure 24 shows contributions to within effects for noncitizens, while Figure 25 depicts the same decomposition for citizens. Among noncitizens, the deterioration in participation from behavioral influences is concentrated primarily in the retirement and health-related categories. Among citizens, the drag is more broadly distributed, with retirements and the residual "other" category appearing as the most consistent drivers of the decline.

Taken together, these results suggest that the recent weakening in labor-force attachment is not driven by a single source. Several categories of are contributing to weaker participation, and—with the possible exception of retirements—the mix of influences differs substantially between citizens and noncitizens. The next section considers what may be driving these developments and evaluates whether they are likely to represent temporary adjustments or more persistent sources of labor-supply weakness.

FIGURE 24. Noncitizen reasons highlight the role of retirements, health, and "other" reasons...

Source: IPUMS CPS, Barclays Research

FIGURE 25. ...while citizens cite retirements, "other," and a shifting mix of categories

Source: IPUMS CPS, Barclays Research

Headwinds are likely to persist

The evidence presented thus far suggests that the recent deterioration in labor supply reflects both slower population growth and weaker labor-force participation. The critical question is whether these developments are temporary or likely to persist. While uncertainty remains, we believe the balance of evidence points toward continued weakness in labor supply through both channels.

Population growth: Headwinds are unlikely to disappear quickly

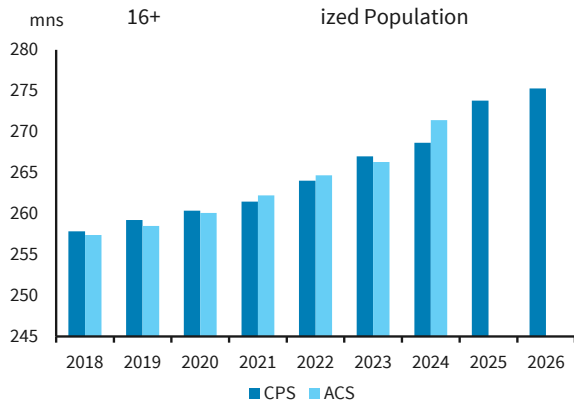
The most immediate source of labor-supply weakness is the sharp slowdown in noncitizen population growth documented earlier. The evidence strongly suggests that this development is tied to changes in immigration policy rather than cyclical economic conditions. Humanitarian immigration has largely disappeared, removals have increased substantially, and broader immigration inflows remain far below the levels observed during the 2022-24 period. Unless immigration policy changes materially, it is difficult to see how this source of labor supply would be replenished in the foreseeable future.

In our view, there is a reasonable case that current CPS estimates may still be overstating population growth. The annual CPS population controls are based on Census Bureau projections informed in part by the prior year's ACS and therefore respond to demographic developments with a lag. As shown in [Figure 26](#), the CPS continues to imply a larger 16y+ civilian population than the most recent ACS estimates. This divergence does not necessarily mean that current CPS estimates are incorrect, but it does suggest that future benchmark revisions could incorporate slower population growth than is currently embedded in the published data.

Recent enforcement data point in the same direction. Monthly ICE statistics show that detentions and deportations have increased noticeably since the middle of 2025, and accelerated further this summer ([Figure 27](#)).

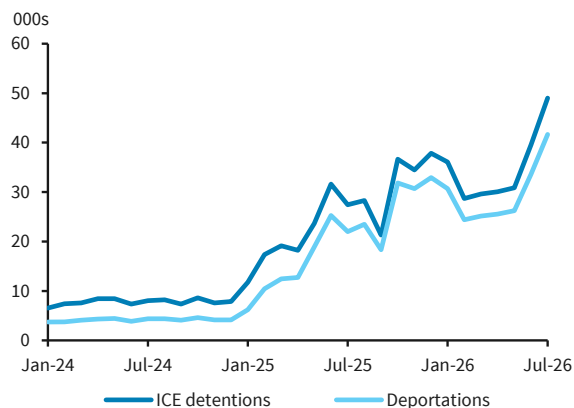
Taken together, these developments suggest that population-driven labor-supply growth is unlikely to rebound meaningfully in the near term. Indeed, if future benchmark revisions more fully reflect the recent immigration slowdown, labor-force growth could ultimately prove weaker than is currently implied by the published CPS estimates.

FIGURE 26. CPS population controls tend to react with a delay to immigration developments



Source: IPUMS CPS, IPUMS ACS

FIGURE 27. ICE data point to a pickup in the pace of deportations this summer



Note: ICE detention figures are actual. Deportations are actual through November 2024 and estimated thereafter.
Source: ICE Deportation Data Project

Participation: Demographics provide a durable drag

Meanwhile, the between effects identified in the previous section are likely to remain negative for some time. Population aging has been reducing aggregate labor-force participation for decades, and there is little reason to believe that process will reverse. The share of the population in older age groups continues to rise, while the share of prime-age individuals continues to decline. At the same time, slower immigration limits the inflow of noncitizens, who are typically concentrated in prime-working-age cohorts and have historically exhibited relatively high participation rates.

Consequently, the demographic headwinds captured by the between component appear deeply embedded. Even if participation behavior within groups were unchanged, these population shifts would continue placing downward pressure on aggregate labor-force participation.

The outlook for the within effects is inherently less certain because these reflect behavior rather than demographics. Nevertheless, several aspects of the evidence suggest that much of the recent deterioration may also prove persistent.

Most notably, excess retirements have emerged as one of the largest contributors to the negative within effects. By construction, these retirement effects are over and above those already captured by population aging. Historically, retirement decisions tend to be highly persistent once made. Individuals who leave the labor force through retirement rarely re-enter in large numbers. For that reason alone, the retirement-related component of the labor-supply slowdown appears unlikely to reverse quickly.

More generally, we do not necessarily expect participation rates to continue declining at the unusually rapid pace observed in 2026. However, a moderation in the pace of deterioration is not the same thing as a reversal. The evidence presented above suggests that labor-force attachment has weakened primarily among individuals who do not want a job and that many of the forces weighing on participation are likely to persist. As a result, we think participation will remain structurally weaker than in the years preceding the pandemic even if the pace of decline moderates.

The remaining categories are harder to interpret and forecast. The rise in home and family care, health-related , and the residual "other" category could in principle prove more cyclical. However, there is little evidence at present that these influences are reversing. If anything, the within decomposition suggests that they have become more important over the course of 2026.

The noncitizen results are particularly noteworthy. The deterioration in participation among noncitizens is concentrated in retirement and health-related categories. While the precise drivers are difficult to identify using CPS data alone, these developments are consistent with the possibility that a more restrictive immigration environment is affecting labor-force attachment in ways that extend beyond its direct effect on population growth. Even if that interpretation proves only partially correct, there is little reason to expect a rapid reversal absent a meaningful change in immigration conditions.

Taken together, the evidence suggests that the economy's traditional sources of labor supply are unlikely to provide the support to employment growth that they did during the post-pandemic period. The pace of deterioration may moderate from the unusually sharp declines recorded this year, but neither the demographic nor behavioral forces identified above appear likely to reverse in a meaningful way. If so, labor-force growth may remain weaker than assumed in our prior work, implying that the pace of payroll growth consistent with a stable unemployment rate could remain at or below zero for an extended period.

Appendix A: Data construction

Data sources

Our analysis uses microdata from the Current Population Survey (CPS), the monthly household survey conducted jointly by the Census Bureau and Bureau of Labor Statistics (BLS). The CPS is the source of the official unemployment rate, labor force participation rate (LFPR), employment-population ratio, labor force estimates, and other key household-sector indicators published each month in the Employment Situation report.

The analysis is based on the public-use CPS microdata distributed through IPUMS.⁶ While the published Employment Situation release focuses primarily on aggregate labor-market indicators, the underlying microdata include a wide range of additional information that is not fully incorporated into the monthly published tables, including citizenship status, nativity, time since arrival in the US, detailed reasons for , educational status, demographic characteristics and labor-market attachment.

These additional responses allow us to construct detailed monthly estimates of population, labor force participation, labor-force status and reasons for across demographic groups.

Population controls

Like all published CPS estimates, our population and labor-force measures incorporate the official population controls embedded within each month's CPS microdata. These controls are produced by the Census Bureau and constrain CPS estimates to benchmark population totals across key demographic dimensions, including age, sex, race and Hispanic ethnicity.

The population controls are periodically updated to reflect information from the decennial census, the American Community Survey (ACS), and demographic projections for non-census

⁶ Sarah Flood, Miriam King, Renae Rodgers, Steven Ruggles, J. Robert Warren, Daniel Backman, Etienne Breton, Grace Cooper, Julia A. Rivera Drew, Stephanie Richards, David Van Riper, and Kari C.W. Williams. *IPUMS CPS: Version 13.0* [dataset]. Minneapolis, MN: IPUMS, 2025. <https://doi.org/10.18128/D030.V13.0>

periods. Each January, a new set of population controls is incorporated into the CPS, resulting in benchmark revisions to estimated population levels and demographic composition. The most recent update occurred in January 2026.

Because these benchmark revisions can materially alter estimated population levels and growth rates, comparisons of population and labor-force growth in this report generally focus on January-to-January changes. This approach minimizes distortions arising from annual benchmark realignments and places current developments on a basis that is more comparable with prior years.

Nativity and citizenship groups

We use CPS respondent details to classify individual observations into four mutually exclusive groups, which collectively exhaust the total population:

- Recent noncitizens
- Other noncitizens
- Foreign-born citizens
- Native-born citizens

Recent noncitizens are distinguished from other noncitizens using CPS citizenship and arrival information. Specifically, we classify noncitizens as "recent" in any given year if they belong to the two most recent arrival cohorts observable in the CPS. In practice, this generally corresponds to individuals who arrived within roughly the previous two to three years. Because CPS arrival information is reported in intervals that vary somewhat across survey vintages, the precise duration covered by the recent noncitizen category changes modestly over time. The resulting series should therefore be interpreted as a consistently constructed measure of recently arrived noncitizens rather than a fixed-duration arrival cohort.

Construction of population and labor-force estimates

For each month and demographic cell, weighted CPS observations are used to estimate population (denoted $Po p_{g,t}$) and the labor force (denoted $LF_{g,t}$), where g indexes a demographic group and t indexes time.

Labor-force participation rates are defined as:

$$LFPR_{g,t} = \frac{LF_{g,t}}{Po p_{g,t}}$$

The resulting estimates permit aggregate labor-force developments to be decomposed into population-growth effects, demographic-composition effects and participation-rate effects.

Importantly, the detailed population and labor-force estimates are constrained to be fully consistent with the official CPS aggregates. The contribution of the analysis is not to produce alternative aggregate estimates, but rather to allocate the published totals across detailed nativity, citizenship, age and sex categories.

Seasonal adjustment

Official BLS seasonally adjusted estimates are published only for selected CPS labor-market aggregates. To extend seasonal adjustment to more detailed demographic groups, we estimate seasonally adjusted series at the reporting-age $\times$ nativity level using X-13ARIMA-SEATS.

The seasonal-adjustment framework was designed to preserve consistency with published CPS aggregates. Preliminary seasonal adjustment is estimated separately within each reporting-age $\times$ nativity cell and then benchmarked back to published age-specific labor-force aggregates.

For each reporting-age group a ,

$$\sum_g w_{a,g,t} \times LFPR_{a,g,t}^{SA} = LFPR_{a,t}^{Published}$$

where

$$w_{a,g,t} = \frac{Pop_{a,g,t}}{\sum_g Pop_{a,g,t}}$$

for every reporting-age group and month. Consequently, every aggregate labor-force estimate presented in this report can be reconstructed exactly from the underlying seasonally adjusted age-by-nativity cells. This benchmarking constraint prevents the introduction of spurious aggregate movements while allowing seasonal patterns to differ across nativity groups.⁷

Reasons for

The CPS reports the primary reason an individual is not participating in the labor force. Using detailed CPS labor-force-status and responses (EMPSTAT and NILFACT), we classify nonparticipants into five "behavioral" categories:

- Retired,
- Health-related,
- School,
- Home/family care,
- Other reasons,

as well as a "not reported" classification that is quantitatively negligible. For each reporting-age $\times$ nativity cell, we estimate seasonally adjusted conditional shares associated with these categories and use them to construct seasonally adjusted reason-specific rates.

Let $LFNPR_{a,g,t}^{SA}$ denote seasonally adjusted rates by age $\times$ nativity group and denote the seasonally adjusted share of the group reporting reason r . Reason-specific rates for each group are then calculated as:

$$ReasonRate_{a,g,r,t}^{SA} = LFNPR_{a,g,t}^{SA} \times s_{a,g,r,t}^{SA}$$

which guarantees $\sum_r ReasonRate_{a,g,r,t}^{SA} = LFNPR_{a,g,t}^{SA}$ for every reporting-age $\times$ nativity cell.

⁷ October 2025, when CPS data collection was interrupted, is treated as a missing observation rather than as an economic signal. Pandemic-period observations are handled using intervention variables designed to limit the influence of unusually large temporary movements on estimated seasonal factors. In a small number of highly disaggregated series, primarily among older noncitizen populations, the seasonal filter was unable to estimate stable seasonal-adjustment models. In those cases, benchmark-consistent fallback estimates were used in place of model-based seasonal adjustments.

Appendix B: Decomposition methodology

Decomposing changes in labor-force participation

Changes in aggregate labor-force participation can arise from changes in demographic composition and from changes in participation behavior within demographic groups. To distinguish between these channels, we decompose changes in the aggregate LFPR into between effects and within effects using seasonally adjusted estimates for detailed age-by-nativity cells.

Let $LFPR_t = \sum_g s_{g,t} \times LFPR_{g,t}$ where $s_{g,t}$ denotes the population share of group g at time t . Changes in aggregate LFPR are decomposed into a between component, reflecting shifts in population composition across groups with different participation rates, and a within component, reflecting changes in participation behavior holding demographic composition constant. The within component for each demographic group is measured using the average of the group's current and base-period population shares:

$$Within_g = 100 \times \bar{s}_g \times \Delta LFPR_g$$

where group shares are taken from the January base period.

A key innovation of the framework is that the within component can be decomposed further using CPS microdata on reasons for . Using detailed CPS labor-force-status and fields (specifically, EMPSTAT and NILFACT), we classify nonparticipants into six categories: retired, health-related, school, home/family care, other reason, and not reported. For each age-by-nativity cell, we estimate seasonally adjusted reason-specific rates and attribute the within component across those reasons. The contribution of reason r is calculated as:

$$ReasonWithin_{g,r} = -100 \times \bar{s}_g \times \Delta ReasonRate_{g,r}^{SA}$$

where $ReasonRate_{g,r}^{SA}$ denotes the seasonally adjusted rate associated with reason r . Summing across all six reasons exactly reproduces the within component of LFPR for each demographic cell, while summing across demographic groups reproduces the aggregate within effect. This framework therefore permits changes in labor-force participation to be attributed not only to demographic composition and participation behavior, but also to the specific categories underlying the observed shift in labor supply.

Macro x Politics

Not just another French election

An unsettled bond market, a fiscal profile that requires urgent consolidation and the lack of unifying figures and dynamics in centrist parties make this French election a potential pocket of OAT and EUR risk. The unveiling of Le Pen's economic plans in October could provide the first catalyst.

Not your usual drama: Although past French political risk events proved to be 'buying' opportunities, and the risks that Marine Le Pen's policies pose to markets have declined relative to her past manifestos, the backdrop heading into the election does not justify complacency.

An unsettled bond market: In a globally unsettled bond market, the rise in expected ECB rates has led peripheral spreads to increase directionally, as well. The beta of France, over time, has risen to rival that of Italy. As such, one can infer that political risks represent only a small part of the recent large-scale widening in OAT spreads.

An urgent fiscal challenge: With very low nominal growth barely matching interest rate payments, France needs to reduce a substantial primary deficit of nearly 3% down to zero to achieve sustainable debt dynamics – one of the weaker fiscal starting points in the G10.

The dissolution of centrist anchors: Unless one of the current centrist candidates succeeds in unifying the various moderate and centre-right forces, polls point to a tangible possibility that the second round of the elections could see a Le Pen vs. Mélenchon face-off.

Against the grain: We see risks that OAT spreads may need to widen further and we estimate betas to the EUR, which is trading well above levels implied by interest rate benchmarks, owing to the broad 'dollar premium'.

Not your usual French election drama

The cynical market observer would protest that we have seen this drama before and several times over, no less. Every single time, the scare has proven to be a 'buying opportunity'. Risk premia around French elections build up only to deflate. Markets do not make the same mistake repeatedly.

What is more, there is now a widespread feeling that if the election were to result in a Le Pen presidency, this could somewhat resemble the Meloni administration in Italy and, thus, lead to a shift toward greater fiscal discipline in France. Specifically, alongside much more moderate and reformist language towards the EU, Marine Le Pen has also moved away from the overtly expansionary approach adopted in her earlier campaigns and is preparing to present her €125bn multi-year consolidation plan alongside a constitutional deficit rule.

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24 September 2026

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Furthermore, spreads between Germany and France have widened considerably already, again suggesting a widespread belief that risks are factored in.

However, we view this as too generous to French and, by extension, European assets, for three very important reasons:

1. The bond market backdrop is unforgiving in a way unseen over the past decade. As we discuss in detail in the relevant section, although to some degree part of the relentless widening in French spreads reflects political considerations, potentially the bigger driver is an increasing directional beta of France to overall spreads, making OATs trade a lot more like peripheral and a lot less like core bonds. A repricing of the ECB path, supply-driven inflation and global/European/French pressures from rising bond supply have all contributed to this shift.
2. French fiscal trajectories have deteriorated considerably in absolute terms and relative to peers. While for a number of France's peers the deficit issue is one of snowballing interest payments, the adjustments needed in France's primary balances are more substantial and we project large deficit pressures to extend into 2027 that would require painful interventions to rein in.
3. The ongoing collapse in electoral support for the traditional centrist parties, coupled with the uncertainties surrounding centrist candidates in the post-Macron era, make a face-off between Marine Le Pen and Jean-Luc Melenchon more likely. While it is reasonable to argue that a more fiscally prudent Le Pen could ultimately emerge post-elections, the path there could be very volatile for markets, requiring ex-ante fiscal commitments that only one of the two candidates would have the potential to endorse.

Arguably, we are still in the early stages. There is a lot to learn with respect to the identity and positions of centrist candidates, the policy positions of Le Pen and the direction of travel in polls. With ample time until the elections, market price action can interact with and inform voter intentions. Still, with Le Pen set to unveil her economic proposals in early October, the election theme could become a focal point for markets early on and last potentially beyond the date of the presidential election itself.

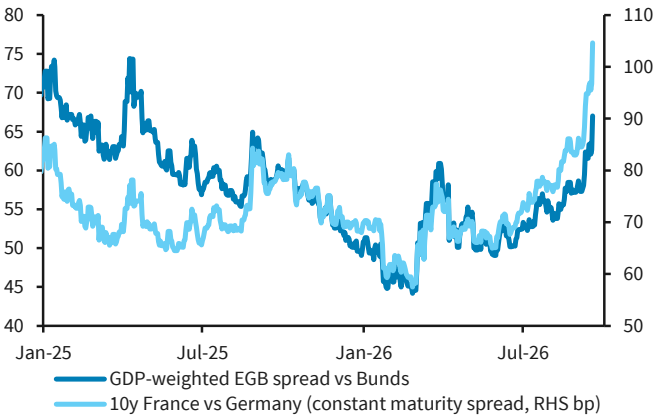
Unsettling OATs...

OAT is structural but has recently intensified, leading 10-year OATs to historically cheap levels versus Spanish and Italian debt. The sell-off reflects rates and supply pressures, not just French politics. Aggressive repricing of the ECB path has made OATs a high-beta rates instrument, while unusually heavy summer issuance, about €90bn from June to August, overwhelmed demand and contributed to the OAT-Bund spread approaching 100bp.

OATs have been in and out of the market's spotlight since President Macron called a surprise election in June 2024. Specifically, the levels of OAT spreads have ebbed and flowed with the evolution of political and fiscal uncertainty, as episodes of stress followed relief tightening, given the attractive levels of spreads and carry. The political revolving door of French politics, which has seen four PMs over the past two years and seven in President Macron's eight-year presidency, now faces what could be its biggest political reset in 2027. While the specific event risk is still 7-8 months away, nervousness among market participants is palpable, as [opinion polls](#) suggest a Le Pen presidency is more likely than not. Given the daunting fiscal mathematics France faces, a political reset of this magnitude in the presidency and the Parliament presents a significant wall of worry for OAT investors. While this specific risk has potentially had little to do with soggiess of OATs this year, the fog of political uncertainty is likely to keep OATs on the back foot for the coming months.

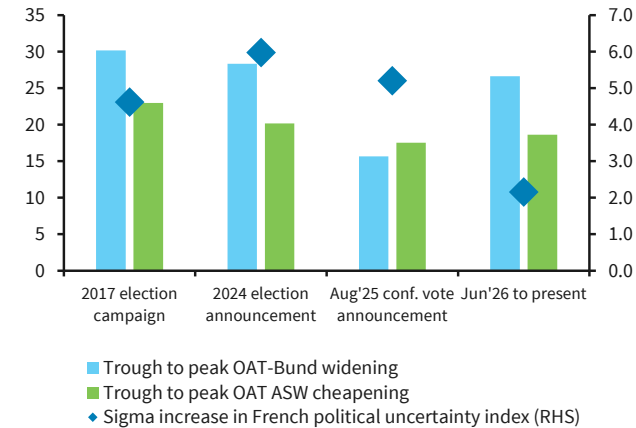
The structural story of OAT is now well established: challenging fiscal math – primary deficits, increasing interest costs and a strongly upward sloping debt-to-GDP profile – along with little political consensus to address the issues. To be clear, France's fiscal arithmetic did not become daunting after the 2024 surprise snap election – it had been many years in the making; but the significant increase in political uncertainty has hampered any fiscal consolidation efforts and put the sovereign in a negative spotlight, also resulting in multiple rating downgrades and France losing its AA rating.

FIGURE 1. OATs have lagged other EGB markets, with the accelerating over the summer



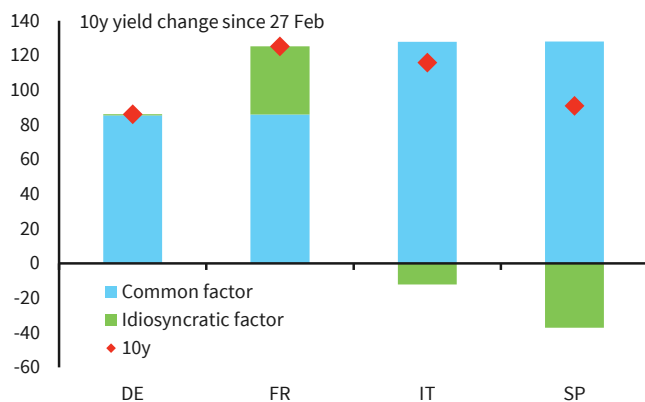
Source: Bloomberg, Barclays Research

FIGURE 2. Previous comparable episodes of OAT came alongside increases in political uncertainty, but not this time around

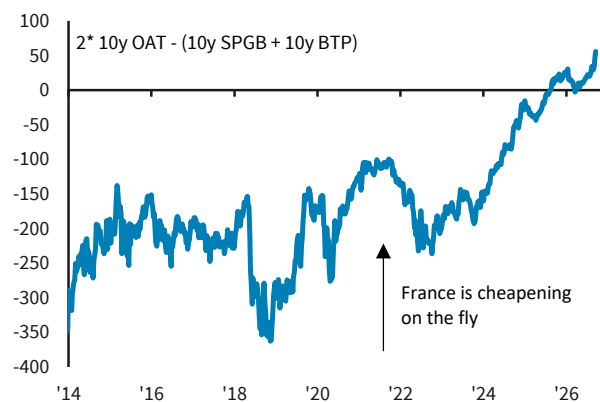


Source: Bloomberg, Barclays Research

Naturally, this deterioration in sentiment has weighed significantly on OATs and especially so over the past two years. As things stand, 10y OATs have lost all their relative richness, by virtue of being tagged as a core/semi-core bond market previously, versus SPGBs and BTPs, and trade cheaper than anytime over the past two decades. Put differently, there has been a clear change in perception of OATs — away from categorising it as a core/semi-core market to placing it alongside the periphery market. While this structural story of a challenging political and fiscal mix explains much of the recent deterioration of OATs over the past few years, we think it would be amiss to attribute the recent widening in OAT-Bund and cheapening in the OAT ASW to these factors.

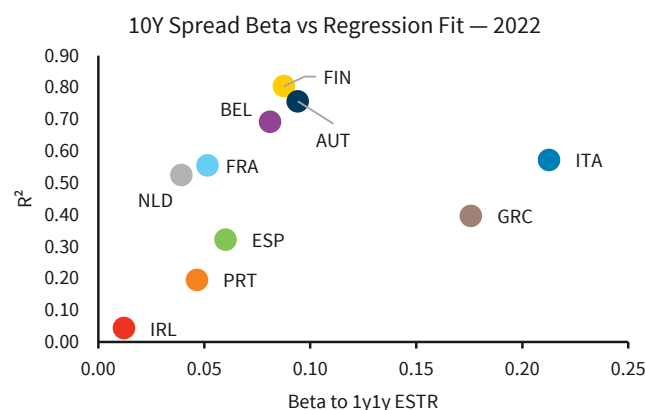
FIGURE 3. Since the onset of the conflict, 10y OAT yields have risen more than their traditional beta with other EGB markets

Source: Bloomberg, Barclays Research

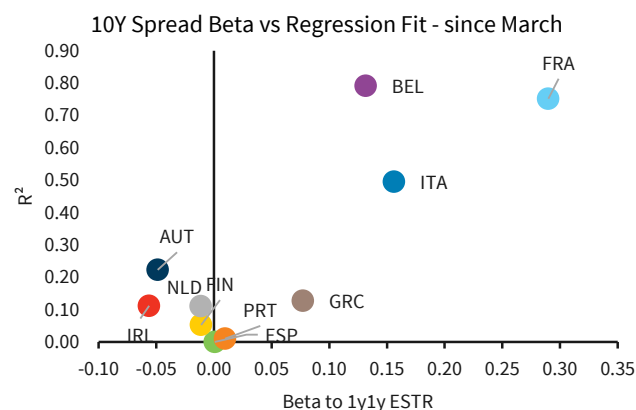
FIGURE 4. The structural OAT story has accelerated over the past few years

Source: Bloomberg, Barclays Research

We believe it is not only or even primarily about France-specific factors yet. In our assessment, an aggressive repricing of **the ECB's policy path has been a key contributor** to the spread widening, with France's domestic troubles resulting in OATs trading as a high-beta rates instrument. For example, when we compare the betas of EGB spreads versus Bunds to front-end rates in the 2022 cycle versus the 2026 cycle, a "new periphery" of countries exposed to the rate shock has emerged (Figure 5 and Figure 6). Specifically, spreads in Italy, France and to a certain extent Belgium have displayed a relatively large beta to the front end since March (with front-end moves holding relatively large explanatory power for these spreads). With 1y1y ESTR c.150bp higher since the Gulf conflict began and 100bp higher since July, the pressure on the EGB spread complex has been immense, but even there, OAT has been notable.

FIGURE 5. Beta of 10y EGB spreads (vs. Germany) to 1y1y ESTR and R-squareds: 2022

Source: Bloomberg, Barclays Research

FIGURE 6. Beta of 10y EGB spreads (vs. Germany) to 1y1y ESTR and R-squareds: since March

Source: Bloomberg, Barclays Research

One dimension to this is that French gross/net supply volumes over the summer period have been multiples bigger than most other EGB issuers. For example, in June to August this year, gross OAT supply was close to c.€90bn, while the next-closest issuer in volumes terms was Germany at c.€40bn, with the rest of the EGB countries issuing less than c. €20bn. Of course, between September and December, gross OAT supply has been lower and a

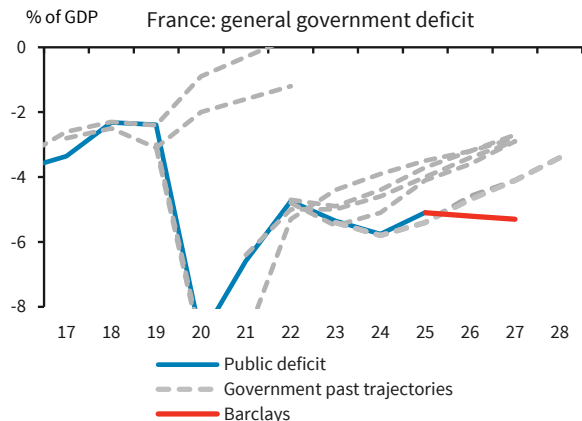
lot more comparable to the other EGB markets, but specifically during the summer, it has been a headwind.

But why has demand not kept pace with this supply? This is a valid question, especially since over the past two years, market participants were happy to support OAT-Bunds when they widened towards 80-85bp in the wake of increases in political uncertainty. Furthermore, as we argued in [OATs: Back in a pickle](#), over the last two years, ie, since political uncertainty flared up and cheapened OATs versus other EGBs and swaps, domestic and euro area banks together have absorbed c.42% of the increase in French debt, adjusting for eurosystem QT. The activity of euro area banks (non-French ones) is particularly striking, as they have outpaced demand from French banks by a multiple of two and increased their stock of OAT holdings by 2.5 times in just eight quarters. Beyond domestic and euro area banks, asset managers (primarily outside France) were the other prominent sponsors followed by rest-of-world investors and insurance companies (domestic and from other euro area countries).

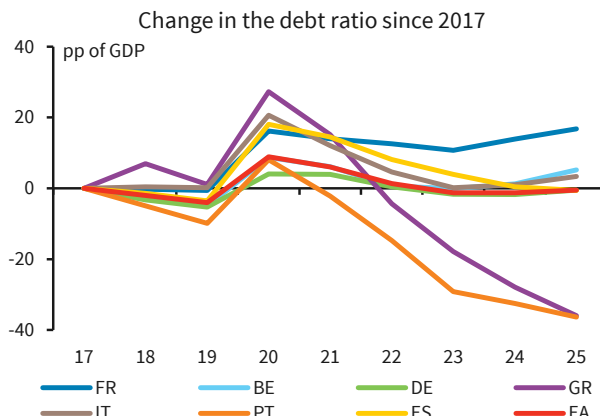
However, *this time has proven to be different*. Unlike in 2024 and 2025, when the PM's seat changed hands but President Macron stayed put, we are now approaching a full political reset, with presidential and parliamentary elections. The wall of uncertainty alongside the daunting fiscal math France faces could keep investors at bay for the foreseeable future. In this regard, it is striking how other OAT peers such as Belgian or Austrian government bonds have richened on a relative basis, as investors appear to have avoided OATs and diversified into other markets. Another significant difference versus the past two years is that the monetary policy cycle is a significant headwind today to fading the recent widening, as the market remains unsure of where the terminal rate will finally settle. As a sum total of all these factors, the 10y OAT-Bund spread has reached close to c.100bp — a level last reached during the European debt crisis.

...don't blend well with deteriorating French fiscal dynamics

France's debt-to-GDP ratio is rising rapidly. In 2025, it reached a record high of 115.7%, around 17pp above the level prevailing at the start of President Macron's first term in 2017. Unlike most of its euro area peers, France has failed to reduce its fiscal deficit, which stood at 5.1% of GDP in 2025, compared with 2.3% of GDP in 2018, the first year of Macron's first term. As a result, it has been unable to reverse its post-pandemic debt trajectory and, over recent years, a recurring pattern has been the government's failure to deliver on the medium-term consolidation objectives to which it had committed ([Figure 7](#) and [Figure 8](#)).

FIGURE 7. Over past years, France has consistently deviated from previously committed consolidation trajectories

Source: Eurostat, European Commission, Haver Analytics, Barclays Research

FIGURE 8. Unlike most European peers, France has failed to reverse its debt trajectory following the pandemic

Source: Eurostat, Haver Analytics, Barclays Research

2023 and 2024 were marked by unprecedented fiscal slippages under the centrist Borne and Attal governments, despite both benefiting from sufficient parliamentary support and the economy generating robust nominal GDP growth of 7.0% and 3.5%, respectively. Following the dissolution of the National Assembly in 2024, the resulting fragmentation of the political landscape significantly reduced the room for manoeuvre needed to deliver meaningful fiscal adjustment. The Barnier and Bayrou governments both fell amid an inability to build consensus around the budget, while Prime Minister Lecornu's ability to remain in office in the autumn of 2025 was secured only through costly arrangements with the Socialist Party. These compromises ultimately resulted in a watered-down fiscal adjustment for 2026 and a further increase in the tax burden.

Stabilising France's debt dynamics will require a sizeable fiscal effort. Using 2025 assumptions of around 2% nominal GDP growth and a 2.0% effective interest rate on the outstanding debt stock, our estimates suggest that France would need to bring its primary balance broadly back to zero to stabilise the debt ratio at around 116% of GDP (Figure 9). With the primary balance standing at -2.9% of GDP last year, this translates into a required fiscal adjustment of approximately 3 percentage points of GDP.

FIGURE 9. Primary balance/GDP ratio (deficit-/surplus+) required to keep the public debt/GDP ratio stable at 116% under various combinations of nominal GDP growth and nominal average cost of public debt

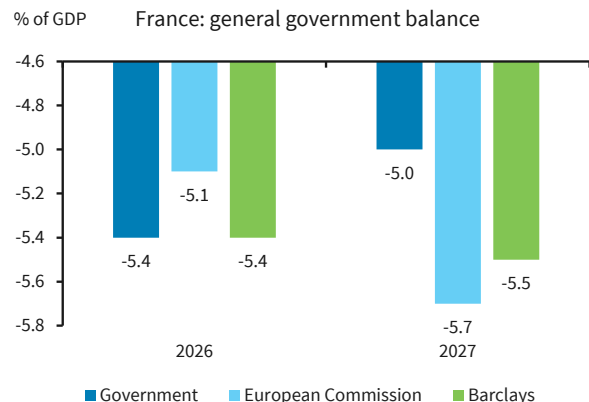
Government Debt/GDP = 116%		Nominal interest rate paid on entire stock of debt (%)							
		1	1.5	2	2.5	3	3.5	4	4.5
Nominal GDP growth (% y/y)	1	0.0	0.6	1.1	1.7	2.3	2.9	3.4	4.0
	1.25	-0.3	0.3	0.9	1.4	2.0	2.6	3.2	3.7
	1.5	-0.6	0.0	0.6	1.1	1.7	2.3	2.9	3.4
	1.75	-0.9	-0.3	0.3	0.9	1.4	2.0	2.6	3.1
	2	-1.1	-0.6	0.0	0.6	1.1	1.7	2.3	2.8
	2.25	-1.4	-0.9	-0.3	0.3	0.9	1.4	2.0	2.6
	2.5	-1.7	-1.1	-0.6	0.0	0.6	1.1	1.7	2.3
	2.75	-2.0	-1.4	-0.8	-0.3	0.3	0.8	1.4	2.0
	3	-2.3	-1.7	-1.1	-0.6	0.0	0.6	1.1	1.7
	3.25	-2.5	-2.0	-1.4	-0.8	-0.3	0.3	0.8	1.4
	3.5	-2.8	-2.2	-1.7	-1.1	-0.6	0.0	0.6	1.1

Source: Barclays Research

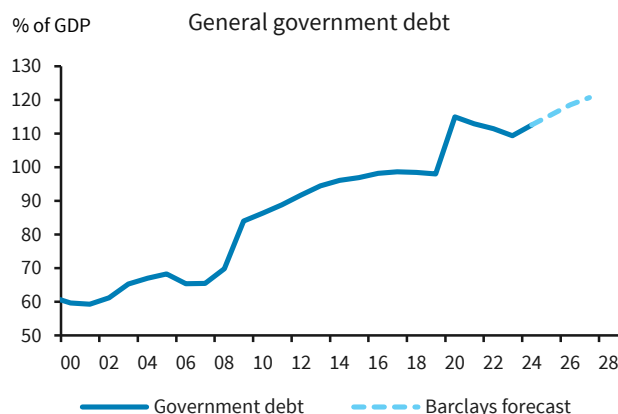
The cost of delay is also considerable. With the average maturity of French public debt standing at around eight years and government bond yields having moved higher, the effective interest rate on France's debt stock is set to rise gradually, increasing by around a quarter of a percentage point per year through 2032 and potentially reaching 3.5-4.0%, up from the 2.0% recorded in 2025. Should the structural primary deficit remain broadly unchanged over the next five years, we estimate that the debt ratio could approach 135% of GDP by the end of the next presidential term. Stabilising debt at that point would require an even larger fiscal adjustment, with France needing to generate a primary surplus of 0.7-2.6% of GDP, assuming nominal GDP growth settles at 2-3%.

As things stand, however, we do not think France will be in a position to put its fiscal trajectory on a more sustainable footing in the near term. The combination of unfavourable spending and revenue dynamics, a weaker starting position following an inexorable 2026 deficit overshoot, and a high bar for parliamentary compromise during the electoral cycle is likely to make meaningful consolidation extremely difficult. The 2027 budget discussions scheduled for this autumn are already shaping up to be particularly challenging, and it remains unclear what form the final budget will ultimately take, or indeed whether a budget can be adopted before next year's election. Beyond that, the next president and government may ultimately seek the adoption of a revised 2027 budget after the legislative elections in order to begin implementing the programme on which they were elected.

In this context, we continue to expect France's general government deficit to remain above 5% of GDP over the next two years, at 5.4% in 2026 and 5.5% in 2027, with the public debt ratio rising to 121% of GDP by the end of next year (Figure 10 and Figure 11).

FIGURE 10. We expect the public deficit to remain above 5% in both 2026 and 2027...

Source: Eurostat, Haver Analytics, Barclays Research

FIGURE 11. ...with the debt-to-GDP ratio reaching 121% next year

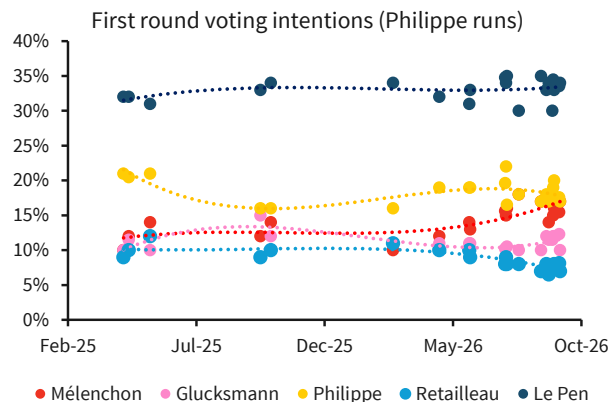
Source: Eurostat, Haver Analytics, Barclays Research

The 2027 French political reset

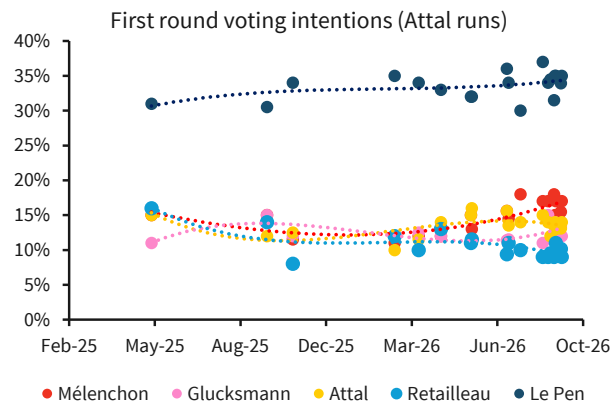
France is due to head to the polls on 18 April and 2 May 2027 for the first and second rounds of the presidential election, a contest with the potential to reshape the course of French politics more profoundly than any vote of the past 45 years, against the backdrop of an electoral landscape that has rarely been as fragmented as it has become after Macron's presidency.

As we write, the composition of the first-round field remains largely unsettled. On the right of the political spectrum, the 7 July Paris Court of Appeal ruling, by reducing the scope of Marine Le Pen's ineligibility sentence, has *de facto* reopened the door for her to represent the Rassemblement National in the race. On the far left, La France Insoumise (LFI) leader Mélenchon is also set to run for a fourth time. In the centrist space, however, ranging from moderate Social Democrats to the centre-right Les Républicains (LR) and encompassing President Macron's former political camp, the picture remains blurred. Two of Macron's former prime ministers, Édouard Philippe and Gabriel Attal, are already campaigning, while former Interior Minister Retailleau is expected to carry the colours of LR. The Socialists, meanwhile, are still holding an internal primary to designate their candidate.

Opinion polls currently suggest that Marine Le Pen would comfortably dominate the first round, with 30-35% of voting intentions (Figure 12 and Figure 13), but the identity of the candidate who would qualify for the second round against her remains highly uncertain. Mélenchon has been enjoying positive momentum and has now almost closed the gap with the leading centrist contenders, be it Philippe or Attal, both of whom continue to be penalised by the proliferation of candidacies within the centre and centre-right.

FIGURE 12. Le Pen continues to dominate first-round voting intentions...

In the above chart, Glucksmann is tested as Socialist candidate.
Source: Ifop, Ipsos, Opinionway, Odoxa, Harris Interactive, Barclays Research

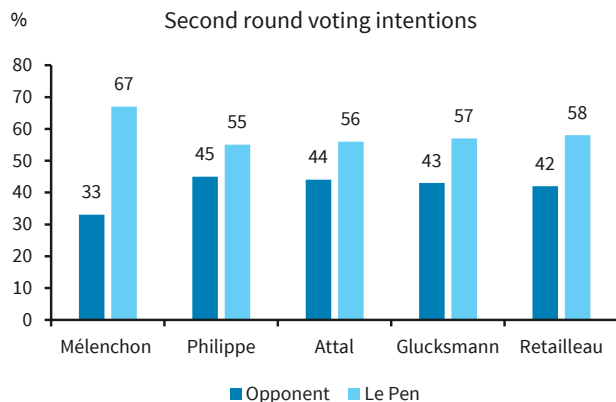
FIGURE 13. ...irrespective of who runs for the centrist bloc

In the above chart, Glucksmann is tested as Socialist candidate.
Source: Ifop, Ipsos, Opinionway, Odoxa, Harris Interactive, Barclays Research

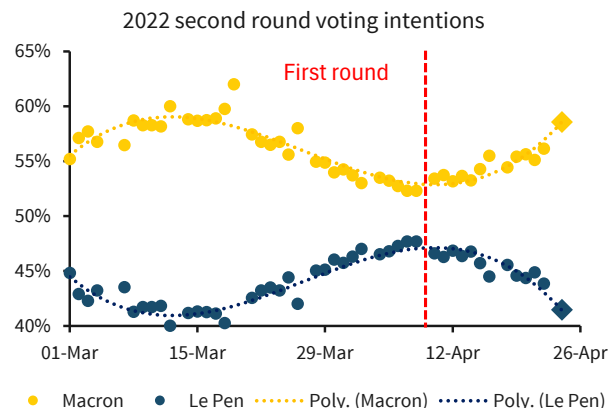
As such, unless one of the current centrist candidates succeeds in unifying the various moderate and centre-right forces, there is a tangible risk that the fragmentation of the centre leaves the bloc absent from the second round altogether. Under such a scenario, the runoff could pit Le Pen against Mélenchon. In our view, this possibility is all the greater given the precedents of 2017 and 2022, both of which demonstrated Mélenchon's ability to build strong momentum in the closing weeks of a campaign, supported in part by tactical voting among left-wing voters.

At this stage, second-round voting intentions continue to show **Le Pen as the favourite regardless of the opponent she faces** (Figure 14). However, we would remain cautious in interpreting such projections. To us, the second-round campaign marks the beginning of a genuinely new race. A key question will be whether, as in 2017, 2022 and, more recently, the 2024 legislative elections, a *front républicain* emerges against Le Pen and her party, and how effective it proves to be (Figure 15).

In that respect, we would make two observations. First, should Le Pen face Mélenchon, her sizable lead in current polling suggests that her chances of victory would be significantly higher. Second, should she face a centrist candidate, we would expect large segments of the left to rally behind the idea of a *front républicain*. However, its effectiveness could prove more limited than in previous elections, particularly in light of the 2024 legislative election experience, when the *front républicain* ultimately resulted in recurrent government instability and an inability to deliver on key policy priorities, notably on the fiscal front.

FIGURE 14. Current polls suggest Marine Le Pen would win in every second-round configuration

Harris Interactive for all opponents except Glucksmann and Retailleau, for which Elabe and Ifop are used, respectively.
Source: Harris Interactive, Elabe, Ifop, Barclays Research

FIGURE 15. As in 2017, the emergence of a front républicain between the two rounds in 2022 resulted in RN relative to its first-round momentum

Diamond corresponds to second-round result.

Source: Ifop, Ipsos, Opinionway, Odoxa, Harris Interactive, Barclays Research

The day after the election

Looking beyond the presidential election itself, and irrespective of who wins, we think the *next president is likely to dissolve the National Assembly* in an attempt to secure a larger and more supportive parliamentary majority. As a result, we see legislative elections in June 2027 as highly likely, contests which, in our view, could prove almost as consequential as the presidential election itself.

While the institutions of the Fifth Republic grant the president extensive powers in defence and foreign affairs, domestic policy, particularly economic and fiscal policy, falls largely within the remit of the government, which remains accountable to parliament. The ability of any newly elected president to deliver on his or her programme will therefore depend critically on the capacity to command a majority in the National Assembly.

In that respect, France's two-round constituency-based majoritarian electoral system makes the outcome of the next legislative elections particularly difficult to assess at this stage, not least given the absence of meaningful polling. That said, based on the current balance of political forces, we think Le Pen, with the support of more than a third of the electorate, would stand a better chance than her rivals of securing either an outright majority or a workable relative majority. By contrast, candidates with materially lower levels of first-round support, including Attal or Philippe, could find themselves confronted with a higher risk of a continuation of the current parliamentary gridlock, limiting their ability to deliver on their economic and fiscal agenda.

With the campaign still at an early stage, the main candidates' proposals should be clarified gradually over the coming months. Drawing on each of the three key blocs' past commitments, however, we would make the following observations. A Mélenchon presidency could be seen as the most market-unfriendly. A centrist victory could be read as more market friendly, though absent a strong parliamentary mandate, a third consecutive centrist term could prove to be a slow-burn scenario. As regards Le Pen, we think the party has become increasingly aware of France's fiscal challenges and would be unlikely to implement a quantum of policies capable of triggering a situation resembling Italy's post-2018 election or the UK's 2022 Liz Truss government, but Le Pen continues to defend some fiscally unorthodox measures, notably on pensions.

A Le Pen presidency: still too early to give the benefit of the doubt

While her 2017 and 2022 presidential manifestos were clearly fiscally expansionary, Le Pen has progressively adjusted her stance in the face of the rapid deterioration in public accounts over President Macron's second term. In early October, she is set to unveil the contours of her €125bn multi-annual consolidation package and, importantly, to set out the shape of the deficit golden rule she intends to enshrine in the constitution.

On the composition of the projected adjustment, and based on the party's past proposals including the counter-budgets presented in 2025 and 2026, we expect the RN's plan to include a drastic reduction in non-contributory social benefits for non-French citizens, a simplification of France's territorial organisation, a reduction in both the number of and running costs for state agencies, and a cut in subsidies for the deployment of renewable energies. We also expect Le Pen to propose a cap on France's net contribution to the EU budget (Figure 16).

While several of these steps would, in our view, support an improvement in France's fiscal position, we remain cautious at this stage, for one main reason. Le Pen continues to campaign on a set of prominent measures likely to put upward pressure on spending and/or downward pressure on tax revenues: among others, her pension reform, which aims to keep the statutory retirement age at 62 with the possibility of earlier retirement for those who entered the workforce young, a cut in the VAT rate on energy products, and a continued reduction in businesses' production taxes.

To our eyes, therefore, should Le Pen be elected president and secure a majority in the Assembly, there would be a risk of mismatch between, on one side, political pressure to deliver on the aforementioned expansionary measures with immediate effect on the deficit and, on the other, savings measures that may take longer to implement and to bear fruit.

FIGURE 16. What would Le Pen's electoral manifesto look like?

Area	Key measures (from 2022 presidential manifesto, 2024 legislative manifesto and latest proposals)
Fiscal policy	€125bn multiannual fiscal consolidation package, constitutional deficit golden rule. Spending cuts: social benefits for non-French citizens, contribution to EU budget, reform of France local government structure, cuts in subsidies for renewable energies, cuts in state agencies operating expenses, privatisation of public broadcasting. Tax cuts: lower energy VAT from 20 to 5.5%, lower business production taxes. No Frexit but a cap to France's net contribution to the EU budget.
EU and foreign policy	Restricting Schengen freedom of movement to EU citizens. Reform of the European electricity market price-setting mechanism.
Pensions	Reduction of direct financial support to Ukraine. Withdraw France from NATO's integrated command. The statutory retirement age would be brought back to 62. Those having entered the labour market below 20 would be able to retire at 60 should they have contributed for 40 years.

Source: Barclays Research

A Mélenchon presidency: significant risks for markets

One scenario that could be viewed as posing significant challenges for markets is a victory for far-left candidate Mélenchon. This is not only because the measures he has proposed in the past all pointed towards a widening of the deficit through additional spending, but also because many would likely weigh on business activity and the competitiveness of French companies through very aggressive tax increases.

Focusing on his 2022 manifesto and the LFI-led 2024 legislative programme, the LFI candidate has proposed, among other measures, lowering the retirement age to 60, freezing the prices of

essential goods, launching a very large green and social investment plan, raising public sector wages by 10% and increasing the number of civil servants. On the revenue side, LFI has proposed an expanded wealth tax, additional income tax brackets, the cancellation of the flat tax on capital returns, the abolition of tax exemptions previously granted to businesses, and the introduction of a financial transactions tax.

Furthermore, Mélenchon would likely continue to campaign on his proposal to press the Eurosystem into writing off the French public debt held under the APP and PEPP programmes — something we see as unachievable, given that the ECB's mandate, as set out in the Treaties, prohibits the monetisation of public debt. As in previous campaigns, we would also expect him to reiterate that he would not feel bound by the European fiscal framework.

Another centrist term: positive market implications, mostly on paper, however.

A victory for a centrist candidate, such as Philippe or Attal, would, on paper, be the most market-friendly of the three scenarios, with a platform likely built around supply-side reform and a return to fiscal discipline. Among the long-standing positions of the two main centrist candidates are extending the retirement age and/or lengthening the contribution period, introducing a capitalisation pillar in the pension system, privatising some state agencies, cutting France's production taxes with an offsetting reduction of equivalent size in business subsidies, and stabilising social spending, particularly in the health sector. As with Le Pen, Philippe also proposes enshrining a fiscal golden rule in France's constitutional architecture.

While such measures would, if implemented, allow for a marked improvement in France's deficit metrics and likely be welcomed by markets, the experience of the past two presidential terms means delivery cannot be taken for granted. The centrist bloc has been in power since 2017, a period over which public finances have deteriorated markedly. In the first full-year budget of the Macron administration in 2018, the public deficit stood at 2.3% of GDP, with the primary balance close to equilibrium (-0.5% of GDP). Six years later, and before the dissolution of the National Assembly, the 2024 budget passed by then-Prime Minister Attal resulted in a deficit of 5.8% of GDP and a primary deficit of 3.7%. Over 2017-2024, the bloc had every lever at hand to improve the state of public finances, yet these went unused — and the only structural reform of the Macron presidency, the 2023 pension reform, was suspended in 2025 as a concession to the Socialist Party. Beyond that, a centrist victory would only prove positive for fiscal fundamentals over the medium term if the bloc were to secure a majority in the National Assembly, which, given the precedents of the 2022 and 2024 legislative elections and the current state of presidential polls, is far from assured. Failure to obtain one would imply a continuation of the current political gridlock, with little improvement in the fiscal position in sight.

Jilted OATs may wilt under further pressure

Given the macro backdrop, **the road to tighter OAT spreads is short and narrow**. Polling ahead of the 2027 presidential and parliamentary elections, alongside budget negotiations and uncertainty over the ECB terminal rate, is likely to deter buyers. A duration rally or improved centrist polling could provide relief, but the path to sustained spread tightening appears narrow.

Given the pace and intensity of the moves in OATs — outright and versus Bunds — it is natural to ask what is in the price or how much election risk "premium" is truly priced in? Admittedly, while there is idiosyncratic risk-premium build-up in OATs (Figure 3), given the many cross-currents in which they find themselves in, a "true" identification exercise of the effect of various factors is challenging, given the cross-contamination by different drivers. That said, the themes

at play over the next 12 months are clear and likely to take up various degrees of importance. Specifically, the ECB's rate cycle, autumn budget discussions and evolution of opinion polls for the first and second round of the 2027 presidential polls are all going to be in focus ahead, with supply-demand dynamics, potential rating actions and global factors also coming into play. In our subjective assessment, the evolution of opinion polls for the 2027 elections could remain the most significant force in the weeks and months ahead.

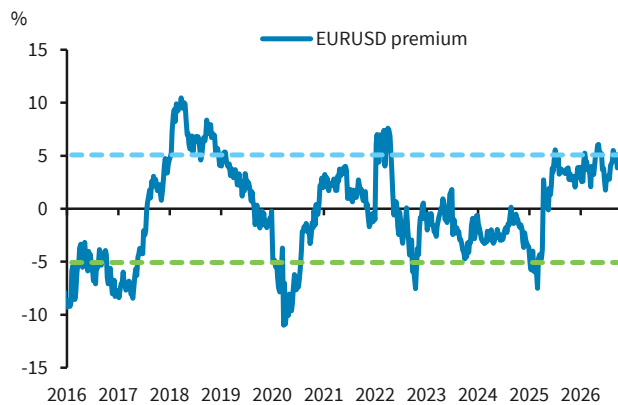
In [OATs: Back in a pickle](#), we had painted the good (60-65bp), bad (95-100bp) and ugly (>100bp) scenarios for OAT-Bunds when the 10y spread was 80-85bp. Specifically, the bad outcome involved testy negotiations between political parties over the autumn budget, larger fiscal slippage than previously expected, continued aggressive repricing of the ECB's policy tightening cycle and the centrist candidate losing further ground in the polls. The ugly outcome, among the above factors, would have required an increasing probability that the second-round polls would be between two non-centrist candidates, although we expected this outcome to be realised around the turn of the year, rather than imminently.

Clearly, these outcomes are arriving a lot faster than anticipated, which again underscores that the experience of previous French presidential and parliamentary elections and of the episodes of political upheaval in the past couple of years may offer little in the way of guidance. The macro and policy backdrop today is fundamentally different from these previous episodes and given that opinion polls point to a historical political reset, the right tail of the OAT-Bund distribution has fattened, which could keep buyers at bay. However, a de-escalation of the Gulf conflict that fuels a duration rally could provide a welcome breather for OATs, although we would expect them to underperform BTPs. A stronger wave of relief could come if the centrist candidate(s) gains ground in the first and second round polls. All may not be lost for OATs, but given the political future the opinion polls are pointing toward, the path to tighter OAT spreads appears to be both narrow and short.

Against the grain: a bowl of soggy OATs for the Euro

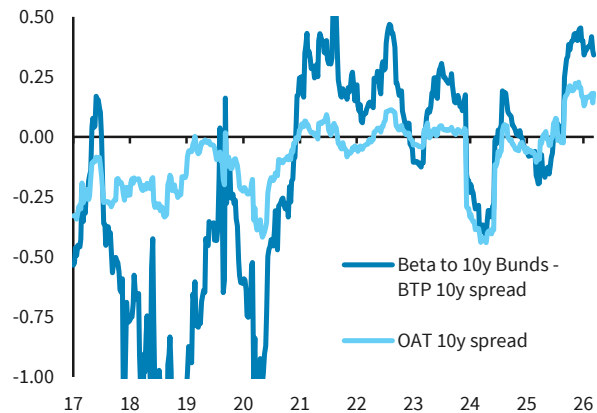
The EUR has proven quite resilient in recent months, despite large and persistent global shocks, including elevated energy prices, increased global trade fragmentation and severe competition in key European industries (like autos). The participation of the European economy in the global activity acceleration in H1 26 is likely part of the explanation. In addition, the EUR has been enjoying a dividend thanks to its role as the main "anti-dollar" since "liberation day."

This dollar premium, as we have called it [before](#), remains towards the upper-end of its post-"liberation day" range, even after the Fed's hawkish hike in September ([Figure 17](#)). There are good reasons, however, to think that it will soon shrink considerably. This is because it reflects to a large degree worries about the Fed's independence, which the unanimous hike and hawkish subsequent communication arguably go some way towards allaying. In fact, rather than the dollar trading at a discount versus fundamentals, **it may be the EUR that needs to price in more appropriately the risks associated with the upcoming French presidential election in Q2 27.**

FIGURE 17. The dollar premium can compress further

Note: Dashed light blue and green lines represent ± 1 SE.

Source: Haver Analytics, Bloomberg, Barclays Research

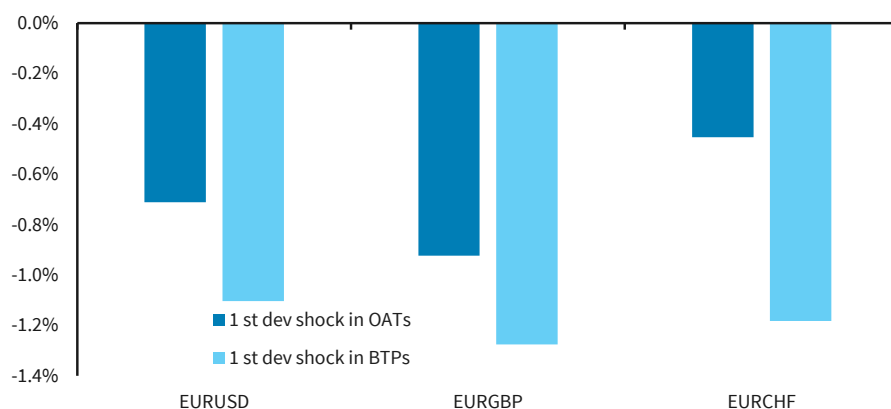
FIGURE 18. OAT spread behaviour is mimicking BTP

Note: The chart shows rolling 6-month betas from bivariate regressions of weekly changes in the BTP and OAT spread to Bunds on changes in the outright 10-year Bund yield.

Source: Bloomberg, Barclays Research

Given that an early parliamentary election is likely to be called by whoever wins the presidency and that another hung Parliament is highly likely, most plausible outcomes would present challenges for markets. Thus, a hung Parliament with a centrist president would be bound on fiscal matters by the same constraints as the current administration, while a Le Pen presidency with a hung Parliament could add a more confrontational European policy to an already difficult fiscal backdrop. By contrast, a Le Pen presidency with a parliamentary majority would enable faster decision-making, but potentially at the cost of fewer checks and balances as regards the most controversial parts of her agenda (such as on the fiscal front or France's EU budget contributions). Lastly, a Mélenchon presidency appears unlikely based on virtually all recent polls (eg, see [here](#) and [here](#)); however, a second-round appearance might also elicit higher premia, given his proposed fiscally expansionary policies, as discussed earlier.

The main transmission mechanism to the EUR of European fiscal travails has been sovereign spreads, particularly idiosyncratic spread widening that falls outside the scope of the ECB's [Transmission Protection Instrument \(TPI\)](#). The more similar beta to shifts in outright Bund yields since the surprise parliamentary elections in 2024 provides evidence that OAT spreads now behave more similarly to BTPs, even outside episodes of outright sovereign stress ([Figure 18](#)). We should, thus, look at past instances of political turbulence in Italy to gauge the potential FX effect of the upcoming election.

FIGURE 19. Simulated effect of a 1 st. dev. shock to spreads

Note: Effect drawn from bivariate regressions of FX changes on sovereign spread changes for the period prior to the 2017 French election and right after the 2018 Italian election.

Source: Bloomberg, Barclays Research

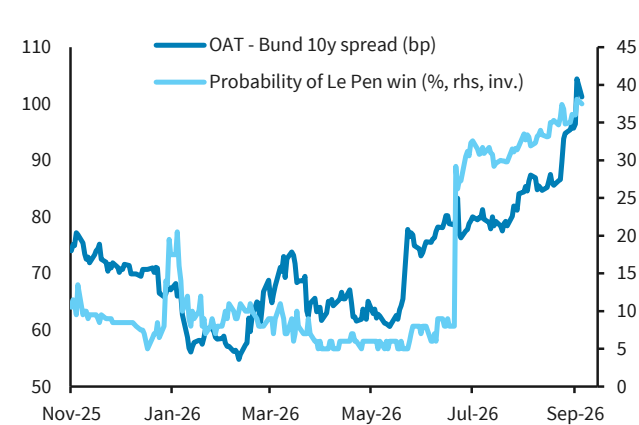
Withdrawal from euro membership has all but disappeared from the French public debate. That said, risks of fiscal slippage and other anti-European integration policies could generate a clash with EU institutions. Accordingly, the more relevant political benchmark appears to be the Italian 2018 election. This gave rise to the Lega-5 Star government and considerable market stress before a modus vivendi was found, albeit without the question of "Italexit" ever seriously considered.

We have in the past estimated the effect of a 1 standard deviation shock to BTP spreads on key EUR-crosses during the 2018 events, based on a rolling regression of FX changes to sovereign spread changes, and found it to be larger than that of the analogous widening in OATs ahead of the 2017 French election (Figure 19). This is intuitive, as the 2017 French election risk was a short-lived affair that never posed actual policy challenges, unlike the 2018 Italian election. Were Le Pen to be elected, however, EUR-crosses could come under more stress than in 2017, akin to Italy's 2018 experiment.

Naturally, a Le Pen presidency is not a given, nor are her policies set in stone. Accordingly, our estimates should be understood as a severe scenario in terms of euro implications.

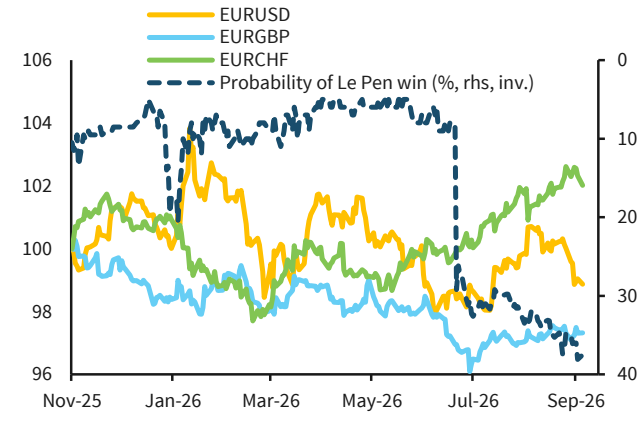
Arguably, the market has yet to price in election risks in earnest beyond the more generic reappraisal of the French credit. While the election lurks in the background, a series of underwhelming budgets since the 2024 snap parliamentary election has been a key driver of wider OAT spreads, well before market focus shifted to the election. This can be seen in the spread widening well before Le Pen was cleared to run by France's courts in July (Figure 20) and in the limited FX pass-through following that decision (Figure 21). This is likely to change in light of the potential policy discontinuities the upcoming election may generate, in our view.

FIGURE 20. OAT widening led the Le Pen court decision...



Source: Bloomberg, Barclays Research

FIGURE 21. ...and has had limited FX effect to date



Source: Bloomberg, Barclays Research

Appendix

Global forecasts

Updated forecasts for global bond yields, WTI, Brent, global equity indices, select FX/EM currency pairs and key economic forecasts, including GDP, inflation, debt and interest rates.

Interest Rates

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FIGURE 1. Global bond yield forecasts

10y yield forecast	Q4 26	Q1 27	Q2 27	Q3 27
US Treasuries	5.00	5.00	5.00	5.00
Euro Government Bonds	3.30	3.30	3.30	3.30
UK Government Bonds	5.25	5.30	5.40	5.40
Japan Government Bonds	3.05	3.15	3.25	3.30

Source: Barclays Research

Commodities

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FIGURE 2. Commodities forecasts

		Q3 26	Q4 26	Q1 27	Q2 27
WTI	US\$/bbl	97	92	87	82
Brent	US\$/bbl	100	95	90	85

Source: Bloomberg, Barclays Research

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Equities

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FIGURE 3. Global Equity Indices year-end targets

Index	Spot (18 Sep 2026)	2026 End Forecast
S&P 500 (SPX)	7651	7950
Euro Stoxx (SXXE)	659.35	700
FTSE 100 (UKX)	10659.1	10865

Source: Bloomberg, Barclays Research

FX & EM Macro Strategy

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FIGURE 4. FX & EM Macro Strategy forecasts

	Forecasts					vs.	Outright	Forward	
	Spot	End Q4 26	End Q1 27	End Q2 27	End Q3 27	End Q4 26	End Q1 27	End Q2 27	End Q3 27
G10									
EURUSD	1.15	1.14	1.13	1.12	1.12	-1.0%	-2.3%	-3.5%	-3.9%
USDJPY	157	157	158	159	160	0.6%	2.0%	3.5%	5.0%
GBPUSD	1.34	1.31	1.31	1.32	1.32	-2.1%	-1.8%	-1.6%	-1.6%
USDCHF	0.82	0.82	0.82	0.83	0.82	1.6%	2.6%	4.7%	4.8%
USDCAD	1.40	1.39	1.39	1.40	1.40	-0.4%	0.0%	1.2%	1.6%
AUDUSD	0.71	0.71	0.72	0.72	0.72	-0.2%	1.3%	1.4%	1.5%
NZDUSD	0.57	0.57	0.56	0.56	0.56	-0.7%	-2.7%	-2.9%	-3.1%
EURJPY	181	179	179	178	179	-0.4%	-0.3%	-0.1%	0.9%
EURGBP	0.86	0.87	0.86	0.85	0.85	1.1%	-0.4%	-2.0%	-2.3%
EURCHF	0.94	0.94	0.93	0.93	0.92	0.6%	0.2%	1.0%	0.7%
EURSEK	11.28	11.15	11.00	10.85	10.85	-1.0%	-2.1%	-3.3%	-3.2%
EURNOK	10.83	10.90	10.75	10.50	10.50	0.1%	-1.7%	-4.3%	-4.7%
EM Asia									
USDCNY	6.70	6.65	6.62	6.60	6.55	0.5%	0.8%	1.4%	1.5%
USDHKD	7.85	7.84	7.84	7.83	7.82	0.3%	0.5%	0.6%	0.6%
USDINR	95.81	96.80	97.40	98.00	99.00	0.2%	-0.1%	-0.2%	0.0%
USDIDR	17,838	17,850	18,000	18,200	18,250	-0.7%	-0.4%	0.3%	0.1%
USDKRW	1,374	1,390	1,410	1,420	1,430	1.2%	2.8%	3.8%	4.8%
USDMYR	4.08	4.11	4.14	4.15	4.17	1.2%	2.2%	2.8%	3.6%
USDPHP	62.80	63.20	63.90	64.30	64.80	0.2%	1.0%	1.2%	1.6%
USDSGD	1.28	1.28	1.28	1.29	1.29	1.0%	1.7%	3.2%	4.0%
USDTHB	33.28	33.50	33.60	34.00	34.20	1.1%	1.9%	3.8%	5.0%
USDTWD	31.77	32.00	32.30	32.60	32.60	1.0%	2.1%	3.2%	3.3%
LatAm									
USDBRL	5.11	5.05	5.10	5.15	5.20	-3.1%	-3.8%	-4.6%	-5.3%
USDMXN	17.21	16.80	16.90	17.00	17.25	-3.1%	-3.2%	-3.3%	-2.5%
USDCOP	3,193	3,100	3,100	3,200	3,200	-4.8%	-6.5%	-5.4%	-7.3%
USDCLP	947.30	975	975	925	910	3.1%	3.3%	-1.9%	-3.4%
USDPEN	3.35	3.35	3.35	3.30	3.30	-0.4%	-0.6%	-2.4%	-2.7%
EEMEA									
EURCZK	24.32	24.50	24.60	24.65	24.70	0.5%	0.8%	0.7%	0.7%
EURHUF	362	365	365	370	370	0.3%	-0.3%	0.6%	0.1%
EURPLN	4.35	4.40	4.40	4.43	4.45	0.9%	0.5%	0.9%	1.0%
EURRON	5.26	5.25	5.30	5.30	5.30	-1.1%	-0.9%	-1.7%	-2.5%
USDRUB	83.75	82.00	84.00	86.00	88.00	-4.2%	-4.5%	-4.8%	-5.1%
USDTRY	48.80	50.70	52.70	54.20	56.00	-4.0%	-7.0%	-11.5%	-14.9%
USDILS	3.04	2.90	2.85	2.80	2.80	-3.2%	-4.3%	-5.4%	-4.9%
USDZAR	16.24	16.50	16.75	17.00	17.25	1.0%	1.9%	2.8%	3.7%

Note: Spot is as of 21 September 2026.

Source: Barclays Research

Economics

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FIGURE 5. Global Forecasts (1): GDP and CPI inflation: Barclays Research projections

	Weight [#]	Real GDP									Consumer prices							
		% over previous period, saar						% annual change			% over a year ago					% annual change		
		2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	2025	2026	2027	3Q26	4Q26	1Q27	2Q27	3Q27	2025	2026	2027
Global*	100.0	3.1	2.7	3.4	3.0	2.3	2.6	3.4	3.3	3.2	2.9	3.2	3.4	2.7	2.5	2.3	2.8	2.5
Advanced	37.7	1.9	1.5	1.3	1.4	1.5	1.4	1.7	1.6	1.5	3.2	3.8	3.6	2.8	2.5	2.6	3.2	2.7
United States	17.8	1.5	2.5	2.0	2.0	2.0	1.5	2.1	2.1	1.9	3.4	3.8	3.4	2.3	2.3	2.7	3.4	2.5
Euro area	13.2	2.6	1.0	0.9	1.0	1.1	1.5	1.3	1.0	1.2	3.3	4.0	3.8	3.0	2.5	2.1	3.1	2.8
Germany	3.6	1.3	0.7	0.9	1.0	1.3	1.7	0.3	1.0	1.1	3.0	3.4	3.3	2.8	2.4	2.3	2.8	2.6
France	2.6	0.1	0.6	0.6	0.8	0.8	1.3	0.9	0.4	0.8	2.7	3.6	3.4	2.4	2.0	0.9	2.5	2.3
Italy	2.2	0.7	0.4	0.4	0.6	0.6	0.8	0.7	0.9	0.6	3.3	4.6	4.1	3.0	2.5	1.6	3.1	2.8
Spain	1.6	2.8	2.1	1.9	1.8	1.9	1.9	2.8	2.6	1.9	4.5	5.2	4.8	4.0	3.0	2.7	4.0	3.5
Japan	4.1	1.4	-1.5	0.2	1.0	1.1	1.1	1.1	1.1	0.6	1.8	2.4	3.8	3.5	2.8	3.1	1.8	3.0
United Kingdom	2.6	1.7	1.6	0.7	0.8	1.1	1.4	1.3	1.3	1.1	3.1	3.5	3.6	3.2	2.9	3.4	3.1	3.0
Emerging*	62.3	3.8	3.5	4.6	4.5	3.0	3.7	4.5	4.3	4.1	2.3	2.4	3.1	2.6	2.6	1.8	2.3	2.3
EM ex China*	38.6	4.2	3.2	4.4	4.2	3.4	3.6	4.2	4.2	4.2	3.8	4.2	4.1	3.6	3.6	3.4	3.7	3.5
Emerging Asia	43.5	4.1	4.3	5.5	5.4	3.3	4.8	5.4	5.3	4.8	1.7	1.6	2.0	1.6	1.7	0.7	1.7	1.6
EM Asia ex China	19.7	5.3	4.7	6.2	5.5	4.5	5.5	5.8	6.4	5.7	3.6	4.0	3.4	2.9	2.7	1.8	3.3	3.1
China	23.8	3.1	4.1	4.9	5.3	2.0	4.1	5.0	4.5	4.0	0.6	0.4	0.8	0.6	0.8	0.0	0.7	0.8
India	9.9	6.8	5.5	8.0	7.7	5.8	6.5	7.3	7.5	7.0	4.8	5.8	4.9	4.7	4.2	2.2	4.4	4.5
Indonesia	2.9	4.4	5.3	5.7	5.7	6.1	3.6	5.1	5.4	5.4	3.1	3.1	3.4	2.9	2.9	1.9	3.3	2.9
Korea	2.0	2.6	0.8	-0.2	3.6	3.0	4.9	1.1	3.2	2.6	3.0	2.5	2.4	2.2	2.2	2.1	2.6	2.2
Thailand	1.1	-0.7	2.3	1.4	2.7	2.0	2.8	2.4	2.2	2.1	2.6	3.4	3.1	0.4	1.1	-0.1	2.0	1.3
Taiwan	1.2	5.7	5.2	9.7	-0.4	2.3	11.0	8.8	12.0	5.0	2.4	2.3	2.5	2.0	1.6	1.7	2.0	1.9
Malaysia	0.9	10.5	7.0	4.1	4.8	4.8	4.8	5.2	5.6	5.2	1.8	2.0	1.9	1.4	1.4	1.4	1.8	1.5
Philippines	0.8	2.3	3.2	5.7	5.3	5.3	5.3	4.4	3.0	5.0	6.3	6.5	5.6	2.7	3.4	1.7	5.6	3.8
Singapore	0.6	5.7	4.1	4.1	4.1	3.6	3.6	5.0	5.5	4.0	2.3	2.2	2.7	2.0	1.7	0.9	2.0	1.9
Hong Kong	0.3	-2.5	1.1	4.3	9.3	-2.9	1.2	3.6	4.3	2.8	1.9	1.8	1.7	1.5	1.5	1.4	1.8	1.6
Latin America*	7.2	2.6	1.2	1.1	2.8	0.7	2.0	2.2	1.8	1.9	4.1	4.4	4.5	4.0	4.3	4.3	4.3	4.2
Brazil	2.9	1.9	0.8	0.0	2.8	-0.9	1.4	2.3	1.8	1.3	4.3	4.7	4.9	3.9	4.3	5.0	4.4	4.3
Mexico	2.0	5.8	0.4	1.6	2.5	1.2	1.7	0.5	1.5	2.0	3.2	3.6	3.7	4.0	4.8	3.8	3.7	4.2
Argentina	0.9	-2.3	2.8	2.8	3.2	2.8	2.4	4.5	1.8	2.5	33.2	30.3	25.2	22.6	21.3	32	30	20
Colombia	0.7	5.2	-0.2	1.8	2.0	2.1	2.5	2.6	2.4	2.0	6.2	6.2	5.9	5.2	4.7	5.1	5.9	5.0
Chile	0.4	-0.1	2.4	2.4	2.4	2.0	2.8	2.5	1.0	2.1	4.2	4.3	3.8	3.7	3.3	3.4	4.3	3.5
Peru	0.4	0.8	6.6	0.8	5.1	0.8	6.6	3.4	3.1	3.3	4.0	4.3	3.6	2.2	2.5	1.5	3.7	2.7
EEMEA*	11.6	3.1	1.7	3.2	3.5	3.9	2.0	2.6	1.8	2.9	4.0	4.4	4.7	4.3	3.9	5.3	3.9	3.6
Russia	4.2	8.3	0.2	0.1	0.7	0.9	0.8	1.0	0.8	1.1	6.2	6.6	6.4	5.7	5.2	8.7	6.1	5.5
Turkiye	2.2	4.0	4.1	4.8	2.3	2.9	3.5	3.8	2.8	3.5	30.2	29.7	26.3	23.7	23.3	34.9	31.0	24.1
Poland	1.2	4.1	4.4	4.4	4.0	1.9	3.1	3.6	3.4	3.6	3.3	4.1	3.2	4.0	3.2	3.8	3.1	3.4
South Africa	0.6	-1.0	1.0	0.8	2.2	1.9	1.9	1.1	1.0	1.5	4.5	5.7	5.9	4.4	4.1	3.2	4.5	4.4
Hungary	0.3	2.0	3.4	1.8	3.3	5.5	1.5	0.4	2.1	3.0	1.8	2.2	2.3	2.7	2.8	4.4	1.9	2.7
Israel	0.3	14.9	3.2	3.0	3.8	4.3	4.5	3.7	4.8	4.5	1.6	1.7	2.0	1.9	1.8	3.0	1.7	1.8
Saudi Arabia	1.6	-17.9	-2.8	10.9	15.7	11.4	-0.8	4.6	-3.0	6.5	1.9	2.0	1.8	1.3	1.5	2.0	1.9	1.5
Nigeria	1.3	8.9	5.0	1.5	1.6	8.9	5.8	4.0	4.4	4.3	15.4	15.0	13.5	11.0	11.0	23.0	15.3	11.8

Note: Arrows appear next to numbers if current forecasts differ from that of the previous week by 0.5pp or more for quarterly annualized GDP, by 0.2pp or more for annual GDP and by 0.2pp or more for Inflation. Weights used for real GDP are based on IMF PPP-based GDP (5y centred moving averages). Weights used for consumer prices are based on IMF nominal GDP (5y centred moving averages). # IMF PPP-based GDP weights for 2024. Nigeria growth figures are GVA. Russia GDP is using SA series by Haver Analytics. *Aggregates for CPI exclude Argentina, Turkiye & Nigeria inflation rates.
Source: Barclays Research

FIGURE 6. Global Forecasts (2): External and government balances, and Barclays Research projections

	Current account (% GDP)							Government Balance (% GDP)						
	2021	2022	2023	2024	2025	2026F	2027F	2021	2022	2023	2024	2025	2026F	2027F
Global	0.4	-0.4	-0.2	0.1	0.3	0.7	0.5	-6.7	-4.2	-4.7	-4.7	-4.5	-4.8	-4.5
Advanced	-0.7	-2.0	-1.2	-1.3	-1.4	-1.1	-1.5	-9.1	-4.9	-5.2	-5.1	-4.7	-5.3	-5.0
United States	-3.6	-3.7	-3.3	-4.1	-3.8	-3.4	-4.1	-12.6	-5.9	-6.7	-6.8	-6.4	-6.9	-6.4
Euro area	2.7	-0.3	1.7	2.5	1.6	1.9	2.2	-5.1	-3.4	-3.5	-3.0	-2.9	-3.6	-3.6
Germany	7.0	4.1	5.3	5.8	4.4	4.6	4.7	-3.1	-1.9	-2.5	-2.6	-2.6	-4.0	-3.9
France	0.3	-1.4	-1.0	-0.3	-0.4	-0.5	-0.1	-6.6	-4.7	-5.4	-5.8	-5.1	-5.4	-5.5
Italy	2.0	-1.8	0.2	1.1	1.1	1.4	1.7	-8.9	-8.1	-7.1	-3.4	-3.1	-3.1	-3.0
Spain	0.8	0.4	2.7	3.2	2.9	1.5	1.8	-6.7	-4.6	-3.3	-3.2	-2.4	-2.3	-2.3
Japan	3.7	1.8	3.7	4.6	4.8	4.4	3.2	-6.3	-4.2	-2.4	-1.7	-1.1	-2.0	-2.4
United Kingdom*	-0.8	-1.9	-3.6	-3.0	-3.1	-2.8	-3.0	-5.0	-4.8	-4.9	-5.2	-4.2	-3.8	-3.5
Emerging	1.7	1.6	1.2	1.8	2.4	3.0	3.0	-3.6	-3.4	-4.1	-4.1	-4.1	-4.1	-3.9
EM ex China	4.5	2.5	3.0	4.1	4.7	6.8	6.7	-8.8	-8.9	-8.6	-8.3	-7.8	-7.5	-6.6
Emerging Asia	2.2	2.1	1.8	2.6	3.8	4.6	4.6	-4.0	-3.8	-4.2	-4.1	-4.2	-4.1	-3.9
China	1.7	2.3	1.5	2.2	3.7	4.0	4.0	-3.2	-2.8	-3.8	-3.8	-4.0	-4.0	-4.0
India [#]	-1.1	-2.4	-0.7	-0.6	-0.6	-1.3	-1.5	-9.5	-9.9	-8.8	-7.8	-7.6	-7.4	-7.2
Indonesia	0.3	1.0	-0.1	-0.6	-0.1	-2.7	-2.7	-4.6	-2.4	-1.6	-2.3	-2.8	-2.9	-2.7
Korea	4.4	1.4	1.9	5.3	6.5	19.8	19.5	-4.1	-5.0	-3.6	-4.1	-3.9	-2.3	0.3
Thailand	-2.1	-3.4	1.6	2.2	3.0	-1.7	0.7	-4.8	-3.5	-3.3	-3.9	-4.8	-4.6	-4.2
Taiwan	15.1	13.3	13.9	14.2	20.1	24.2	24.9	-0.4	0.0	-0.5	-0.7	0.6	-0.9	0.3
Malaysia	3.9	3.2	1.1	1.4	1.6	1.5	1.5	-6.4	-5.5	-5.0	-4.1	-3.7	-3.6	-3.5
Philippines	-1.5	-4.5	-2.8	-4.0	-3.5	-5.5	-5.0	-8.6	-7.3	-6.2	-5.7	-5.6	-6.3	-6.0
Singapore	19.3	18.9	16.4	17.2	16.7	18.0	19.0	0.2	-0.1	-0.9	0.3	1.4	1.5	1.5
Hong Kong	11.8	10.2	8.4	13.1	12.3	12.6	11.9	0.0	-6.7	-5.8	-5.2	-3.0	-1.7	0.1
Latin America	-1.8	-2.5	-1.5	-1.5	-1.5	-1.1	-1.1	-4.4	-4.0	-5.7	-5.8	-5.2	-5.5	-5.2
Brazil	-2.4	-2.2	-1.2	-3.0	-2.9	-2.1	-2.0	-4.3	-4.6	-8.8	-8.5	-8.3	-9.0	-8.5
Mexico	-0.4	-1.3	-0.7	-0.9	-0.5	-0.5	-0.3	-3.7	-4.3	-4.3	-5.9	-4.3	-4.3	-3.9
Argentina	1.4	-0.7	-3.8	0.5	-1.1	-0.1	-0.3	-4.5	-3.8	-4.4	0.3	0.1	0.1	0.1
Colombia	-5.6	-6.0	-2.3	-1.8	-2.4	-2.5	-3.1	-7.1	-6.5	-2.9	-6.2	-6.1	-6.5	-6.3
Chile	-7.3	-8.6	-3.6	-2.6	-2.0	-2.1	-2.7	-7.7	1.1	-2.4	-2.9	-2.8	-1.8	-1.5
Peru	-2.2	-4.1	0.3	2.5	3.2	4.0	3.4	-2.6	-1.6	-2.9	-3.7	-2.2	-2.8	-3.0
EEMEA	2.3	2.3	0.5	1.0	0.1	-0.2	-0.3	-1.1	-1.1	-2.3	-2.9	-2.9	-2.9	-2.9
Russia	6.8	10.4	2.4	2.9	1.5	1.9	1.0	0.4	-2.1	-1.9	-1.7	-2.6	-2.8	-2.3
Türkiye	-0.8	-5.1	-3.7	-1.0	-1.9	-3.1	-2.4	-2.7	-0.9	-5.1	-4.7	-2.9	-3.2	-3.8
Poland	-1.3	-2.2	1.6	0.3	-0.9	-1.2	-1.0	-1.0	-0.4	-2.5	-5.7	-7.0	-7.1	-7.3
South Africa**	3.7	-0.3	-1.1	-0.7	-0.5	-0.7	-2.0	-5.5	-4.9	-4.5	-4.7	-4.5	-4.1	-3.8
Hungary	-4.4	-8.9	0.0	1.8	1.7	0.3	0.4	-6.8	-6.2	-5.2	-4.9	-6.6	-7.5	-6.0
Israel	3.1	2.7	3.2	3.1	2.0	0.0	1.0	-4.3	0.6	-4.1	-6.8	-4.6	-3.1	-3.0
Saudi Arabia	4.6	11.8	2.1	-1.3	-2.6	-4.2	-2.7	-2.0	2.2	-1.8	-2.5	-5.8	-6.5	-3.0
Nigeria	-0.2	0.5	1.3	7.5	4.8	6.0	4.5	-3.1	-2.8	-3.4	-2.6	-3.2	-3.4	-3.0

Note: Weights used are based on IMF nominal GDP (5yr centered moving average). (#) Government balance is FY for India (i.e., FY 20/21 = 2020). (*) Government balance is fiscal year forecasts, eg, 2023 = FY 23/24, and defined as public sector net borrowing excluding financial interventions (PSNBex). (**) South Africa's fiscal year runs from Apr-Mar. Thus FY 20-21 = CY 2020.

Source: Barclays Research

FIGURE 7. Global Forecasts (3): Gross Public Debt (% GDP, EOP)

Gross government debt ratio (% GDP)															
	2021	2022	2023	2024	2025	2026F	2027F		2021	2022	2023	2024	2025	2026F	2027F
Americas								Europe, Middle East and Africa							
United States	124.8	120.6	122.3	123.6	125.2	124.4	126.4	Euro area	93.4	88.8	86.3	86.4	87.1	88.6	89.4
Latin America								Germany	67.6	64.2	61.8	61.4	62.6	64.9	66.9
Argentina	75.1	62.8	59.4	79.3	72.1	69.2	67.1	France	112.9	111.4	109.4	112.6	115.5	118.5	120.7
Brazil	77.3	71.7	73.8	76.3	78.6	83.0	86.8	Italy	146.1	138.4	133.9	134.9	137.1	138.4	138.0
Chile	36.3	37.5	38.9	41.8	42.1	41.8	42.1	Spain	115.7	109.3	105.2	101.6	100.7	98.4	97.0
Colombia	65.4	63.1	58.7	63.8	66.6	63.9	68.6	United Kingdom#	94.4	93.2	94.5	93.3	93.1	94.1	95.5
Mexico	49.1	47.6	46.5	51.3	52.3	52.3	52.6	EEMEA							
Peru	36.1	33.9	34.1	34.6	30.1	30.9	32.1	Poland	53.0	48.8	49.5	54.8	59.7	65.3	67.1
Asia/Pacific								Russia	15.5	14.5	14.7	14.4	16.4	19.2	19.9
Japan	222.7	227.8	220.3	214.5	206.5	234.0	234.0	Turkiye	37.0	26.3	24.9	20.7	21.7	24.0	24.8
Emerging Asia								Israel	67.8	60.5	61.5	67.9	68.5	68.9	68.0
China*	20.2	21.2	23.2	25.2	29.1	32.8	36.5	South Africa	67.7	70.4	73.9	77.0	78.9	78.6	78.5
Hong Kong	2.0	4.4	6.5	9.2	11.5	13.3	13.4	Hungary	73.3	69.1	67.6	68.1	69.6	70.8	71.7
India**	84.3	82.5	83.4	83.0	81.0	80.0	78.0	Saudi Arabia	28.6	23.8	26.2	29.9	31.8	38.8	40.6
Indonesia	40.7	39.5	39.0	40.2	40.5	41.4	42.0	Nigeria	15.7	15.9	22.1	35.7	36.5	41.0	39.5
Korea	42.3	44.5	45.4	44.6	47.4	44.5	47.0								
Malaysia	63.3	60.1	64.2	64.5	65.2	64.1	64.0								
Philippines	60.4	60.9	60.1	60.7	63.2	67.9	69.0								
Singapore	131.3	152.3	167.6	165.4	166.1	161.4	159.5								
Taiwan	26.4	26.1	25.7	25.5	24.6	24.3	24.3								
Thailand	58.3	60.5	62.3	63.2	64.7	67.7	68.4								

Note: (*) Central government debt ratio is reported for China; (**) Corresponds to FY for India (i.e., FY 20/21 = 2020); (#) Government debt is fiscal year forecasts, eg, 2023 = FY 23/24, and defined as public sector net debt (PSND).

Source: Barclays Research

FIGURE 8. Global Forecasts (4): Official interest rates and Barclays Research projections

Central Bank Rates											
		Start of cycle			Last move	Next move expected	Forecasts				
		Current	date	level#			Q3 26	Q4 26	Q1 27	Q2 27	Q3 27
Advanced											
Fed funds rate		3.75-4.00	Tightening: 17 Sep 26	3.50-3.75	Sep 26 (+25)	Dec 26 (+25)	3.75-4.00	4.00-4.25	4.00-4.25	4.00-4.25	4.00-4.25
BoJ: overnight call rate	overnight	1.25	Tightening: 19 Mar 24	-0.10	Sep 26 (+25)	Jan 27 (+25)	1.25	1.25	1.50	1.50	1.75
ECB main refinancing rate		2.65	Tightening: 11 Jun 26	2.15	Sep 26 (+25)	Dec 26 (+25)	2.65	2.90	2.90	2.90	2.90
ECB deposit facility rate		2.50	Tightening: 11 Jun 26	2.00	Sep 26 (+25)	Dec 26 (+25)	2.50	2.75	2.75	2.75	2.75
BOE bank rate		3.75	Easing: 01 Aug 24	5.25	Dec 25 (-25)	Nov 26 (+25)	3.75	4.00	4.25	4.25	4.25
RBA cash rate		4.35	Tightening: 03 Feb 26	3.60	May 26 (+25)	Sep 26 (+25)	4.60	4.60	4.60	4.60	4.60
RBNZ cash rate		2.75	Tightening: 08 Jul 26	2.25	Sep 26 (+25)	Oct 26 (+25)	2.75	3.00	3.00	3.00	3.00
Swiss National Bank: Policy rate		0.00	Easing: 21 Mar 24	1.75	Jun 25 (-25)	Jun 27 (+25)	0.00	0.00	0.00	0.25	0.25
Norges Bank: Deposit rate		4.25	Tightening: 07 May 26	4.00	May 26 (+25)	Q4 26 (+25)	4.25	4.50	4.50	4.50	4.50
Riksbank: Repo rate		1.75	Easing: 08 May 24	4.00	Sep 25 (-25)	Dec 26 (+25)	1.75	2.00	2.25	2.50	2.50
Bank of Canada		2.25	Easing: 5 Jun 24	5.00	Oct 25 (-25)	Q4 26 (+25)	2.25	2.50	2.75	2.75	2.75
Emerging Asia											
China: 7d OMO rate		1.40	Easing: 18 Nov 19	2.55	May 25 (-10)	Beyond 2026	1.40	1.40	1.40	1.40	1.40
Hong Kong: Base rate		4.25	Easing: 18 Sep 24	5.75	Sep 26 (+25)	Dec 26 (+25)	4.25	4.50	4.50	4.50	4.50
India: Repo rate		5.25	Easing: 07 Feb 25	6.50	Dec 25 (-25)	Dec 26 (+25)	5.25	5.50	5.75	5.75	5.75
Indonesia: BI-rate		5.75	Tightening: 20 May 26	4.75	Jun 26 (+50)	Beyond 2027	5.75	5.75	5.75	5.75	5.75
Korea: Base rate		3.00	Tightening: 16 Jul 26	2.50	Aug 26 (+25)	Nov 26 (+25)	3.00	3.25	3.50	3.50	3.50
Malaysia: O/N policy rate		2.75	Easing: 09 Jul 25	3.00	Jul 25 (-25)	Nov 26 (+25)	2.75	3.00	3.00	3.00	3.00
Philippines: O/N lending		5.00	Tightening: 23 Apr 26	4.25	Aug 26 (+25)	Oct 26 (+25)	5.00	5.25	5.25	5.00	4.75
Taiwan: Rediscount rate		2.000	Tightening: 17 Mar 22	1.125	Mar 24 (+12.5)	Dec 26 (+12.5)	2.000	2.125	2.125	2.125	2.125
Thailand: O/N repo rate		1.00	Easing: 16 Oct 24	2.50	Feb 26 (-25)	Beyond 2027	1.00	1.00	1.00	1.00	1.00
Emerging Europe, Middle East & Africa											
Czechia: 2w repo rate		3.75	Tightening: 18 Jun 26	3.50	Jun 26 (+25)	Nov 26 (+25)	3.75	4.00	4.25	4.25	4.25
Hungary: Base rate		5.50	Easing: 24 Oct 23	13.00	Aug 26 (-25)	Oct 26 (-25)	5.50	5.00	5.00	4.50	4.50
Israel: Discount rate		3.25	Easing: 1 Jan 24	4.75	Sep 26 (-25)	Apr 27 (-25)	3.25	3.25	3.25	3.00	3.00
Poland: Reference rate		3.75	Easing: 6 Sep 23	6.75	Mar 26 (-25)	Jun 27 (-25)	3.75	3.75	3.75	3.75	3.50
Romania: Key policy rate		6.50	Easing: 5 Jul 24	7.00	Aug 24 (-25)	Feb 27 (-25)	6.50	6.50	6.25	5.50	5.50
Russia: One-week repo rate		14.00	Easing: 6 Jun 25	21.00	Jul 26 (-25)	Dec 26 (-25)	14.00	13.75	13.25	12.50	12.00
South Africa: Repo rate		7.25	Tightening: 28 May 26	6.75	Sep 26 (+25)	Jul 27 (-25)	7.25	7.25	7.25	7.25	6.75
Turkiye: One-week repo rate		37.00	Easing: 26 Dec 24	50.00	Jan 26 (-100)	Oct 26 (-100)	37.00	35.00	33.00	31.00	29.00
Egypt: O/N Deposit Rate		19.00	Easing: 17 Apr 25	27.25	Feb 26 (-100)	Feb 27 (-100)	19.00	19.00	18.00	16.00	13.00
Latin America											
Brazil: SELIC rate		13.75	Easing: 18 Mar 26	15.00	Sep 26 (-25)	Nov 26 (-25)	13.75	13.50	13.50	12.50	12.00
Chile: Monetary policy rate		4.50	Easing: 31 Jul 23	11.25	Dec 25 (-25)	Dec 26 (+25)	4.50	4.75	5.00	5.00	5.00
Colombia: Repo rate		12.00	Tightening: 30 Jan 26	9.25	Jun 26 (+75)	Apr 27 (-25)	12.00	12.00	12.00	11.50	11.00
Mexico: Overnight rate		6.50	Easing: 21 Mar 24	11.25	May 26 (-25)	Beyond 2027	6.50	6.50	6.50	6.50	6.50
Peru: Reference rate		4.25	Easing: 14 Sep 23	7.75	Sep 25 (-25)	Nov 26 (+25)	4.25	4.50	4.75	4.75	4.75

Note: Rates as of COB 23 Sep 2026 in % per annum (unless stated). #Level indicates the interest rate at the beginning of a policy cycle.

Source: Barclays Research

FIGURE 9. Global key events calendar

	2026				2027								
	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep
North America													
FOMC meeting	16	28	-	9	27	-	17	28	-	9	28	-	15
Summary of Economic Projections	16	-	-	9	-	-	17	-	-	9	-	-	15
FOMC minutes	-	7	18	30	-	17	-	7	19	30	-	18	-
Fed's Beige Book	2	14	25	-	...	...	...	...	...	...	...	...	...
Bank of Canada	2	28	-	9	27	-	3	28	-	2	21	-	8
Europe													
EU Summit	-	15	-	17	...	...	...	...	...	...	...	...	...
EU General Affairs Council	22	13	19,20	15	...	...	...	...	...	...	...	...	...
ECOFIN	18-19	9	9	11	...	...	...	...	...	...	...	...	...
Eurogroup	18	8	9	10	...	...	...	...	...	...	...	...	...
ECB "policy" meeting	10	29	-	17	-	4	18	29	-	10	22	-	9
ECB minutes	-	8	26	-	14	...	4	15	28	-	8	26	-
ECB economic bulletin	24	-	11	31	-	18	-	1	12	25	-	5	23
ECB "non-policy" meeting	30	-	18	-	24	-	-	7	19	23	-	-	29
BoE MPC policy meeting	17	-	5	17	-	4	-	29	-	-	29	-	-
BoE MPC Monetary Policy Report	-	-	5	-	-	4	-	29	-	-	29	-	-
BoE minutes	17	-	5	17	-	4	18	29	-	17	29	-	16
Riksbank	24	-	4	16	-	3	24	-	5	22	...	...	...
Swiss National Bank (SNB)	24	-	-	10	-	-	18	-	-	24	-	-	23
Norges Bank	24	-	5	17	21	...	18	...	5	17	...	19	23
Asia/Africa/RoW													
Bank of Japan (BoJ)	17-18	29-30	-	17-18	21-22	...	17-18	27-28	10-11	21-22	...	...	21-22
BoJ minutes	28	-	5	23	-	-	24	...	7	16	27	...	28
Reserve Bank of Australia (RBA)	29	-	3	8	-	9	23	-	4	22	-	10	21
Reserve Bank of New Zealand (RBNZ)	2	28	-	9	-	10	17	-	5	16	-	4	15
Reserve Bank of India (RBI)	-	5-7	-	2-4	-	3-5	...	...	...	...	...	...	...
Bank of Korea (BoK)	-	22	26	-	...	...	...	...	...	...	...	...	...
Brazilian Central Bank (BCB)	16	-	4	9	27	-	17	28	-	16	-	4	22
South African Reserve Bank (SARB)	23	-	19	-	...	...	...	...	...	...	...	...	...
National Bank of Poland (NBP)	1-2	6-7	3-4	1-2	...	...	...	...	...	...	...	...	...
Central Bank of the Republic of Türkiye (CBT)	10	22	-	10	21	-	18	22	-	10	-	-	-
Bank of Israel (BoI)	-	21	23	-	...	...	...	...	...	...	...	...	...
Central Bank of Egypt (CBE)	24	29	-	17	...	...	...	...	...	...	...	...	...
Key international meetings													
G20 Finance Minister and CB Gov. meeting	1	-	-	-	-	-	-	-	-	-	-	-	-
WBG-IMF, Spring and Annual meetings	-	12-18	-	-	-	-	-	-	-	-	-	-	-
Elections/Key political meetings													
US Mid term election	-	-	3	-	-	-	-	-	-	-	-	-	-
New Zealand general election	-	-	7	-	-	-	-	-	-	-	-	-	-
Brazil general election	-	4, 25	-	-	-	-	-	-	-	-	-	-	-
Israel general election	-	27	-	-	-	-	-	-	-	-	-	-	-

Note: (-) No event, (...) Event yet to be confirmed.

Source: Central banks, IMF, European Commission, Reuters, Bloomberg, Market News, Barclays Research

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